Relaxo Footwears (RELAXO)

Conference call transcripts, oldest-first. 9 call(s). Generated 2026-08-02.

Call: Nov 2022

November 9, 2022

Sub: Conference call Transcript
Dear Sir,

With reference to captioned subject, we hereby enclose the transcript of conference call regarding Q2 FY 23 results which was hosted by the company on November 3, 2022, at 5:00 P.M. (IST).

The same is for your information and record.

Thanking You,
Yours Sincerely,

For Relaxo Footwears Limited,

Sushil Batra
Chief Financial Officer

Encl as above

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Scrip Code – 530517 Scrip Code – RELAXO

"Relaxo Footwear s Limited Q2 FY2023
Earnings Conference Call "

November 03, 2022

MANAGEMENT :
MR. RAMESH KUMAR DUA – MANAGING DIRECTOR
MR. GAURAV DUA – WHOLE TIME DIRECTOR
MR. RITESH DUA – EXECUTIVE VICE PRESIDENT (FINANCE)
MR. SUSHIL BATRA – CHIEF FINANCIAL OFFICER
MR. VIKAS TAK – COMPANY SECRETARY

Moderator: Ladies and gentlemen, good day, and welcome to the Relaxo Footwears Limited Q2 and H1 FY20 23 Earnings Conference Call hosted by Motilal Oswal Financial Services. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assista nce during the conference call, please signal an operator by pressing "*" then "0" on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Aliasgar Shakir from Motilal Oswal Financial Services. Tha nk you, and over to you, sir.
Aliasgar Shakir: Thank you so much. Good evening, everyone. On behalf of Motilal Oswal Securities I am

very happy to host the senior management of Relaxo Footwears for Second Quarter FY20 23 Earnings Conference Call. Welcome al l to this call. From the management, we have with us today Mr. Ramesh Kumar Dua, Managing Director; Mr. Gaurav Dua, Whole Time Director; Mr. Ritesh Dua, Executive Vice President; Mr. Sushil Batra, Chief Financial Officer; and Mr. Vikas Tak, Company Secreta ry. I will hand over the call to the management for opening remarks, and then we can open the floor for questions. Over t o you, sir.

Sushil Batra : Thank you, Ali. Good afternoon, ladies and gentlemen. Thank y ou for joining the Q2 and H1 FY20 23 earnings cal l of Relaxo Footwears Limited. We have already uploaded our earnings press release and presentation at the exchanges, and we hope you have got an opportunity to review them. Before we open the floor for question -and-answer session, I would like to take you through an overvie w of the number s of Q2 and H1 FY20 23.

During Q2 FY20 23, the company r eported total revenue of Rs.670 Crore as com pared to Rs.714 Crore in Q2 FY20 22, registering a decline of 6.3% year -on-year. The performance remained subdued mainly on account of fall in volumes in Q2 FY20 23 in the categories serving the masses . With consumer facing inflationary pressures affecting affordability , there has been a shift in consumer habits as they moved towards cheaper alternative at the cost of quality. This prompted the company to take an aggressive price correction in September 2022 to remain competitive in the current market. This price specialization approach has been welcomed by distributor and customer, which would help us clear high -cost inventory in the coming quarter and ultimately improve our volume number going ahead.

EBITDA in Q2 FY20 23 was at Rs.59 Crore as com pared to Rs.117 Crore in Q2 FY20 22. This degrowth in EBITDA was mainly due to steep increase in raw material prices. EBITDA margin dur ing the Q2 FY20 23 was at 8.9 % and declined by 748 bps year -on-year. The profit after tax was at Rs.22 Crore in Q2 FY2023 as compared to Rs.69 Crore in Q2 FY2022 .

Moving to our H1 FY2023 performance, the total revenue was at Rs.1,337 Crore s and grew by 10. 3% year -on-year as compared to Rs.1,212 Crore in H1 FY2022 . EBITDA was at

Rs.146 Crore s from Rs.183 Crore in H1 FY2022 . The company reported a profit after tax of Rs.61 Crore in H1 FY2023 as compared to Rs.100 Crore in H1 FY2022 .

Strong fundamentals complemented by wide distribution reach, strong brand recall and better sourcing capability we are optimistic about overcoming this tough phase and focus on delivery, steady revenue growth in both domestic and export going forward.

Thank you. Now we can o pen the floor for questions.

Moderator: Thank you. Ladies and gentlemen, we will now begin with the question and answer session. Anyone who wishes to ask the question may please press star and 1 on the attached telephone. If you wish to put yourself in que stion que you may press star and 2. The first question is from the line of Gaur

av Jogani from Axis Capital. Please go ahead

Gaurav Jogani: Thank you for the opportunity Sir, my first question is with regard s to the sharp volume decline that we have seen , and you have also mentioned that you have taken aggressive price cut in September 2022. So, one, if you can highlight what is the quantum of the price cut that you have taken , and how much of that has impacted the initial volumes? Because we understand that your distributors would have destocked initially , and because of which also there will be some volume impact.

Ramesh Kumar Dua: Yes, I am Ramesh Kumar Dua this side. Just in the background, I want to tell you a few things. The main cause of our price incr ease in the past 1.5 year had been some of the raw material polymers like EVA, PVC, polyethylene , they have started gradually rising and kept on rising to an extent , the thing which we were getting at Rs.120 a kg, reached Rs.300 kg , and then this started f alling also, and it came down to Rs.160. So , in such kind of volatile situation, where our company has to maintain a long supply chain because materials are imported , it has to be at least 6 months ' supply chain.

So when the things arise, then it is benef icial for the entire trade company and our customers. But when there is sudden fall, which historically, at least I have never witnessed. Such a fall from Rs.300, to become Rs.160, and local market becoming cheaper than the international market at which we got. Our way of pricing the products have been based on our costing. But now during this period, when the local raw material prices became lower than our cost prices, the local indust ry or other people who are always sourcing the material from local sources, they became competitive and also the affordability of the mass segment, that has been affected because of inflation all around.

As a result, for our mass customers, they started s hifting to cheaper products, never mind the quality, whether it lasts 2 months or 3 months, they are not bothered. They just want to while

away this difficult period, which they are facing for inflation. So when the prices were rising gradually, we are for ced to revise the prices upward. But when the raw material started falling or it became cheaper to the competition, they reacted very fast.
But as far as our company is concerned, which has a long supply chain, we took our own time. Meanwhile, because of unaffordability of our article to the masses, they went for cheaper alternative. So that started affecting our sales. Now in the month of September, we have made some price correction so that we are competitive in the market. Never mind , it will affect our bottom line, but to be in the market, have volume sales, that is a kind of cautious call to maintain our market share in the market. So that has been the reason.
Otherwise, if I want to tell you the gravity of the thing, EVA polymer, we are consuming around 1 ,000 tonnes per month that is in a year, 12 ,000 tonnes , and the material of this, which was Rs.120 kg , last year it became average Rs.210, you can see a differen ce of Rs.100 kg, 12,000 tonne, Rs.120 Crore s for single material , and even in another 6 mo nths, this year also, our average has been Rs.240. So this is the magnitude , which we say average is Rs.240, but in local it became Rs.160, so they became more competitive. We took this aggressive step to be competitive , but in the coming months, all those things are not still stabilized, the Rs.160, which was coming to local now it has become Rs.200. So things are very volatile. We are keeping an eye in the market, and we will keep on taking timely corrections, keeping in view of how the other markets are reacting. That is it.
Gaurav Jogani: Just to follow up on this one. So one, what is the magnitude of price cut that you have taken in September , and

second thing, now because you are saying the local markets, again, that price has become Rs.200 per kg , and you might be having some inventory because of this. So now does that place you better versus the competition because you have some earlier inventory also with you?
Ramesh Kumar Dua: Yes. Generally, our supply chai n is aro und 6 months. The price correction has been around 15% to 20%. Our main segment that is affected is Hawaii and EVA segment . Other PU related footwear and Sparx shoe that is not affected. That has grown and it is okay also. It is only where EVA polymer is b eing consumed , they are in our Bahamas brand , and Relaxo and also Flite EVA category. There, our company has suffered because of this volatility. Even earlier, we were able to predict what will be the price of this material next year . But now our purchase department is not able to tell in guarantee what is going to be the price next quarter, such is the kind of volatility and instability . Under such volatile chaotic conditions, things have become quite challenging , and now we are keeping a close watch on th e market and taking timely correction s, not based on our costing, but based on market conditions.

Gaurav Jogani: Sure sir, One last question from my end. What dichotomy we are seeing in terms of consumption in footwear at least that the premium and the mid -premium segment continues to grow well. You have highlighted that for you the Sparx and the sports shoes are relatively unimpacted. So according to you what is driving this differenc e? Wherein the sports shoes and the higher segment is growing, but people are not able to afford being the lower end of the segment.
Ramesh Kumar Dua: Well, you all know richer are becoming richer and poorer are becoming poorer. This mass segment, his affo rdability has been affected , and that was quite a big share of our business.
Gaurav Dua: Plus rural market in India, they are really suffering, if you read the Economic Times today also even Hindustan Lever is taking heat because of a lot of inflation in r ural market. So the purchasing power in rural market is more affected than urban India.
Gaurav Jogani: Sure. Sir, anything that you are doing in terms to cater to the demand that is shifting towards, I would say, to the premium and the mid -premium segment. So what is the company 's efforts on the same and how the company is looking to make more from it? \
Ramesh Kumar Dua: We are focusing on our other categories, which are doing well.
Moderator: There has been some disturbance, we will be reconnecting again. Ladies and Gentleman t hank you for patiently holding, we have line of management reconnected, over to you sir.
Ramesh Kumar Dua: I think I have concluded we can go to next question .
Moderator: Thank you, the next question is from the line of Bharat Chhoda from ICICI Securities Limited. Please go ahead.
Bharat Chhoda: Thanks for the opportunity Sir, Our cost of goods sales for per pair has been around Rs.60, Rs.65 over the last few quarters or so , and then probably this quarter, it has gone to Rs.88 per pair. So in the ensuing quarters, do you see like in Q3, Q4, that could come down to between Rs.75, Rs.80 or even lesser than that? Do you see that possibility?
Ramesh Kumar Dua: Yes. Although raw material conditions are quite volatile, but we have a long supp ly chain,

and we have a lot of goods purchased at higher prices , Last year also we are carrying
inventory . But in this quarter, that is October, November, December, all that old inventory
will be flushed out , and January, February, March, there, our cost o f production will be
definitely low, and things will be better.
Bharat Chhoda: So probably from Q4 onwards, we would see normal gross margin things returning?

Ramesh

Kumar Dua: Since we started improving, topline will start improving, but at the same time, we have to
keep ourselves competitive, relevant as per the market. We have to be very watchful, what is
the affordability of the mass segment. Accordingly, we have to take corrective action timely.
Bharat Chhoda: So this high -cost inventory will be there for one more quarter at least?
Ramesh Kumar Dua: Yes, at least. This quarter, it will be flushed out, by November or maybe December by all means .
Bharat Chhoda: Ok, Our raw material prices, what was the peak level that was there and from a percentage increase on a Y -o-Y basis , and from there, how much it has fallen down right now? If you
could give a benchmark on that.
Ramesh Kumar Dua: Yes, it was Rs.120, it gone up to Rs.300, now it has become Rs.200. That is the kind of volatility you can understand , consuming 1 ,000 tonnes a month, you can understand the
volatility and the affect.
Bharat Chhoda: How is this higher -end segment doing like you said it is growth in that. So what growth are we witnessing in the shoe segment? Any color you can provide on t hat?
Ramesh Kumar Dua: Yes, Gaurav will tell regarding sales figures of it.
Gaurav Dua: So in shoe division, our growth in last 6 months is around 30%. So there is a healthy growth coming in shoe division, which is sports shoes and sports sandals. So that has grown well,
but open footwear, which is Hawai i that has degrown.
Bharat Chhoda: So what is the quantum of degrowth over there, Hawai i?
Gaurav Dua: That is also around 20%.
Bharat Chhoda: This you are speaking in terms of volume, sir?
Gaurav Dua: Value.
Bharat Chhoda: Thanks a lot for answering my question. Thank you sir.
Moderator: Thank you. The nex t question is from the line of Naysar Parikh from Native Capital. Please
go ahead.
Naysar Parikh : Hi, Thank you for the opportunity, m y question is in continuation to what we have asked
earlier, if you can just break up your volume or revenue , and just give us some directional

view in terms of how is the performance of some of the lower -end categories or price points
versus some higher -end categories?
Gaurav Dua: Actually, the out -of-home category, which is sports shoes, formal slippers that has grown
well and indoor, like we have Hawai i and Flite EVA, that has degrown. So now after
lockdown, there has been a shift, people are going for more premium out -of-home categories.
So that is growing well. But in Hawai i segment, we are feeling the heat here.
Naysar Parikh : Out-of-home would be what percentage of your revenue?
Gaurav Dua: See, in out -of-home also like we have Flite category in which we have EVA and PU, so PU
is more than 50%, so that is growing more. If you say open footwear. But if you add Sparx,
Sparx is also giving more than 41% contribution to our total business. That is growing at
around 30%.
Naysar Parikh : What would be the average selling pric e for the Sparx category and the shoes category?
Gaurav Dua: Every category is different, like sports shoe has around 800 plus ASP and s andal is around
500-plus ASP.
Naysar Parikh : Okay, I will join back in the queue.
Moderator: Thank you. The next questio n is from the line of Priyam Khimawat from ASK Investment
Managers. Please go ahead.
Priyam Khimawat: Just wanted to understand, you alluded that price of polyurethane has moved from Rs.120 to Rs.300 per kg and then again falling back to Rs.200 per kg. What percentage of raw material
is this for us?
Ramesh Kumar Dua: What you want to know, consumption of the material?
Priyam Khimawat: Breakup of a raw material in terms of what percentage of raw material is this component?
Ramesh Kumar Dua: That is differ ent in category -wise, you are not able to make anything out of it. I just told you, our total consumption of this polymer is around 1

,000 tonnes a month , and the volatility has
been Rs 120 to Rs 300 and then Rs 300 to Rs 200. 20% is consumption of EVA in t he total
cost of the materials.
Priyam Khimawat: And if you could give some color on what are the other components in our raw material?

Ramesh Kumar Dua: There are so many other materials. The EVA is there. The PVC is there. These are the major polymer, na tural rubber is there . PPDM is there. There are host of so many materials. But the main reason has been too much fluctuations on these 3 -4 for key materials, EVA, PVC, low - density polyethylene, and some natural rubber that is all.
Priyam Khimawat: Sir, you alluded to a 6 -month supply chain cycle in most of the raw materials imported. Now that we have seen that this raw material can be so highly volatile, anything we are doing to reduce this import component and reducing the supply chain?
Ramesh Kumar Dua: We can not depend upon local sources. Otherwise, our factory will not be able to run. Local source, availability is only meant for small manufactures. If we go to the market , the rate will get out of control because of the local market , because our 1 ,000 tonne s, nobody can match. So we have to maintain this supply chain so that there is no disruption in the manufacturing process. It is only this onetime in life phenomenal, things have fallen otherwise it has always kept our company in a very healthy positi on, and it has been always beneficial.
Priyam Khimawat: And did I hear it right that Sparx is currently at 41% revenue contribution and it is growing at around 30% for us?
Gaurav Dua: Right.
Priyam Khimawat: So despite that 41% component growing at 30%, ou r sales have declined around 7% this quarter. So the other part, which is 60% has declined, that steeply.
Gaurav Dua: Yes,. You are right. So there is a factor, the Hawai i factor, the EVA factor, what we are doing in Hawai ian and Flite that has degrown a l ot. So whatever gains we are getting from shoes division is getting nullified. So it is why the 10% growth is coming , and in this quarter, it was not that also because of too much rains and the market was not responding.
Priyam Khimawat: Understood, and our ASP right now is trending at a round 169. because 41% is sparx , you valuded to 800 ASP and 500 ASP for sports shoes and sandals, respectively?
Gaurav Dua: We need to correct that, that is 800 , if you take as a Sparx, we have 437 as ASP, 450, you can say. It has Rs.450 all categories put in Sparks.
Priyam Khimawat: Understood, so going ahead, should we assume that since Sparx is growing at such a high pace, and ASP structurally will move towards Rs.200 to Rs.250 in the coming years?
Gaurav Dua: It will be increasing, but by how much we have to see. ASP will increase.
Priyam Khimawat: Okay sir, got it, that is all from my side. Thanks.

Moderator: Thank you. The next question is from the line of Har sh Shah from InCred. Please go ahead.
Harsh Shah: Sir, my question is we have made a press release where we have stated that we have canceled some 15 ,000 stock option under our ESOP plan to 5 employees because of their resignation. So just wanted to enquir e are these senior, mid -senior level exits and when have they resigned? What is that perspective, sir?
Sushil Batra : We g ave the ESOP to our AGM and above. There are 110 people in that category. So out of these 5 people have left the company and one was retirement case. So these are the senior mid-level, you can say .
Harsh Shah: So this is basically exit by retirement?
Sushil Batra : Some retirement and some people left voluntar ily.
Harsh Shah: Okay , thank you for clarifying that and secondly, sir, what is our current capacity of Sparx , and what will be our capacity of Sparx in the next 2 years?
Ram

esh Kumar Dua: Currently, it is around 50 ,000 pairs a day of Sparx and which we are increasing the production to 100 ,000 pairs a day.
Harsh Shah: And that will b e operationalize by what time, sir?
Ramesh Kumar Dua: Next April onwards.
Harsh Shah: So we should be able to double our capacity in next 6 months, basically?
Ramesh Kumar Dua: Correct.
Harsh Shah: And Sir, then what would be our Capex outlay for FY2023 ?
Sushil Batra : FY2023 , our Capex will be around Rs.120 Crore s to Rs.140 Crore s because we have already placed the order, it is in pipeline , and we have added some back -end operations , and including all these molds and so many other expenses on building part, it will be in the range of Rs.140 Crore s, you can say, for FY2023 .
Harsh Shah: Okay, thank you so much sir.

Moderator: Thank you. The next question is from the line of Aliasgar Shakir. Please go ahead.

Aliasgar Shakir: Thanks a lot sir, a couple of questions. First is on your sportswear. So , if my understanding is correct, out of about 20% of closed footwear, about 50% is sports and athleisure, right, which should be ballpark around Rs.250-odd Crore s. So just wanted to understand, what are our plans there? A few of the recently listed companies and in fact, overall market, also a lot of smaller players have rapidly grown in the recent past. So , what are our plans here? we recently also a dded capacity in the sportswear. So how do we plan to grow this business over the next probably 3 years, if you could share your insights.
Gaurav Dua: So, this sports shoe segment this divided into online sale and distributor sales, the channel sale. So , in both channels, we are seeing a good demand coming from the market, and that is why we have added the capacity there only . And we are adding more designs every year , like this year also we have added a lot of designs and we are giving a lot of trust to a placement of products in the market. So , we are expecting a good growth coming from these Sparx segments specially sports shoes.
Aliasgar Shakir: Ok, So, could you share what is our plan over 3 years, if you could share some number what growth we can expec t here given that there are players who have reached up to Rs.50 -100 Crore s revenue , and we certainly have a very deep distribution reach. So we should be able to use our existing distribution reach or sportswear requires a different reach and therefore, i t should be a very slow growth business.
Gaurav Dua: No, this would no t be a slow growth. We are growing at 30%, and we will continue to grow more than 30% year -on-year in this category , and the demand will come from both channels, online, offline both.
Aliasgar Shakir: And is the number that I shared about Rs.250-odd Crore s from the sportswear number correct? Or is my understanding...
Gaurav Dua: That is only typical sport shoes, which we did last year, Rs.250 Crore s. So definitely it will grow from here.
Aliasgar Shakir: Understood, and just second question is on the inventory situation. So given the fact that you have taken price cuts, you would obviously have a lot of inventory yet in the system, which is at a higher price point. So by when do you expect that inventory to get unwind , and then you should only have one price point or lower price point inventory available in the market.
Gaurav Dua: At company level, by December end, we will be able to clear almost all the inventory of old prices, but it will go through the retail and that will take 1 to 2 months more at the retail level. So it is a long supply chain. Company can get over quickly. But at retail and distributor level, it takes time, maybe 2 to 3 months more, so by March it will be e verywhere new prices .

Aliasgar Shakir: So, so far, whatever is the current p

rice point, we should be able to normalize our inventory by probably March unless seeing some more volatility.
Ramesh Kumar Dua: From company point of view, by this December, it will be clear.
Aliasgar Shakir: Got it this is very helpful Sir. Thank you so much. I will come back in the queue.
Moderator: Thank you. We will move on to the next question that is from the line of Ankit Kedia from Phillip Capital . Please go ahead.
Ankit Kedia: Sir, the price cuts are 15% to 20%, which you alluded in the open footwear category, is it in line with the raw material price deflation what we have seen, or the price cuts are more towards volume protection and not towards RM fall which you have s een from average perspective?
Ramesh Kumar Dua: Price revision has been taken keeping a view of the local market conditions, affordability of the consumer and what is the competitive environment. To be competitive, we have brought these prices, and we have to always remain competitive in the market. That is what we have done.
Ankit Kedia: Is it fair to assume that the price cut is more than the RM deflation, which we have seen in the market and hence, the gross margins could bleed actually because of this?
Ramesh Kumar Dua: No, this gross margin under pressure until December. It will start looking up in January onwards. But one thing I must tell you, the raw material situation is very volatile. We can not even predict in January, February, March at what rate we will be buying. Based on whatever we have in supply chain and what we are making current buying arrangements from international suppliers, we are able to tell today.
Ankit Kedia: Sir, let me put it the other way. So if the RM increases, we will continue to maintain our prices to gain volumes and not increase our prices further...

Ramesh Kumar Dua: That is a very strategic view point you are raising. You need to watch the market condition at the same time. Whatever is the market environment accordingly, w e have to respond.
Ankit Kedia: Sure. Sir, my next question is on your sports footwear. So from the current MBO retail network, how much is for the close sports footwear, if you can share that , and over the next 2 years, because we are expanding capacity, how much is coming predominantly for online? Are we going to have a differential product like some of our competitors have for online, where we will focus more or it is going to be fungible between online, offline as the demand comes in?

Gaurav Dua: Curren tly, we have same portfolio, but going forward, we will have different portfolio, especially SMUs for e -commerce and different products for the offline because we want to contr ol the price, there is sometimes a lot of price war. One channel give you more d iscount what we have heard in this Big Billion Days. So we are going to change our strategy and making SMUs for online channel.
Ankit Kedia: And sir, how many exclusive MBOs do we have for Sparx out of the 60 ,000 retailer network which we have?
Gaurav Dua: You are talking about wholesale or you talking about our own retail outlets?
Ankit Kedia: How much for wholesale, sir?
Gaurav Dua: Wholesale, what we have, we are going currently 50 ,000 to 60 ,000 outlets. We have a data of 90 ,000 outlets. In that 10 ,000 outlets we are covering through Sparx.
Ankit Kedia: And so over the next 3 years, what is the target? What is the potential for Sparx for these outlets you feel given that open f ootwear will obviously be more, and how do you plan to target the South and We st market for Sparx?
Gaurav Dua: Sparx does well in South and West. Already, we are doing good in the South and West. Now we have to do good in East and North, other way around , and these 10,000 outlets definitely increased to 15 ,000 to 18 ,000 outlets in the next 3 to 4 years?
Ankit Kedia: And sir, one last

question on the online side. Last year was around 12% of your revenues. What is the target given that the strategy is going to be more focused on online over the next 2 years, predominantly for the clos ed footwear contribution from online?
Gaurav Dua: See 12% is all brands put together. But if you take Sparx, it will be more than 20% - 25%.
Ankit Kedia: And over the next 2 years, sir, what is the target given that you will spend more on online?
Gaurav Dua: Definitely, this 12% contribution will increase to roughly around 15% in 2 to 3 years ' time, and this 25% will also increase what Sparx we are doing.
Ankit Kedia: Sure, that is helpful sir. Thank you so much and all the best.
Moderator: Thank you. The n ext question is from the line of Mithun Soni from GeeCee Investments. Please go ahead.

Mithun Soni: Just wanted some clarifications. So how much of our revenue comes from the EVA -based product? Because that is where, from what we understand, is where the m aximum pressure has come because of the long supply chain?
Ramesh Kumar Dua: EVA consuming is around 50% to 60%.
Mithun Soni: And out of the 50% to 60%, how many of this business would be like where we had reasonably priced products like Hawai is of the wor ld and it is at the mass segment because that is where you would have faced most of the pressure or you have faced the pricing pressure even in the Hawai i category?
Ramesh Kumar Dua: We have faced this pricing pressure at the Hawai i which comes under brand Relaxo and Bahamas , and also EVA coming under Flite brand. These 2 categories we have faced this problem.
Mithun Soni: And the price correction, 15% has been taken across the entire portfolio of 50% or 60% of the EVA products?
Ramesh Kumar Dua: EVA and Hawaii segment, we have done the correction.
Gaurav Dua: PU and Sports shoes, we have not done any correction. So for 50% of the products of the total sales, 50%, which is that we have taken a correction. For the PU wear, Sports and Sparx, we have not take n any price correction.
Gaurav Dua : And one more very important element we are missing is that GST has increased from 5 % to 12%.
Mithun Soni : Correct.
Gaurav Dua : So that also has impacted a lot, in this lower segment 5 % to 12 %, that has also impacted, raw material plus GST.

Mithun Soni: Correct. The second thing, like as one of the participants asked that there is a clear shift what we are seeing that the premium, semi -premium has been doing well and versus the mass segment has been facing the pressure , and there is the market which is moving over there? So what are the things we are doing to promote and to expand the share of the semi -premium and the premium category for us?
Ramesh Kumar Dua: We are increasing the capacity of our sports shoe manufacturing capacity, we are doubling up the capacity , and we are also focusing on online sales. Online sales is maximum of premium and these segments only, not slippers or low price articles. That is what will do.

Mithun Soni: How are the priced Hawai i, they are also priced semi -premium or even they are also priced at the mass pricing?
Ramesh Kumar Dua: Hawaii is meant for mass segment.
Mithun Soni: Ok, So 50% of our business comes from the premium and the semi premium segment is the way to look at it?
Ramesh Kumar Dua: Yes, almost.
Mithun Soni: And given that we have our own 400 -store outlet distribution, any plans on that front, what are the things we are looking to do over there to promote our products in the premium category?
Ramesh Kumar Dua: Well, our retail ou tlets, they are doing well , and we are trying to see if need be, we will do the expansion on that front.
Mithun Soni: Ok, but you are looking to do expansion in that front?
Ramesh Kumar Dua: We ar

e watching now how much business we can extract. After all, retail is contributing to around 8% of the business. So strategically, our idea of putting a retail outlet had been to focus all of our products so that we understand what is the consumer behavior and then we spread across multi -brand outlets. It is just 8 % to 10% of the business.
Mithun Soni: Correct, t hank you very much sir.
Moderator: Thank you. The next question is from the line of Divyata Dalal from Trident Capital. Please go ahead.
Divyata Dalal: Thank you for taking my question. I wanted to understan d what would be the breakup of open footwear and close footwear in our revenue for 6 months?
Gaurav Dua : It is same like what it was last year. It is around 80% open and 20% closed.
Divyata Dalal: So Sparx would be a part of the close footwear or some part of it will also be open?
Gaurav Dua : Yes, it has both. It has open and closed. Both. Open is sandals and close is sports shoes.
Divyata Dalal: Ok fine, and in terms of our press release, we have mentioned that since we have taken the price cut, it has bee n welcomed by trade and consumers. So are we seeing some volume

uptick till now in Q3, like have you seen after taking price cut in September? Has there been some increase in volume on the Hawai i side?
Ramesh Kumar Dua: Yes, it is happening and in the month of November it would be much better. Because there is old inventory in the system, it will take some time, but things are very promising.
Divyata Dalal: So in terms of volume for next quarter also, we can assume that 80 -20 would be the breakup of ope n and close?
Gaurav Dua: Yes.
Divyata Dalal: Okay that is it from my side. Thank you.
Moderator: Thank you. The next question is from the line of Harsh from Marcellus. Please go ahead.
Harsh : Hi Sir, So traditionally, we have been strong in the northern an d the eastern market. However, in the Sparx category, we are just starting in the northern and eastern markets. So are we facing some headwinds in these 2 markets?
Ramesh Kumar Dua: Can you repeat the question?
Harsh : Yes, the traditional Relaxo has been very strong in the northern and the eastern market. However, in the Sparx sports shoes category, we are just starting off. Majorly, our revenue is coming from South and the Western market. So what are the specific headw inds that we have faced in these 2 markets? Why are we not take right now in the Northern and the Eastern market in Sparx sports shoes?
Ramesh Kumar Dua: North also we are focusing , and North is little more competitive market than South and West. All manufacturing ways of footwear is this side. In North, West and South, there were no manufacturing basis of sports shoes and all that. So we got an easy entry into that market. But here, it is in the north side, environmentally, it is more compe titive. But we are focusing, and things will be improving here also.

Harsh: Okay thank you.
Moderator: Thank you. The next question is from the line of Akhil Parekh from Centrum Broking. Please go ahead.
Akhil Parekh: My first question, would you be able t o quantify how much of the EBITDA margin erosion in the first half of the year is because of the inventory losses?

Sushil Batra : There is no effect of inventory on the EBITDA margin, it is mainly raw material prices, that is hitting . Otherwise, generally, we never sell below cost. It will never happen. So we either decrease the prices, but it is never below the cost. So impact upon EBITDA is mainly due to the raw material prices.
Akhil Parekh: Ok got it , the price hikes we took last year, right , and the cha nnel feedback was suggesting that some of our bigger competitors have not taken the hikes in context to what Relaxo took. So has the shift happened from Re

laxo to the other big competitors? Or have they gone largely to the unbranded side?
Ramesh Kumar Dua: It is most ly unbranded who were offering cheaper products, cheaper quality and since the affordability of the consumer has gone down. So for the time being, they shifted because their affordability was not there. That was one of the reasons.
Akhil Parekh: Okay. So we have not lost market share to any of our bigger competitors, right? Would that be a fair understanding?
Ramesh Kumar Dua: No, no, not at all.
Akhil Parekh: Okay. Third and last question, on the volume fron t, if I look at volumes from FY20 19 an d probably for next year as well, broadly, they have stagnated at around 17 to 18 Crore s, 19 Crore s. Is there any saturation which we are seeing in terms of volume growth because the volume growth is missing, I understand the pandemic was there, but which has been actually good for us. But if I look at last 5 years trend FY20 19 to, say, 2022, 2023 as well, the volumes are, by and large, muted. So anything if you can highlight on that?
Ramesh Kumar Dua: When people were not moving around, outdoor footwear was really totally stagnant or lowest. But thi s indoor footwear, were more. In a lockdown, there were a lot of people who are out, walking, going to villages and all of sudden too much demand had emerged. That was one of the reasons. But now I do not say, maybe this year things were stagnated. But next year, again, we will have growth.
Akhil Parekh: Like peak volumes we did in FY20 21, which is around 19 -odd Crore s, so would it be fair to say we will probabl y cross that number in, say, FY20 24, that is next y ear?
Ramesh Kumar Dua: I hope so.
Akhil Parekh: Okay sir got it, that is all from my side, and best wishes for coming quarters.
Moderator: Thank you. The next question is from the line of Viraj from Banyan Tree Advisor . Please go ahead. There is no respons e from current participant we will move to next partricipant.

The next question is from the line of Anush Mokashi from Yadnya Academy Private Limited. Please go ahead.
Anush Mokashi: Yes. Sir, my question is around EBO s. So basically, what we are looking a t is there is a decline in the EBOs those 398 as of March 2021, those have declined to 388 as of Q2. So can you please help us understand the reasons behind that?
Ramesh Kumar Dua: No. We generally are maintaining at 400. But sometimes, a few stores which are not doing well then, we rationalize and then we put out stores.
Anush Mokashi: Can you share any guidance on the EBOs side over the next few years? How much are we looking at?
Ramesh Kumar Dua: We are presently maintaining around 400. That is what we woul d like to have this year, 400.
Anush Mokashi: Essentially , do we have any plans to go international in EBO if you have any guidance on that?
Ramesh Kumar Dua: We are already exporting. Our share of export is around 4%.
Anush Mokashi: Opening up o f maybe Sparx EBO.
Ramesh Kumar Dua: No, no. Internationally, we are not opening any EBOs . It is only domestic that we have exclusive for our brand outlets.
Ritesh Dua: But as our test marketing, what we are doing is, we are opening the stores in to countries through our distributors to check the consumer taste there of our styles that we are promoting there that we are doing in few countries , and eventually, we will take a call how to go about it.
Anush Mokashi: I am assuming that EBOs margins at the distributor level are much high here than the MBOs or the retail outlets we have. Am I right in that condition?

Ramesh Kumar Dua: You mean multi -brand outlets or exclusive brand outlets, what do you sa y. How many number of you want to know?
Anush Mokashi: No. My question is around the margins. Basically, the margins which we get at the EBO level the distributor margin. Those are much

higher in E BOs compared to the MBO s.
Sushil Batra : Definitely, margins are higher, but because you have to do so many expenses, rent and staff and so many things, so MBO is a different model, they have their own shop or just proprietor running the shop. So we give margin around 30% to the MBO and then they pass on some

disco unt and they are earning around 25% - 30%. So that is more profitable but in case of EBO , definitely, there are margins are high, but expenses are also high.
Anush Mokashi: Okay thank you so much sir, that is it from my side.
Moderator: Thank you. The next question is from the line of Manish Poddar from Motilal Oswal AMC. Please go ahead.
Manish Poddar: A couple of questions. First is, what is the total Capex for FY20 24 and 2025?
Sushil Batra: FY2024, FY2025, see we have been spending around Rs.80 to Rs. 100 Crore every year. So this year, FY2023 , we have planned around Rs.140 Crore s. So 2024 and 2025, it should be between Rs.80 to Rs. 100 Crore . It is an ongoing Capex , we always have to expand.
Manish Poddar: And when you say you have not lost market share, how do you get a gauge on that?
Sushil Batra : Sorry, we have not lost the market share, next, what you are saying.
Manish Poddar: You mentioned on the call that you have not lost market share. So I am just trying to understand how we get a ga uge on that. You track shelf space, how do you get a sense of that .
Gaurav Dua: We have our sales offices. We have more than 300 sales officers visiting 50 ,000 outlets. So we keep a track of the primary sales, the secondary sale, the shelf space and what w e are seeing the volume degrowth in Hawai i and EVA category. So that clearly mentioned that the shelf has been taken by unorganized players.
Ramesh Kumar Dua: But now we are getting back.
Gaurav Dua: Now we are getting back, yes, definitely, after taking p rice correction.
Manish Poddar: And just one last one. So is the demand environment at the bottom of the pyramid really that bad because when you look at a couple of data points, let us say, price increase taken by mobile players or you look at a couple of online guys in apparel, doing very well, some of that thing does not add up.
Gaurav Dua: Yes. Because if you just read today newspaper Economics Times, clearly mentioned Rural India Big Pressure by Hindustan Lever, ITC, all. Rural India is really under pr essure there because of inflationary pressure , and urban India is doing really well that you can easily see that. All urban brands, urban consumption is there in mobiles or in automobiles. But rural India, we are seeing a sharp decline in consumption also.

Manish Poddar: Fair enough. Thank you.
Moderator: Thank you. The next question is from the line of Abhishek, an investor. Please go ahead.
Abhishek: Thank you for the opportunity I have a couple of questions. My first question is around, as you mentioned, the opening remark, right, that the EVA prices in the domestic markets are around Rs.200 per kg. So does it mean that now there is an even playing ground for us and other unorgani zed players?
Gaurav Dua: Yes, now it is better because now after taking price correction, we are at same level because we are buying at Rs.200 and they are also buying at Rs.200.
Abhishek: Right, and are there any further price cuts expected by us?
Gaurav Dua: No, I do not think so.
Abhishek: So my next question would be around the Sparx brand . So is there any competition from the organized sector from other listed or other large players in the sector, in Sparx brand?
Gaurav Dua: Yes, there are a lot of org anized players , and there is a competition, no doubt about it. But we have a different market, different product portfolio and the athleisure demand overall is increasing f

or every brand because the consumer trend is shifting to a fitness, lifestyle, healt h. So demand of athleisure footwear is going up, for the industry itself is going up.
Ramesh Kumar Dua: That is why we are doubling the capacity.
Abhishek: Got it , and my last question would be on the contribution of Sparx from its open footwear and from close footwear. Is the open footwear competition that is sandals much higher compared to sports shoes?

Gaurav Dua: No, the competition is in both levels, sandals, and s hoes. It is not that competition is less in shoes or sandals. So it is an athleisure category. So it is a growing category and market is growing.
Abhishek: Got it. Thank you.
Moderator: Thank you. The next question is from the line of Tejash Shah from Spark Capital. Please go ahead.
Tejash Shah: Just one question from my side. Usually, we have seen in a category where there is a large participation by unorganized sector. Inflationary period is always beneficiary for organized

players because of the scal e, ability to manage supply chain volatility and in procurement, planning, production. Understandably, they should have an upper hand versus unorganized players. So in our case, it did not play out like that. So just wanted to understand, was it different in our case or there were some more headwinds or unprecedented headwinds which did not allow us to capitalize on this opportunity?
Ramesh Kumar Dua: So as long as we were rising, we were in a better position. It is only because there was a decline of the p rice of our main material from Rs.300 to Rs.160. If you consume 1 ,000 tonnes a month, at that time, local market availability of the material came down at Rs.160 - Rs.180. But we have a long supply chain, which we are buying, and our average price was Rs.240 for the year. So it was just in this 3 - or 4-month pe riod when they became advantageous because we have a long supply chain thereby supply short supply chain.
But this happens once in a life that prices go down and they became advantageous. It is very rare phenomena. It is just a matter of time. Otherwise, we cannot be dependent at all on local sources. Our factory will come to a halt. To have uninterrupted , no disruption, manufacturing process, we have to maintain this sufficient inventory in the pipe line. During the lockdown period, even there was so much of scarcity of material and even getting containers to ship the material became a challenge. So that is why we took little abundant precaution and added a little more stocking also just to avoid any manufacturing disruption.
Tejash Shah: And sir, just expanding that point, what percentage of competition would be importing either raw material or finished goods from China, especially from unorganized?
Ramesh Kumar Dua: I can not comment on that. I can te ll you about ourselves.
Tejash Shah: No, I was asking about unorganized, not organized, but anyways , thanks.
Ramesh Kumar Dua: Unorganized, their figures are not at all available to anybody. I do not know even they pay GST to the government. I can not say a nything.
Tejash Shah : Fair point sir. Thanks and all the best.
Moderator: Thank you. Ladies and gen tlemen, due to time constraint, that was the last question. I now hand the conference over to the management for their closing comments.
Sushil Batra : Thank you all for joining the call. This is all from our side. Looking forward to joining you again. Thank you.

Moderator: Thank you. Ladies and gentlemen, on behalf of Motilal Oswal Financial Services Limited, that concludes this conference call. We thank you for joining us, and you may now disconnect your lines. Thank you .

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Call: May 2023

May 1 6, 2023

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Corporate Relationship Department
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Rotunda Building, P J Towers
Dalal Street Fort, Mumbai –400001 National Stock Exchange of India Ltd
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Exchange Plaza,
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Bandra (East), Mumbai - 400 051
Scrip Code – 530517 Scrip Code – RELAXO

Sub: Conference call Transcript
Dear Madam / Sir,

With reference to captioned subject, we hereby enclose the transcript of Investors call regarding Q4 & FY 2 3 results which was hosted by the company on May 12, 2023 at 4:00 P.M (IST).

The same is for your information and records please .

Thanking You,

Yours Sincerely, For Relaxo Footwears Limited,
Ankit Jain
Company Secretary and Compliance Officer
Membership No.: FCS 8188

Encl. as above

"Relaxo Footwears Limited
Q4 FY '23 Earnings Conference Call"
May 12, 202 3

MANAGEMENT : MR. RAMESH KUMAR DUA – MANAGING DIRECTOR
MR. GAURAV DUA – WHOLE -TIME DIRECTOR
MR. RITESH DUA – EXECUTIVE VICE PRESIDENT ,
FINANCE
MR. SUSHIL BATRA – CHIEF FINANCIAL OFFICER
MR. ANKIT JAIN – COMPANY SECRETARY

MODERATOR : MS. PRERNA JHUNJHUNWALA – ELARA CAPITAL
SERVICES PRIVATE LIMITED

Moderator : Ladies and gentlemen, good day, and welcome to Relaxo Footwears Limited Q4 FY '23 Earnings Conference Call hosted by Elara Securities Private Limited. As a reminder, all participant lines will be in the listen -only mode. There will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an

operator by pressing star then zero on your touchtone phone. Please note that this conference is
being recorded. I now hand the conference over to Ms. Prerna Jhunjhunwala from Elara Securities Private Limited. Thank you, and over to you.

Prerna Jhunjhunwala : Good evening, everyone. On behalf of Elara Securities India Private Limited, I would like to welcome you all to the 4Q and Full Year FY '23 Post -results Conference Call of Relaxo Footwears Limited. Today, we have with us the senior management of the company, including Mr. Ramesh Kumar Dua, the Managing Director; Mr. Gaurav Dua, Whole -Time Director; Mr. Ritesh Dua, Executive Vice Pr esident - Finance; Mr. Sushil Batra, Chief Financial Officer; and Mr. Ankit Jain, Company Secretary.

Without taking any further time, I would now like to hand over the call to Mr. Sushil Batra, and over to you, sir. Thank you.

Sushil Batra: Thank you, Prer na. Good afternoon, ladies and gentlemen. Thank you for joining us on this earnings call for the quarter and fiscal year ended 31st March 2023. The earning press release and the investor presentation have been uploaded on the stock exchange as well as at our website, and we hope you have had the chance to go through these.

Before we begin the question and answer, I will quickly go through the Q4 and FY '23 performance starting with Q4. In Q4 FY '23, we recorded revenue of INR 765 crores as against INR 698 crores in Q4 FY '22, recording a growth of 10% year -on-year. On a Q -on-Q basis, the revenue increased by 12%. This is mainly due to volume growth across all categories. Our Q4 FY '23 EBITDA was at INR 118 crores, up by 6% year -on-year, from INR 111 crores in the corresponding quarter of the previous year. EBITDA margins were at 15.4% in Q4 FY '23 as against 15.9% in the corresponding quarter. On a Q -on-Q basis, EBITDA margins have grown substantially by 481 basis points due to the selling of low cost invent ory along with costly old inventory.

PAT at INR 63 crores, on a sequential basis, that grew by 110% from INR 30 crores in Q3 FY '23. PAT margin for Q4 FY '23 was 8.3%. Our price correction efforts during the last quarter have resulted in good momentum, and w e have continued our market share recovery in all major segments during this quarter without relying much on discounts and offers.

Now moving on to full year FY '23. Despite the challenging environment last year, our strong team responded effectively and o ur commitment to maintaining our high standard of excellence have made us successful. Revenue for FY '23 was at INR 2,783 crores, up by 5% year -on-year from INR 2,653 crores in FY '22. EBITDA was at INR 336 crores as against INR 416 crores in FY '22. EBITD A margin was at 12.1% as against 15.7% in FY '22. Margins were affected

primarily by the high pressure on raw materials pricing during most of the year. PAT was at INR 154 crores in FY '23.

We are now a debt -free company with robust cash flow from operation due to our strong working capital management. During the year, the company incurred a capex of INR 174 crores. With the stabilization of raw fuel prices in Q4, we are currently experiencing strong demand and hold an optimistic view of the future. Our company is strategically positioned to take advantage of the opportunities within the industry, allowing us to further expand our market share. Our key strengths lie in our in -house manufactur

ing capabilities, the quality of our product , and the strong recall of our brand.

We remain dedicated to upholding these strength s and will persistently strive to maintain their integrity. We are confident that our continued efforts will lead positive outcome for us in the time ahead. Thank you. Now we can open the floor for questions.

Moderator: The first question comes from the li ne of Aliasgar Shakir from Motilal Oswal.

Aliasgar Shakir: Congratulations to finally seeing a good market share trend in your company. I have 3 questions. First is on the current quarter. So I understand from our channel checks that post cleanup of the old inventory, market demand has picked up quite strongly. And in fact, Relaxo has not been able to meet all the distributor demand. So is this true in multiple geographies? And do you think we would have lost any revenue because of that factor, if you could just quantify what could have been the impact of that in this quarter? And has that been now subsided? Or we are still seeing demand not being able to fully be met?

Gaurav Dua: What you said is partly correct, that there is an upsurge in demand, and we ar e seeing it. One reason is that we have corrected the prices. And second, this is a peak season for us for open footwear. As we are 75% open and 25% closed, so this is the open footwear starting from January to June to July. And regarding the shortages, we are managing. We have inventory with us and the uptake we are seeing across India for the open footwear.

Aliasgar Shakir: Got it. So can you quantify if we would have lost any revenue because of that in this quarter? And has that been now subsided?

Gaurav Dua: It happened in February because there were some IT issues, which have been corrected. And

now we are able to cover. We have sufficient inventory.
Aliasgar Shakir: Okay. Got it. Second question is on your margins. So while we have significantly reduce d prices,
we have seen impact on margins. So can you share, I mean, what is the trend we should expect in the coming quarters as raw material prices are also softening? S hould we see that helping us
and therefore the impact on margin that we saw in this quarter should improve? How should we see that?
Ramesh Kumar Dua: Market remains challenging, and we have to be very cautious with respect to our pricing of our articles so that we always have a good market share as far as sales are concerned. The EBITDA
margin that you have seen in this quarter is likely to continue, and there is likely to be some
improvement also.

Aliasgar Shakir: Got it. This is very helpful. On the gross margin also, should we see improvement because of
the raw material price softening?
Ramesh Kumar Dua: Some improvement, yes.
Aliasgar Shakir: Understood. And just last question on the closed footwear in the sportswear category. I understand that we have made a lot of changes in our design team, online team. If you could
share some thoughts in terms of what is the strategy in the sportswear in terms of new product
development and what is the aim in the next 3 - 4 years. Can we expect to reach about INR 1,000
crores in 3 - 4 years' time? I mean, if you can just share what is your strategy t here.
Gaurav Dua: So if you talk about Sparx sports shoes, we have seen healthy growth. We have done roughly around 25% growth. And before that, last year, we put up a plant to cater to this need. So still,
the plant capacity still we have. It will take 2 - 3 years to reach to that level, and you're talking
about INR1,000 crores, Sparx is already INR 1,000-plus crores brand.
Aliasgar Shakir: Yes. But sports wear would be relatively lower? Or I mean, of course, Sparx is much bigger, but
within that sportswear , if you could just quantify how much would that be?
Gaurav Dua: So that is roughly around -- we do sports shoes and all sports category, rou

ghly around INR 400
crores. So definitely, we have aspirations to become INR 1,000 crores. And it will take 2 years,
3 years, time will tell.
Moderator: Next question comes from the line of Vikas Jain from Equirus.
Vikas Jain: For the first question, definitely, we have seen a market share which you have regained from
which we were lost to our earlier competitors. So at this point of time, can you really say that you have regained almost all of the market share or some part of it is still left?
Gaurav Dua: Can you repeat the question? It's not so clear.
Vikas Jain: I was mentioning about the market share. So have you l ike reached -- regained the entire market
share and reached to what we were at the pre-COVID times? Or probably some part of it is still
more or less left to gain?
Gaurav Dua: Yes, definitely, what we have lost market share in last quarter 1 or quarter 2 last year, we are
seeing the good momentum now, and we are gaining the market share back. So definitely, we
will recover -- we have recovered. Now we'll recover more.
Vikas Jain: Sir, second question with respect to the demand. Well, Ramesh sir did mention that the demand
environment continues to remain challenging. So probably, is it like the -- how would you --
some comments with respect to how the underlying market is growing, and what do you think it
will take for the market to normalize in what time pe riod according to your estimates?
Gaurav Dua: So actually, what we are hearing from the market that this Eid and this festive, there is a demand
contraction happening in some parts of India. Rural India is still not able to cover up what it was contributing. But I think this is a temporary phenomenon. The inflation is now getting controlled,
and we'll definitely see the uptake in coming quarters.

Vikas Jain: Understood. And sir, with respect to last -- again, like -- with respect to penetration in South
India, so how can broadly break out revenues across on a geographic basis? What is the
contribution from the all 4 North, West, East and South?
Gaurav Dua: So North contribute maximum to around 44%; followed by East, 22%; 20% is West and 15% is
South. And we are maintaining this from last year, it is similar.
Vikas Jain: Sure. And with respect to more distributors adding in the South, is that on time? Or how many have you added this year probably?
Gaurav Dua: So it's not a great achievement in adding more distributors. We have maintained what we were having. So always, there will be a churn, new addition and some people leaving. So it's roughly around same.
Moderator: Next question comes from the line of Kaustubh Pawaskar from Sharekhan By BNP Paribas.

Kaus tubh Pawaskar: So my question is on the price cut what we have taken to. So we have taken the price cut to reduce the pricing gap between the lower -- products which are around less than your price point products. But since you said that raw materials pric ing had all corrected, have we seen any price reduction undertaken by those bottom of the pyramid players or lower price point players in the market? And because of which, again, the pricing difference what you were planning to reduce,
it has again gone up. Any sense on that?
Ramesh Kumar Dua: No. Now our prices are very competitive and there is no room for further price cuts. And even on competition, while we are very competitive, there's no issue. I don't think that there's any room -- competitor can do m uch about it.
Kaustubh Pawaskar: Okay. So you don't see any further price that's happening in the market, right?
Ramesh Kumar Dua: No, no. Not so.
Kaustubh Pawaskar: Okay, okay. And sir, my second question, you have been consistently talking about expanding your capacity. So any guidance for capex going ahead and where you're planning to add capacity?
Ramesh Kumar Dua: So last year, whatever capacity w

e wanted to expand, that has been expanded.
Kaustubh Pawaskar : Okay. So there is not going to be...
Ramesh Kumar Dua : This year only, money is going on moulds , which are regular kind of things, some repair, moulds and backward integration, some capital asset generation, that's it.
Kaustubh Pawaskar : Okay. Any thoughts on your retail expansion front? By FY '23, how much was your reach and where you want to take it over the next 2 years?
Ramesh Kumar Dua : Earlier, we were maintaining around 400. Now, we are expanding this year.
Kaustubh Pawaskar : Can you provide some numbers on this, sir?

Ramesh Kumar Dua : Earlier, we were earning 400 outlets. Now we are planning to have 465 this year , 65 more additions .
Moderator : Next question comes from the line of Onkar Ghugardare from Shree Investments.
Onkar Ghugardare: My question was regarding -- it's from your inve stor presentation. So from FY '21 to FY '23, the average realization has gone up, but the number of pairs sold has decreased. So -- and in this quarter, the average realization has gone down significantly. But the number of pairs sold has been -- has increased dramatically. So like what's the management's view on this going forward? What would be the average cost of pairs or like how it is supposed to be in the future?
Ramesh Kumar Dua : Last year, we had done major correction in some of our categories like Hawaii, EVA. So that was the reason that the average selling price has gone down. And our volume has gone up. So that is why volume is going up because the average rate has gone down, only because of reduction in prices.
Onkar Ghugardare: So from here on, what we can expect, a stabilization here? Or like...
Ramesh Kumar Dua : Stabilization, by and large stabilization.
Onkar Ghugardare: Okay. You don't see any upside from here on?
Ramesh Kumar Dua : On the whole year side because in this quarter, mostly open f ootwear was in demand. Closed footwear counts in winter season. So overall in the year, again, you will see our last year average price of INR 160 will be back.
Onkar Ghugardare: Okay. So for the current financial year, you are expecting around INR 160 per pair realization?
Ramesh Kumar Dua : Could be a little higher, also depending upon the shoes. If they're a little better, then things will be further. But around INR 160, INR165, we can expect average.
Onkar Ghugardare: Okay. And what about the number of pairs? I mean, what could be the ballpark estimate for that?
Ramesh Kumar Dua : Definitely further. From the Last year, we expect double -digit growth in volume for this year.
Onkar Ghugardare: Okay. So around double -digit volume growth and around similar ki nd of average realization per pair or somewhat higher?
Ramesh Kumar Dua : Yes.
Onkar Ghugardare: Okay. As far as the ROE and ROC is concerned, what's your plan on next 2 - 3 years since it has come down dramatically, again, from FY '21 to FY '23?
Sushil Bat ra: Definitely, it will improve in coming years because last year was a tough year, profits were under pressure, and we did capex also. Next year, definitely, it will be much better than this FY '23.
We can compare with FY '22, it was well.
Onkar Ghugardare: Because it has now come down to a single digit now. That's what -- that's why I'm asking.

Sushil Batra : Definitely. It should be at least between 15% to 20%, that is the intent and if things are well, so

definitely, we'll achieve that.
Onkar Ghugardare: Okay. As far as the demand outlook is concerned, how are you seeing currently this shaping up?
Gaurav Dua : So currently, there is a little challenge in the market. There is a little demand contraction. But I think going forward, quarter 2, quarter 3 onwar ds, we will be better.
Onkar Ghugardare: Okay. In the current quarter, you are

facing some demand issues?
Gaurav Dua : Yes. Because what we hearing from the market that's still rural is not back on track. It's going to take a little time.
Onkar Ghugardare: Okay. Any update on what could be the export percentage? And how -- is there any opportunity for Relaxo? Or like the home market is so large that everyone bothered to think about -- or bothered to think about the export market?
Ritesh Dua : Exports we have done around 4%, 4.5% of total revenue. And the way we are growing the last 2 - 3 years' time, we're giving -- getting double -digit growth. And we are -- in the future also, we are expecting the same. Growth will sustain.
Onkar Ghugardare: Okay. The margins or they are better than the home market or like how it is?
Ritesh Dua : It is like similar.
Onkar Ghugardare: Okay. And which are the major countries you are exporting to?
Ritesh Dua : We're exporting to all these like regions we are growing, like Gulf, Oc eania region or even Africa. Even Central America is now showing back on track because during COVID time, that was badly affected. But that also is going up. So all markets are good.
Moderator : Next question comes from the line of Ankit Kedia from Phillip Capital.
Ankit Kedia : 11% realization drop Y -o-Y and quarter -on-quarter. How much is due to price cut and how much is due to mix change on new -- you introduced INR105 chappals also in the market last quarter. So can you give us that impact of mix process price cut?
Ramesh Kumar Dua: The lowest -priced article that you're talking, that is very minimal. It has no -- any significance. It is just entry barrier kind of an article. But otherwise, whatever price cuts we could do on account of fall in our raw mater ial prices that we have done, and that's it. No more price cut.
They're competitive and optimistic. Since they're growing, we are getting our market share back.
Ankit Kedia : And sir, in this 11% realization drop, can you quantify how much is due to mix and how much is due to price cut?
Ramesh Kumar Dua: Very complicated. We have 400 articles -- different articles, different pricing, different material consumption. So this is very difficult to quantify. I think article wise, everything are different.

Ankit Kedia : Sir, is it fair to assume that the price cut in open footwear could be higher than the price cut in closed footwear, if I could take on a blended basis?
Ramesh Kumar Dua: Yes. Because more polymers are required in open footwear, like the EVA or Hawaii slippers. But in sports shoe, upper is a different material, bottom is different material. So you're right. In case of sports shoes , price cut was not in there. It was almost same.
Ankit Kedia : Understood. So the reading is the 75% open footwear, we would have taken a double -digit price cut, while in closed footwear, which is around 25% - 30% of our business, we would have not tinkered with the prices much.
Ramesh Kumar Dua: No, not much.
Ankit Kedia : Understood. Sir, my second question is regarding prom otions. We have seen higher promotional activity in the quarter in the market. Your competitors also in the month of January, February, March were very active by giving higher dealer commissions and even retailer commissions. So could you please elaborate, how was our promotion activity in the quarter? And going forward, how are you looking at your A& SP spend?
Gaurav Dua : If we maintain the A&SP spend -- in terms of schemes, we always -- we have -- like depends categories -to-category. Hawaii we have different types of schemes. And in shoe division , the reason we have different type of schemes. So seeing the demand, seeing the market scenario, seeing the pricing, we decide what kind of scheme we have to run. And we will see that in the competition also. So we don't benchmark exactly. We see what is our need and then we floa

t the
scheme. So we do not exceed -- the competition is giving more, let's give more. We have to analyze other situations also.
Ankit Kedia : Sure. And what is the A&P target for next year? A nd how much is it for this year, if you can quantify?
Gaurav Dua : So like if you talk about A&SP, we do around 8% to 9%, and we are maintaining this from last two, three years, and we will try to maintain a similar pattern in this coming year also. So this includes advertisement and promotion.
Ankit Kedia : And how much would be pure advertising?

Gaurav Dua : Roughly around 4.5%, 4%.
Ankit Kedia : Understood, sir. And sir, if you can just share one of your competitors in sports shoes is going very aggressive in EBOs. While if I look at your EBO count for last four years, has been pretty much flat at 390-odd EBOs. Why haven't you expanded EBOs in last four years? What is the risk you see in EBO expansion, which has -- while COVID years were also there in two y ears, but still, the expansion has not been compared to the market where we are seeing competitors expand EBOs. So if you can just talk a bit on that?
Ramesh Kumar Dua: No. You're right that the last two years, we didn't expand. We wanted to make it a litt le more efficient because we have to control our bottom line also and our article s, 75% are open

footwear, 25% are sports shoe s. The competition you are comparing with their only shoe outlets.
So keeping in view, a balanced -- so our -- the strategy of our retail showroom is to showcase our products. Share of our retail outlet in the total scheme of things is around 8%.
Ankit Kedia : Right. And is it fair to assume the margins in EBOs would be just near double digit and lower than the company average?
Sushil Batra: Yes. It's lower than company average, but I think the high single -digit margin, we are in that category.
Ankit Kedia : Understood, sir. Thank you so much and all the best, sir.
Moderator : Thank you. Next question comes from the line of Manish Podda r from Motilal Oswal AMC. Please go ahead.
Manish Poddar : Thanks for taking the call. So primarily three questions. One is, can you help me with primary and secondary numbers for this quarter?
Gaurav Dua : Can you repeat again, can't hear you?
Manish Poddar : Primary and secondary numbers? Because you are saying that Q1 is still soft, But your volume numbers, when I look at 5.2 versus 4.2 of last year or 4.1 of this quarter -- last quarter, they seem to be doing decent . So I'm just trying to understand what am I missing?
Sushil Batra : I think, it's volume growth. Are you referring the number which you have mentioned in investor presentation.
Manish Poddar : Yes. Volume growth.
Sushil Batra : We sold more open footwear in this quarter and lot of demand wa s there. So that's why these numbers are very high as compared to earlier quarters.
Manish Poddar : Okay. But wouldn't that be the case in the base quarter also?
Sushil Batra : This current quarter, Q1, you're talking about?
Manish Poddar : No. I'm just say ing when I compare Q4 FY '22, where you sold 4.2 crores pairs versus 5.2 crores pairs in this quarter, the mix would be similar, right, this point which...
Ramesh Kumar Dua: Yes. Also, I think it will be sustained.
Gaurav Dua : Mix is also similar. You're right, yes.
Manish Poddar : So this growth, is it -- the channel was running low on Relaxo products given our pricing and now it has stabilized? Is that a function of that? Or is it a lot of customer uptake also happening?
Gaurav Dua : No. It is like what we lost market share in Q1, Q2, Q3. Now we are regaining that market share. So we're getting the space back at helves .

Manish Poddar : Okay, shelf space. Okay. And the second point is you are also doing pricing parity earlier. So where are we in the journey n ow? How is pricing across channels for you now?
Ramesh Kumar Dua: Now, we are very competitive. That is why we are able to get the commissions.
Manish Poddar : Okay. And just one last one, if you could give, let's say, for FY '23 as a whole, just a broad brand-wise split between Sparx, Flite PU, Flite EVA and Relaxo?
Ramesh Kumar Dua: Sparx is around 40%; Flite is around 38% and rest is our Bahamas and Relaxo brand.
Manish Poddar : So Sparx 40%, Flite is 28% and the rest is...
Ramesh Kumar Dua: Flite is 38 %.
Manish Poddar : Okay. And how much would be Flite PU and EVA in that 38%?
Sushil Batra : So you were asking in split of EVA and PU, EVA was 15% and PU was 23%.
Ramesh Kumar Dua: Of the 38%, the breakup we are telling.
Manish Poddar : Just one last one. In Sparx, how much was closed in Sparx ?
Ramesh Kumar Dua: Total closed has been around 25%.
Manish Poddar : 45% sir?
Gaurav Dua : I think the query is within Sparx you're asking?
Manish Poddar : Yes, within Sparx. So let's say, this INR2,800 crores you are saying, Sparx is roughly 40% of sales, roughly INR1,120 crores. How much is closed in that?

Gaurav Dua : 40% is closed and 60% is open in INR1,000 crores.
Manish Poddar : So it's roughly INR400 crores now.
Sushil Batra : Make it INR 400 crores to INR450 cro res.
Manish Poddar : Okay, fine. Thank you so much.
Moderator : Thank you. Next question comes from the line of Gaurang Kakkad from Haitong Securities. Please go ahead.
Gaurang Kakkad : Yes, hi, sir. Congrats on a good recovery in volumes as well as margins. I have two questions. Firstly, can you give the trend in terms of how the EVA prices are currently panning out? And what was the Q4 average pricing of EVA for you?
Ramesh Kumar Dua: Now EVA prices are stabilized. It's around INR170, that is what -- this is at what rate we consume, although market maybe at INR160 only. This -- the current -- the month of -- current

quarter that is going on, it is around INR160, INR155. It keeps on changing a little bit here and there.
Gaurang Kakkad : Okay. And last quarter, in the base, this would be very high, right, closer to INR250, INR300, Q4 FY '22?
Ramesh Kumar Dua: It was INR250, quarter 1 -- for quarter 1 of this year -- of the past year in FY '22- '23.
Gaurang Kakkad : Right. And currently, the prices are stable at around INR155, INR160, which is what the Q4 pricing -- average pricing was.
Ramesh Kumar Dua: Correct.
Gaurang Kakkad: Okay. And secondly, on the EBO outlet strategy, so you have been at those 400 outlets for some time now. And it's heartening to see that there is some plans in terms of expanding that by around like 15% this year. Now is it that we've got the model right in terms of EBO and now we can target healthy margins in the business? Or is it more so given that EBOs are largely Sparx brand focused. S o we want to target aggressively and go aggressively on the Sparx brand. So what's the strategy out here?
Ramesh Kumar Dua: Naturally, once we are having more efficiency in our stores, so we have started expanding this year, and we will continue the moment um the way things are.
Gaurang Kakkad: Okay. So like every year, you will have around 60 stores , 70 store expansion in the EBO going ahead?
Ramesh Kumar Dua: We hope so.
Gaurang Kakkad : Okay. And this high single -digit margin largely is sustainable or we can target to aim more closer to double -digit or even a bit higher once it's like fully scaled up and maybe two years, three years down the line?
Ramesh Kumar Dua: Yes, naturally. Down the line, things will improve further. But we have to be always cautious keeping in view competition, having a competitive pricing. But things will improve because once the sales improve, then efficiencies improve, overheads start getting low. So ultimately, your bottom l

ine improves.
Gaurang Kakkad : Right. Yes. That’s it from me. Thank you.
Moderator : Thank you. Next question comes from the line of Jasdeep Walia from Clockvine Capital. Please go ahead.
Jasdeep Walia : So my first question is just a clarification on sales of Sparx brand in FY '23. Now last year, you had said in FY '22 fourth quarter call that Sparx has 37.5% of overall sales, which makes the sales of Sparx INR 1,000 crores in FY '22. And this year, in the opening comment, you said it has grown 25%. So Sparx brand sales should be INR1,25 0 crores this year. And in your -- in one of the conversations you had with one of the people who asked questions, you said Sparx

brand sales is only INR1,100 crores. So what is the correct number for sales of Sparx brand in FY '23?
Sushil Batra : No, no, we have not told it's 25% growth. Where will you -- from where you got it?
Gaurav Dua : 25% growth, what we said was sports shoes, only sports shoes, not Sparx. It is sports shoes.
Sushil Batra : Sparx brand, it covers so many other things, sandals and open footwear also. And that number is related to only shoes , closed footwear.
Jasdeep Walia : Okay. And so what has been the overall growth in Sparx brand in FY '23?
Sushil Batra : Overall growth is around 10% to 12%.
Gaurav Dua : 13% is the overall growth of S parx category, all put together sandals, shoe, SFG, Schoolmate everything under the Sparx brand name.
Jasdeep Walia : Got it. And sir, I'm assuming fourth quarter is an off -season for Sparx, right? So most of your

sales in fourth quarter would be just open footwear sales, right?
Sushil Batra : Correct.
Jasdeep Walia : So fourth quarter is what percentage of overall sales of Sparx in a typical year?
Gaurav Dua : If we do check, 35%.
Jasdeep Walia : So 35% of Q4 sales is Sparx brand?
Sushil Batra : Correct. Yes.
Jasdeep Walia : Got it, sir. Got it. And sir, I have a query on your EBOs. So you mentioned that competitors opened more EBOs because they open EBOs only for their shoe brand. So why don't you do the same? Why don't you open only Sparx EBOs? So then you would have the sam e economics of your competition, right? Then the economics would be good.
Ramesh Kumar Dua: Thanks for suggestion. We'll consider it.
Jasdeep Walia : Got it. And in the current 400 EBOs, there are no Sparx branded EBOs, right, only Sparx branded EBOs?
Rames h Kumar Dua: No. So far, no.
Jasdeep Walia : Got it. Sir, my last question, sir, what is the composition of your exports? Is it only open footwear, or is it Sparx band?
Ritesh Dua: No. Actually, it is more of open footwear. I would say, around 60% of our international business comes from Hawaii, open footwear. As you say, basic like Bahamas and basic Relaxo brands put together.

Jasdeep Walia : Thank you, sir. That’s all from my side.
Moderator : Thank you. Next question comes from the line of Gaurav Jogani from Axis Capital. Please go ahead.
Gaurav Jogani : So my first question is with regards to the multiple price cuts over the last two, three quarters that we have seen. So has it led to some kind of multiple price points at the distributor end? And could this possibly lead to a change in the down stocking or some kind of inventory level change at the distributor level?
Gaurav Dua : You're correct. Like we have done multiple rounds of price cuts. So they had different types of MRPs, distributors and retailers. But now all of them have been cleared. It took three to six months to clear all the old MRP products. Now currently, as for demand, and we have the current prices available in the market, and there's no problem of stocking with the distributors. Currently , they are running short because of the season. This is the peak season.
Gaurav Jogani : Okay. And sir, yes, that was my foll

ow -up question actually. Because of this clearance of the old prices that you have taken in the channel over the past three to six m onths, so could there be a case wherein because of this activity that you have taken in the past, the base for FY '24 becomes weaker and because of which we could see a higher volume growth for FY '24 because of that?
Gaurav Dua : Yes, yes, you will definitely see that.
Gaurav Jogani : Okay. So would it be prudent to expect at least 15% to 20% kind of a volume growth for FY '24 in that case?
Gaurav Dua : We're targeting that currently.
Sushil Batra : Yes. We're looking to...
Gaurav Dua : On double -digit grow th in volume.
Gaurav Jogani : Okay, sure. And sir, my next question is with regards to, again, on the pricing part, while we see prior to the increase in the GST from 5% to 12% in products below INR1,000. And even if you compare it versus the pre -GST era, I think the taxation on this segment is now higher. So how does it -- how is it impacting demand at the lower end? And do you see, do you think there will be a permanent shift from some of these lower -end footwear to maybe some price -- high-priced footwear that you see in the future?
Gaurav Dua : It's been one year since that tax has gone up from 5% to 12% and market has adjusted to the new price structure of 12%. And now I think market is comfortable with the new pricing structure in the GST structure. And we do not see any new player entering because of this or unorganised getting higher. We have taken the correction in prices and we have regained our shelf space.
Ramesh Kumar Dua: Things are fairly stabilized now.

Gaurav Jogani : Okay. Sure. And sir, the third and the last question is with regards to the overall the demand patterns that you see in this category, because we are seeing a higher growth in the Athleisure segment versus -- in terms of the open footwear. So what kind of strategy the company is doing

apart from these Sparx brand that it is running? Is there another sub-brand that the company is
trying to experiment to introduce more designs or it will be only basically done through the
Sparx brand itself?
Ramesh Kumar Dua : No, no. Currently, no more brand. We are focusing on these brands and accordingly, our price
segmentation has taken place. So there's no plan of, I think, any new branded category.
Gaurav Jogani : Okay. And sir, in terms of the margin structure, if you see there is a lot of volatility in the margins
over the last 3 years if you see, because on peak level, on an average, we have gone to 20% kind
of EBITDA margins. And even in the bottom, we have touched 10% kind of EBITDA margins.
So as per you, what kind of margins are sustainable in the business model that you operate,
which is at a distributor like model? So what kind of margins should have one built at a steady -
state case for a business like Relaxo?
Ramesh Kumar Dua : Currently, we are, I think, aiming 15 %, 16% margin, so that thing gets fairly stabilized. We remain
competitive. And then better efficiency may add further. Let us wait -and-see how the
things pan out.
Gaurav Jogani : Sir, my question was more not on the near term, but more broader and a long -term question. Is
this a business wherein we can target EBITDA margins also near 20%? And the reason I'm asking this question is because
ours is a business where we're largely focus on price where the customer is more price conscious. So if we try to take t he
margins a bit higher, is there a case
where you can attract more competition at that price points?
Ramesh Kumar Dua : Definitely we have to be very cautious on this count. We should not just in an ambition to raise
EBITDA and then we start losing market share. So -- but we have to always watch all the
conditions, how is the market scenario, how is our efficiency level, then we have to improve our
back -e

nd efficiencies and become more competitive. At the same time, EBITDA can also
improve in that case. So always you have to be agile and watchful of all those conditions to
improve the things. Gaurav Jogani : So if I summarize or understand it better, I think you
would like to keep your margin in a tight range wherein you remain competitive versus the competito rs, but at the same time,
also drive profitability for the business.
Ramesh Kumar Dua : Yes.
Moderator : Next question comes from the line of Sachee Trivedi from Trident Capital.
Sachee Trivedi : My question is actually, I would say, my first point is almost a complaint, if you will. We are
almost a $2.5 billion to $3 billion market cap company. But our engagement with the investors
is extremely limited. And we do an earnings call every other quarter, and any attempt to get in
touch with the management is bas ically we don't even get a response. Could we improve this,
please?
Ramesh Kumar Dua : Yes. We can consider this.

Sachee Trivedi : So basically, if I reach out, then at least will I get a response back?
Ramesh Kumar Dua : Yes.
Sushil Batra : Yes, you will get the response. We have IR agency also. You can connect them or you can
connect our company secretary. So definitely, they will respond.
Sachee Trivedi : Okay. Fine. I'll try again. My second question is, a few years ago, I had heard that yo u are the
contract manufacturer for Nike shoes in India. Is that still true? And could you talk about that?
Ramesh Kumar Dua : That was long back. It was more than 40 years back when we were doing the contract
manufacturing for them.
Sachee Trivedi : Okay. O kay. Fine. And then my final question is in terms of price margin and -- I mean, we are
told that you can either fix the price or fix the margin. Which one of those do you fix? Or do you
fix both and then work on the cost?
Ramesh Kumar Dua : So we have to b e mindful of both the things. We have to fix our margin also and we have to aim
for our market penetration and turnover also. Both the things, we have to balance out. We can't
just look at one thing.
Moderator : Next question comes from the line of Akhil P arekh from Centrum Broking.
Akhil Parekh: Just continuing on the previous participant's question. Sir, how should we look at Relaxo, right? I mean, pricing
has been an issue for us in the past as well in FY '18, '19, and one of the larger
peers entered int o our territory and started undercutting on prices. We couldn't increase our ASP.
Like if I look at '17, '18 and '19, the ASPs were largely practiced at around about INR125. And in '23, again, we saw similar
things. So should we consider Relaxo as more of a volume plus operating leverage story and less of a branding story?
Because it looks like despite being a large
footwear brand, we do not hold the pricing power. Is that understanding correct?
Ramesh Kumar Dua : No, no. Last year, it was a totally differen t scenario because of the raw material volatility, not a
because of any brand problem because when the material that we've got at INR 300, and then it
falls to INR 150 and local market was able to get at lower. So they got for some time, some edge,

I mean, competitive edge. But now things have stabilized.
Akhil Parekh: That's correct. But we had to roll back the prices, right, at least in open footwear, which is 75% of our portfolio?
Ramesh Kumar Dua : Because the cost of raw materials which was just too much. That was the reason.
Akhil Parekh: Okay. Second question is on the price infiltration by the wholesaler. We did get some feedback in the market. The wholesalers were kind of leading to some price infiltration for Relaxo. And we were taking some correcti ve actions in terms of installing software at the distributor level.
Has -- any thoughts on it? And have we done the implementation on the IT part?
Gaurav Dua : We have i

mplemented DMS (Distributor Management System). Right now, it is the second version. First version was implemented 3 years back. And the latest version 2.0 is -- out of 700

distributors, 650 distributors, we have implemented 100. So it is a continuous process. We are going to increase the implementation, and we are taking steps to control the infiltration, both infiltration by the distributors or wholesalers. It's a continuous process. It cannot stop. We have to really -- the help of technology control this.
Akhil Parekh: But any time line or deadline we have like where we will be done with this complete installation across all 650 distributors?
Sushil Batra : So there is any question from Akhil or…
Akhil Parekh: Yes, yes. So my question was on the deadline, what kind of a deadline we are planning to install this DMS 2.0 across all our 650 distributors?
Gaurav Dua : By this year end, we'll complete this full implementation of DMS 2.0. And whatever complaints we get from distributor or wholesalers, we are taking appropriate actions for infiltration.
Akhil Parekh: This should kind of create price parity for the wholesaler and the distributor, right, because of this?
Gaurav Dua : Correct, correct.
Akhil Parekh: Okay. And last on the capacity and capex guidance, if you can. What capacity do you stand at?
And f or FY '24, what kind of capex we are envisioning? That's all from me.
Sushil Batra : We already have good capacity. So last year, we spent a lot of money on the capacity enhancement. So this year, we don't have any big plan, but definitely, routine capex , molds and some repairs and some infrastructure creation that will be there. But already, we have good capacity to capture the demand of next 2 years at least.
Akhil Parekh: Yes. In absolute term, like where do we stand in capacity?
Sushil Batra : Absolute terms, we have a capacity of 10 lakh per year. And last year being a tough year, so that utilization was around 50% - 55% at company level.
Moderator : Next question comes from the line of Prerna. Please go ahead.
Prerna Jhunjhunwala : So just wanted to understand the long -term vision, where do we want to see ourselves in the closed footwear category and in the next 5 years. So how much should be the sports footwear as a percentage of revenue share?
Ramesh Kumar Dua : I think we are thinking of having at l east double -digit growth for the next 5 years. And overall share of shoe business will definitely increase because of the -- the way we see things, growing use of athleisure. But it would be maybe 30% of share of shoes in our scheme of things. But otherwis e, also -- other segments are also important, and they are also growing.
Prerna Jhunjhunwala : Okay. So sir, in -- if we try to understand the demand scenario in both open and closed footwear, how would you see whether it is robust? Or it is still muted? Some color on demand outlook that you are witnessing in different regions?

Ramesh Kumar Dua : We have to keep our products relevant, competitive and value for money to the customer, then things will grow. Any category if become uncompetitive, demand become muted and then it goes negative. So whatever categories we are going to win, we have to be watchful of these things.
Prerna Jhunjhunwala : So currently, you are saying that we are -- our price points are most -- are all in place to get double -digit growth.
Ramesh Kumar Dua : Yes.
Prerna Jhunjhunwala : Okay. And sir, what was your capacity utilization in the closed footwear category?
Gaurav Dua : Can you repeat the question?
Prerna Jhunjhunwala : What will be your capacity utilization in the closed footwear capaci ty?
Ramesh Kumar Dua : Around 60%.

Moderator : Next question comes from the line of Mithun Soni from GeeCee Investment. Please go ah

ead.
Mithun Soni : Yes. I have a couple of questions. So you indicated we have three brands, and there is a pricing pressure which we may face at the lower end of the brand like Relaxo, basic chappals. How would you say our pricing -- we will have some -- relatively, we will have a stronger pricing power in terms of -- to get the pricing from the customer for a brand like Sparx or for Hawaii or Bahamas?
Ramesh Kumar Dua : Because our brands are quite strong, even the old brand like Relaxo, as old as 40 years old. But at the same time, we have to be mindful that market is competitive and our pricing has to be competitive. We have t o serve quality footwear at affordable price, then only you can sell large volumes of product. And that is what we are following.
Mithun Soni : Okay. So can you share like for the open footwear, what would be the realization for the, say, slipper for -- like how would you -- for us, what will be the average realization for open footwear for Sparx versus for Relaxo? Our realization...
Ramesh Kumar Dua : No, no. You are comparing Sparx slippers with Relaxo slippers. They are totally different technology, differ ent things. You can't compare those slippers with this. I think you want to know the price, Relaxo, it will be around INR 100. Do you want to know slippers?
Mithun Soni : Yes, only open footwear.
Ramesh Kumar Dua : Open footwear.
Mithun Soni : The idea is th at -- what I'm trying to say is that it's a more aspirational product. So coming to the next question is that how do we see -- like Sparx is a much more aspirational product. So what is our now a plan for Sparx over the next 4 to 5 years? One of the partic ipants also asked that we have 400 EBOs. Is there a possibility or a potential that we can rebrand those stores as a Sparx stores and to really get the mileage for the Sparx as a brand?

Ramesh Kumar Dua : No. Our strategy is not only selling Sparx on those outlets. Our strategy is to showcase all our other article s also. Sparx is one of the categories. We may consider having only Sparx for a few of the stores, not all because we have to sell or showcase all our categories across whether it's our Flite brand, Bahamas brand, Relaxo brand. That's it.
Mithun Soni : Okay. And what is your plan for the Sparx -- the entire Sparx -- what is the sort of growth plan we are looking at...
Ramesh Kumar Dua : No. We're still under discussion. When we will come out with it, y ou will automatically know. At that moment, we can ’t comment.
Moderator : Thank you. Next question comes from the line of Jasmine Surana from VT Capital. Please go ahead.
Jasmine Surana : I had a quick question on like e -commerce channel . What is the contribution you're getting from e-commerce channel ? And the follow -up on that would be, what is our next strategy for D2C channel?
Gaurav Dua : So currently, we are having 11% contribution coming from online channels. And what is your second question?
Jasmine Surana : Is there any specific strategy that we're looking at to scale it up? Or what is the trend going to be like in the coming year?
Gaurav Dua : Yes. Strategy, we are going to have new channel partners, or you can say, the platform s. We are going to add new platforms. So currently, we were with -- sorry, Myntra, Flipkart and Amazon, We're going to add AJIO and other -- Tata CLiQ and other platforms also. So it's a continuous process of growing the market. We will be selling as brand reseller also on these platforms.
Jasmine Surana : Okay. And another question on the exporting country. You said that you're exporting to the Gulf, Asian countries, Africa and Central America. Would it be possible to get a number on the contribution from each of the countries that we are exporting to?
Ritesh Dua : Country -wise no, right now because they are -- we are exporting to more than 30 countries.
Jasmine

Surana : Okay. No, so the major ones that we're exporting to, would it be possible to get a number?
Ritesh Dua : So we can tell you the region wise. Gulf would be around 30% - 35%, then we have Central America will be around -- maybe around 5% to 6%, then Africa would be around 35% - 40% again. Then we have Oceania, which is the major chunk and rest of the bu siness.
Jasmine Surana : Okay. And so I just wanted to understand since we've seen so much of volatility in the EVA prices in the last year, are there any plans for that to be hedged against those prices in the coming years or so? Because we saw the prices going down to INR 180. And as sir mentioned again, the prices have come back to INR 250, I believe. So are we -- is there any plan to be hedged against those?

Ramesh Kumar Dua : No, no. Raw material materials prices are fairly stable. So things are quite stable and there is nothing to worry at the moment. I don't know what is your concern.
Moderator : Next question comes from the line of Abhishek Gadve, an individual investor. Please go ahead.
Abhishek Gadve : I have a couple of questions. The first question is, is it safe to say that we have regained all our lost market share in the previous year and previous quarter -- this quarter? Or is it -- there is some still left to gain back from the unorganized sector?
Gaurav Dua : Almost we have covered the loss wha t we -- occurred in Q1 and Q2, almost. But still, we have to gain back.
Ramesh Kumar Dua : Possibly.
Gaurav Dua : You can expect it to go up.
Ramesh Kumar Dua : Yes, yes.
Abhishek Gadve : Right. And my next question is on the EVA pricing, the EVA prices. Last time -- in the last quarter, I remember when I asked, they were around INR 200 per kg, I think, if I remember correctly. What are the prices looking right now? And do we expect them to fall even further going forward? And -- or do we expect them to rise back to INR 200 levels? Or do we see that there is stabilization now at least for the next couple of quarters?
Ramesh Kumar Dua : No, it is now around INR160, sometimes we get that INR155. So that's the way we are getting in this range INR150 to INR160.
Abhi shek Gadve : Right. And we don't see the prices having any volatile moves going forward? They're more or less stable now.
Ramesh Kumar Dua : More or less stable.
Abhishek Gadve : Okay. And my last question is on the volume growth, what is the volume growth you are targeting for next year, FY '24?
Ramesh Kumar Dua : Double -digit.
Abhishek Gadve : All right. When you say double digit, is it like lower teens, like around 11%, 12% or high teens, around 19%...
Ramesh Kumar Dua : It depends upon the basic article. It could be around 15%. But then there are other article like sports shoes also, that also we have to see. The average around, it could be a double digit is the minimum, but we aim to be higher.
Abhishek Gadve : Okay. So it's safe to assume 15%.
Ramesh Kumar Dua : Yes.
Moderator : Next question comes from the line of Ankit Kedia from PhillipCapital. Please go ahead.

Ankit Kedia : Sir, the government is -- from 1st of July talking of introducing BIS in footwear. A lot of your competition is from unorganized market , which impacted your demand now. So with BIS been implementing from 1st of July, how do you see unorganized markets play?
And do you think market share's regain for organized players like you will be higher in open footwear, while imports could also be tough in the sports footwear category from 1st of July?
There could be inventory disruptions for importers. And in Sparx also, we could see some market share gains?
Ramesh Kumar Dua : No. For the time being, the quality control standard certification has been laid out. And the real possibility that this date is going to be extended

because even government is not ready. And meanwhile, a lot of clarifications are required from our side, and we have raised the queries to BIS. So accordingly -- but we are internal ly -- whatever quality specification they have laid down, whatever it is in the making, we are already meeting those standards. Nothing to worry.
Ankit Kedia : So I agree, nothing to worry, but will you gain share because your competitors may not be ready and you might be ready? So it will be beneficial for you. How do you think if those standards are laid out immediately and you can gain share?
Ramesh Kumar Dua : No, no. Because there is a small exemption for micro or small, and the companies whose turnover is up to INR50 crores, there will be exemption. So they will have their still space in the market.
Moderator : Thank you. Ladies and gentlemen, that was the last question for today. We have reached the end of question-and -answer session. I would now like to hand the conference over to the management for closing comments.
Sushil Batra : Thank you all for joining the call. This is all from our side. Looking forward to joining you again. Thank you very much. Thank you.
Moderator : Thank you. On behalf of Elara Se curities Private Limited, that concludes this conference. Thank you for joining us. You may now disconnect your lines.

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Call: Nov 2023

November 8, 2023

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Rotunda Building, P J Towers
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Listing Department,
Exchange Plaza,
Bandra Kurla Co mplex,
Bandra (East), Mumbai - 400 051
Scrip Code – 530517 Scrip Code – RELAXO

Sub: Conference call Transcript
Dear Madam / Sir,

With reference to captioned subject, we hereby enclose the transcript of Investors call regarding Q2 & half year ended for FY 2 4 results which was hosted by the company on November 3, 202 3 at 4:00 P.M (IST).

The same is for your information and records pl ease .

Thanking You,

Yours Sincerely, For Relaxo Footwears Limited,
Ankit Jain
Company Secretary and Compliance Officer

Encl. as stated above

“Relaxo Footwear s Limited Q2 FY-24 Earnings
Conference Call”

November 03, 2023

MANAGEMENT : MR. RAMESH KUMAR DUA – MANAGING DIRECTOR
MR. GAURAV DUA – WHOLE -TIME DIRECTOR
MR. RITESH DUA – EXECUTIVE VICE PRESIDENT -
FINANCE
MR. SUSHIL BATRA – CHIEF FINANCIAL OFFICER
MR. ANKIT JAIN – COMPANY SECRETARY

MODERATOR : MS. ARCHANA GUDE – IDBI CAPITAL MARKETS &
SECURITIES LIMITED .

Moderator : Ladies and gentlemen, good day and welcome to the Relaxo Footwear s Limited Q2 FY24

Conference Call hosted by IDBI Capital Markets & Securities Limited.
As a reminder all participant lines will be in the listen -only mode and t here will be an opportunity for you to ask questions after the presentation concludes . Should you need assistance during the conference , please signal an operator by pressing '*' then '0' on your touchtone phone. Please note that this conference is being r ecorded.
I now hand the conference over to M s. Archana Gude from IDBI Capital Markets & Securities Limited. Thank you and over to you ma'am .
Archana Gude : Thank you so much . Good evening , everyone. On behalf of IDBI Capital Markets & Securities Limited , I would like to welcome you all to the Q2 FY24 Post-Results Conference Call of Relaxo Footwear s Limited .
From the Management side, we have with us Mr. Ram esh Kumar Dua – Managing Director , Mr. Gaurav Dua – Whole -Time Director, Mr. Ritesh Dua – Executive Vice President - Finance , Mr. Sushil Batra – Chief Financial Officer and Mr. Ankit Jain – Company Secretary .
We'll begin the call with a brief discussion from the Management and then we can open th e floor for Q &A session. Thank you and over to you Sushil sir .
Sushil Batra : Thank you Archana. Good evening , everyone , and thank you for joining us on our Q2 FY24 earning call to discuss the Financial and Operational Performance of the Company . We have already uploaded the earning s press release and investor presentation on the Stock Exchange as well as at our website and hope you have had the opportunity to go through those.
Before we begin the question -and-answer session , let me give some highlights on Q2 and H1 FY24 Financial Performance of the Company , beginning with Q2 :
Revenue in Q2 FY24 was Rs. 715 crores , up 7% fro m Rs. 670 crores in Q2 FY23 . We witnessed strong demand during the quarter which has led to a strong recovery in volume s driven by open footwear . EBITDA recorded a strong 54% Y-on-Y growth at Rs. 92 crores as against Rs. 59 crores in the corresponding quar ter of last year. Softening of raw material prices and better operational efficiency due to economies of scale enabled us to enhance our EBITDA margin by 392 bps in this quarter. EBITDA margin was at 12.8% in Q2 FY24 as against 8.9% in Q2 FY23 .
PAT almost double d in this quarter at Rs. 44 crores as against R s. 22 crores in Q2 FY23 . PAT margin stood at 6.2% , up 28 3 bps from 3.3% in Q2 FY23.
In H1 FY24 we recorded a revenue of Rs. 1,454 crores vis-à-vis Rs. 1,337 crores in H1 FY23 , an increase of 9% year-on-year basis. EBITDA was at R s. 199 crores from Rs. 146 crores in same period of last year , up by 37%. EBITDA margin was at 13.7% as compared to 10.9% in H1 FY23 , an expansion of 280 bps. PAT for H1 FY24 at Rs. 101 crores against R s. 61 crores in H1 FY23 , grew by 65%. PAT margin was at 6.9% as compared to 4.6% in H1 FY23.

The company incurred a CAPEX of Rs. 56 crores as on 31st September '23. We remain a net debt-free Company with positive cash from operations. We remain committed to provide quality product as per evolving customer needs with focus on premium and innovative products. We continue to expand our st rong distribution network with a special emphasis on new channel a nd e-commerce. Thank you. Now we can open the floor for questions.
Moderator: Thank you very much. We will now begin the question -and-answer session. The first question is from the line of Onkar Ghugardare from S hree Investments. Please go ahead .
Onkar G hugardare: Sir, Good afternoon. I was asking about , till last year you were talking about premiumization of the entire product category. But since last year you have taken price correct

ions. So, exactly what kind of strategy you are looking at? Higher numb er of pairs to be sold and with less value or other way around. That 's the first question.
Ramesh Kumar Dua: Last year we did some price correction. Before that we had lost some market share to competition. After price correction we have regained our market share. So , our volume growth has been more than 20%. As far as premiumization is concerned , focus is there in Spar x, in Bahamas and already we are having a good traction of these premium articles. So, that focus is there, and it will continue.
Onka r Ghugardare: But the loss of market share was due to higher prices of your products or was there any other reason for that?
Ramesh Kumar Dua: Last year because of higher , we had a lot of old stock , costly inventory in the system. Because our industry ope rates on lot of import materials, we have to have a supply chain of around 6 months of that material. So, that is why it took some time to consume. Meanwhile market rate had fallen. But now our inventory in the system , now it is comfortable.
Onkar Ghugard are: The second question is on the revenue of the Company . So, what kind of revenue you are expecting in the second half?
Ramesh Kumar Dua: We are expecting a double -digit growth in the second half.
Onkar Ghugardare: Okay . Just a last question on R OE and R OCE which has been falling from last two three years. What 's your strategy on that front?

Sushil Batra: Strategy because margins are under pressure , so once things will settle so definitely R OE and ROI will better because then capacity utilization and more earning will be there. So, that percentage will improve with the performance .
Onkar Ghugardare: Regarding that what kind of margins are sustainable ? Now you have clarity on this ?
Ramesh Kumar Dua: For the next half , 14%+ EBITDA.

Onkar Ghugardare: EBITDA 14%.
Ramesh Kumar Dua: Yes.
Onkar Ghugardare: So, you are expecting this margin in the upcoming quarters or like because the current margin is less than the margin which you are projecting.
Ramesh Kumar Dua: You are right. But when th e volume go es up our sale go up then H2 is going to better than H1, so things will improve.
Onkar Ghugardare: Due to operating leverage you will gain the margin , right ?
Ramesh Kumar Dua: Automatically because of operating leverage our EBITDA will improve.
Onkar Ghugardare: So, what's the capacity utilization you are working at currently , at Q2 what was it and what do you expect to be?
Ramesh Kumar Dua: Currently it is 63% utilization.
Onkar Ghugardare: That is for Q2 you are talking , right?
Sushil Batra : H1 w e are talking about ; it is around 63 %.
Onkar Ghugardare: Okay. So, what kind of capacity utilization you see you will work with going forward?
Ramesh Kumar Dua: It will remain around 65%.
Onkar Ghugardare: Okay, All right, Thank you !
Moderator: The next question is from the line of Aliasgar Shakir from Motilal Oswal. Please go a head.
Aliasgar Shakir: Yeah, Thank you so much for the opportunity. I had a question on your closed footwear. So , we had a very good trade show I think a couple of months back where we had displayed the entire range of our closed sportswear. I just wanted to understand a couple of things. First is Q 3 typically is your large quarter for sportswear. So, how is the init ial response and what is the kind of demand and growth that we are seeing? Our composition of sportswear —I think correct me if I'm wrong —is somewhere about Rs. 250 and 300 crores. So , what kind of growth we expect? And our competitor has had a significant size and I think we 've also had aspiration to grow significantly , so do you think this is a category which can be somewhere close to like a Rs. 1,000 crores contributor to you in probably a few years?
Gaurav Dua:

You are right that this category has huge potential to grow and what you 're saying Rs. 1,000 crores , maybe in 2-3 years we will definitely plan to grow to that level. Regarding the market situation as you know the market is still not picked up what we were expecting. So , we have done lot of retail meets across India and distributor meets. The initial response because of this

Pitrupaksh a and untimely rain s, market has still not given good feedback till now in terms of uptake in the market. So , it's too early. Diwali is in November , so we are expect ing November should be better.
Aliasgar Shakir: So, our base would be very low , so of course from that base we should see a very good performance even in Q 3. And just a follow up over there is that one feedback on the ground is that the margins in the sportswear is not very compelling and therefore Relaxo sportswear is not very well received by the distributors and retailers. Have we made any changes over there? Do you think we have addressed the issues a t the distributor level?
Gaurav Dua: So, we have made no changes since last 4-5 years. And regarding distributors they are always complaint about margin. That is their trade habit. They need more margins. So , we are having the fixed margin which we have n ot changed from last 5 years .
Aliasgar Shakir: Even in the sportswear ?
Gaurav Dua: Yes, it's same. We have not changed.
Aliasgar Shakir: Got it. Okay and in Q 3 from the last year 's base do you think this quarter will considering the kind of market weaknesses there we should expect things to only recover after a couple of quarters. You think Q 3 because of a low base we can expect strong growth from sportswear.
Gaurav Dua: So, we are keeping our fingers crossed and last 7 months has not been so encou raging. In terms of the uptake of this sports foot wear. T he market is still a little challenging. So , we are just hoping for the best that this should now pick up. It 's been 7 months like market is not responding.
Moderator: Thank you. The next question i s from the line of Yash Mor e from R V Investments. Please go ahead.
Yash Mor e: Good evening. My first question is regarding the market share. You said we have gained the lost

market share. So , what 's the current market share?
Gaurav Dua: In volume if you t alk about at a Company level , last year if you see we lost around 20 %-25% in volume , drop was there in the open footwear which caused Hawai i and Flite, that only we have regained it back. So , there is a 27% in H1 growth in volume you can see that , what share we lost last year we have gained it back.
Yash More: I was asking about the UK FTA , what's our position and what are we doing regarding the F TA, what benefits do we see?
Gaurav Dua: Talking about the free trade agreement with UK?
Yash More: Yes.

Ritesh Dua: Not much. These European markets or the UK market had been more , in footwears sense , could be more for leather footwear. But we are more into non leather footwear. So, that's why it may not be ….
Ramesh Kumar Dua: Not of any impact on us.
Yash More: Ok Sir, Thank You!
Moderator: Thank You . The next question is from the line of Abhishek Getam from Alpha Inves co. Please go ahead.
Abhishek Getam: My question was regarding premiumization strategy. So, largely our open footwear are sub Rs. 200 ASP. What are our plans going ahead to bring whole portfolio level or footwear level to a higher ASP? I mean sort of the whole Company portfolio in the range of Rs. 500+ ASP and what strategy would we go for , Tier 1 or Tier 2, 3?
Gaurav Dua: If you remember we have taken the last price cut of rationalized price in September. So, since then, the prices were less. Now if you see October th at ASP has

increased and regarding the premium ization , we have brands like in Flite we have launched Urban Basic s which is again Rs. 400+ MRP. We are working on the portfolio of Spar x which is more than Rs. 1000 to 1500 MRP. So, we are continuously working on our portfolio to increase the ASP and improve on premi umization.
Abhishek Getam: Understood. So, what part would be Rs. 500 plus ASP contributing to our revenue?
Gaurav Dua: It's roughly around 10%.
Abhishek Getam: Where do we see this to achieve inv olved in terms ? Do we see this to improve this 50% sort of in a longer -term horizon (+5) year?
Ramesh Kumar Dua: No. Our 80% as on day business comes from open footwear . The Company is focused on serving masses. 20% is coming from our closed foot wear . That is why average comes out low. But our focus is there of premi umization whether it is Bahamas, Flite or Spa rx. So, maybe 20% of that will ultimately build up premium.
Abhishek Getam: So, down the line like 4-5 years down the line we can expect it to 30%-35% sort of contribut or?
Ramesh Kumar Dua: We have to see what kind of traction we get from these categories.
Abhishek Getam: Okay Sir, Thank You Sir.
Moderator: Thank You. The next question is from the line of Priyank Ch heda from Vallu m Capital. Please go ahead .

Priyank Chheda: There's an observation where your volumes have remained flat over the quarter since COVID at an average of 45 -50 million pairs per quarter. This has been the trend for the sector also. It's not only pertaining to Relaxo a s such . Can you help us understand why the volumes haven't picked at a consumer level? What are the key factors that's driving such a muted demand?
Gaurav Dua: There was an up and down since COVID , the first wave , second wave , third wave . So, things have not stabilized and then that price increase was there in 2022 -23 because of war. So , it's been like the last 3-4 years the industry has been facing lot of turmoil. Now this year we were expecting that the industry will grow but last 6-7 months there's no sign of huge upt ick in the markets because of again untimely rains , inflation pressure in rural India. So, that's why the industry is struggling to grow to that level.
Priyank Chheda : If I have to again summarize the price increases that you saw in FY23 led to a poor demand in volumes and then again in FY24 the volume pickup hasn't been seen yet.
Gaurav Dua: Yes, you're right. That's why we have been able to get that volume back of 3 0% growth.
Priyank Chheda: Got it. There has been a BIS standard that has been implemented in the footwear. If you can help us, what would be the implication for us as well as for the industry? How do you see this shaping up for the industry as well?
Ram esh Kumar Dua: It is going to become mandatory from January '24. So, whatever products we are making , specifications of that , government have number of times revised. Now we are working on that ,

making a specification and we are quite ready to follow these government regulations from January.

Priyank Chheda: Does this mean that a lot of China footwear imports will get reduced? If you can help us quantify how much would be China imports in footwear which would not fall under this BI standard?

Ramesh Kumar Dua: No, e ven whatever good s will be coming to our country everything has to be as per BIS standards. Nothing will come out of this standard .

Priyank Chheda: Got it. So, would this mean that a lot of unorganized players who would not be able to cate r these standards would lose out market share and in turn beneficial for brands like you?

Ramesh Kumar Dua: We think so.

Priyank Chheda: Okay. Just a bookkeeping question on our Sparx brand sales if you can help us , on annualized basis what would be the Spar x brand sales?

Ramesh Kumar Dua: Between

35% to 40% share goes to Spar x brand.

Priyank Chheda: Within that what would be the closed and open , sandal s and sports shoes break up roughly ?

Ramesh Kumar Dua: Overall 20% is our closed foot wear and 80% is our open footwear.

Gaurav Dua: And in Spar x it is 50 -50, 50 open , 50 closed.

Moderator: The next question is on the line of Manan Madlani from Kamayak ya Cap Wealth Management. Please go ahead .

Manan Madlani: Hi, Thanks for the opportunity Sir. My question is around our raw material side. What kind of scenario are you seeing?

Ramesh Kumar Dua: At the moment f or the last few months , price s have stabilized by and large .

Manan Madlani: Okay. So, going forward do we expect gradual gross margin improvement from here onwards?

Ramesh Kumar Dua: Ultimately always we have to be watchful of the market conditions , competition , how it is and keep our prices competitive. We keep on watching this every quar ter by quarter. When the volume grows automatically our margin also grows along with it. At the moment , for the past 6 months or so , the situation has been quite challenging , sentiments are low particularly from rural markets , mass segment. But with the vo lume growth our margin will definitely improve further.

Manan Madlani: And we were doing some channel check and we realized that there is some price difference across majorly all categories between our EBOs and our website. So , what is the strategy behind that?

Ramesh Kumar Dua: No, we have one price only across all channels.

Manan Madlani: We might have to check again because we were doing some channel checks and t here was some…

Ramesh Kumar Dua: For One article we have one p rice throughout India across channels.

Moderator: Thank you. The next question is from the line of Ankit K edia from Philip Capital. Please go ahead .

Ankit Kedia: Thank you. My first question is regarding the price action. Given that the underlying demand in mass segment is currently subdued and given that the R M cost is on a declining or a stable trajectory , can we say that price action be it upwards or downwards is not behind and this price stability will come in the market or in next tw o quarters if the demand doesn't revive , we could take some price correction as well to gain market share ?

Gaurav Dua: We are not going to take any more price corrections because raw material prices ha s been stabilized and we don't see that there is an inc rease in any raw material price. So , our focus is on distribution expansion.

Ankit Kedia: And on distribution expansion we are going for direct reach now. So, if you can just give some color today where we are and in 1 year-2 years what is the target what we are looking at?

Gaurav Dua: In India we have lot of white spaces across the country. So , we are going to have a secondary focus , secondary driven sales approach rather than a primary push. So , there is a whole strategy working behind it how to increase our footprint s across India.

Ankit Kedia: Can you elaborate on this strategy? It will help us understand the business better.

Gaurav Dua: So, like we have discussed earlier also that there are 1 lakh MBO outlets in India. So, currently we are at 65 ,000 outlets. So , every year we are going to add more and more outlets to grow.

Ankit Kedia: My second question is regarding EVA and PU ; are you seeing both these products seeing some pressure or EVA is doing better than PU and PU is where there is some im pact of demand?

Gaurav Dua: No, we are seeing both are growing equally and I think both have good future. So , it's not like one is growing one is not growing .

Ankit Kedia: My last question is color ed Hawai i versus non -color Hawaii. In color ed Hawaii we h ave seen more competition from Aqualite ,

Walkaroo and others while in non -colored you're pretty much
the market leader . Anything we are doing on color ed Hawaii to gain market share ?
Gaurav Dua: As you know we have a brand called Bahamas which is in colored Hawaii. We are g rowing well in that category. Last year there was a struggle because of huge MRP. Now it has been cleared , our old stock has been cleared and we are able to get the market share back.
Ankit Kedia: What will be our Bahamas contribution? If you can give us growth between the brand s it would be helpful. Between what was the Spar x growth for the quarter or half year versus Bahamas and Flite.
Gaurav Dua: So, if I talk about volume , in Hawaii and Bahamas both its upward of 20% , the volume growth we have done.
Ankit Kedia: So, even the Company volume growth is pretty much in the same trajectory. So, where is the pressure coming from? Because at the Company level we have done 23% volume growth odd.
Gaurav Dua: Pressure is coming from it's more of like Spar x brand , the closed footwear because season has just started. The last 6 months it was more of open footwear. Now the season has started for closed footwear. So, let us see how this quarter and next quarter goes.
Ankit Kedia: With the new capacity coming in now on stream and with the new product the response being good , where do you think what changes assuming the market stays where they are , what is in your hands to drive demand in the market from close d footwear perspective ? Is it the competitive intensity very strong , will you add , do more promotional activities on the groun d, spend more

on brand ambassador to gain market share? Because assuming the market stays the way it is for next 6 months to 9 months .
Gaurav Dua: So, whatever you have said all activities we are in the process of doing , be it spend on BTL - ATL, launching m ore articles , doing NPD meets , distributor meet , retailer meets so everything is like because this is Q 3 is a season for closed footwear. So , all activities are aligned to get the growth in this quarter and next.
Ankit Kedia: But for winter is just around the corner , so your primary push would have happened in the month of October. So , if you can just share how has been the October month ’s progress for closed footwear it will just help us understand how the underlying growth is coming for the season.
Gaura v Dua: We have mentioned before that there are a lot of competitions , unorganized and organized have entered in this category. So , we are seeing like lot of discounts are being offered by unorganized and other players who have entered in the market . So, it's not going to be too easy to win this market. So, let us see how th ese 2-3 months goes.
Ankit Kedia: Understood, Thank you so much sir.
Moderator: Thank you. The next question is from the line of Harsh from Marcellus. Please go ahead .
Harsh: Hello Sir. I see that there has been some change in the top management and Mr. S hravan Kumar Singh has ceased to be the KMP of the Company . So, just wanted to ask does he will continue to be an employe e at Relaxo? What really happened? And have you identified a replacement for him?
Sushil Batra : He has come , he's not KMP. He is in senior management list. So, he has joined as a New Product Development Head.
Harsh: Someone else has joined also as the head of product development?
Sushil Batra : Shravan Kumar Singh is with us; h e has joined as a New Product Development head. He's part of senior management.
Ankit Jain: This is Anki t Jain; Company Secretary. I just want t o update that due to some internal change in roles and responsibilities Mr. Shravan Kumar Singh has stepped down under the senior management category, but he will be continuing as NPD Head of the Company . This is the internal decision of the management , but

he's continuing as VP NPD .
Harsh: So, the role of VP NPD has been shifted from being a senior management role?
Ankit Jain: Yes, he's not here on the Senior Management list but he's part of Company only. He's the head of the NPD.

Harsh: Okay, Got it. After taking the price cuts last year , we have seen that we have gained market share especially in the Flite and Bahamas category. Do you reckon this market share gain story will continue in the ensuin g quarter as well?
Gaurav Dua: Yes, definitely it will continue, and we'll gain market share.
Harsh: To that extent the volume growth will keep on coming in the next quarter as well in spite of the industry being a bit tepid right now.
Gaurav Dua: Like I have mentioned before also , last price cut rationalization was in September. So , this kind of volume will not be there . Now value growth will be there. So, volume growth is 27% is I don't

think so in next few quarters , maybe 15% , not that much higher because the gap was in first 6 months.
Harsh: Okay, Got it. Thank you.
Moderator: Thank you. The next question is from the line of Akhil Par ekh from Centrum Broking. Please go ahead .
Akhil Parekh: Thanks for the opportunity. My first question is what the possible reasons for the demand weakness could be , now given that we have already taken price corrections and it's almost two quarters now. So , if you can highlight broader reasons probably why the demand continues to be weak ?
Gaurav Dua: So, consumer sentiment has been sluggish in the mass segme nt and that we are witnessing across the country and whole footwear category we are seeing that the sentiments are not that great. So, that's why if the industry does not grow then there will be little challenge. We are seeing this because of monsoon , inflation. That rural market is definitely not responding.
Akhil Parekh: That I understand that the sluggishness is there in mass segment but unfortunately none of the companies have been able to clarify what are the clear reasons , why we are seeing this pres sure given that the inflation has already started to decrease.
Gaurav Dua: Yes, but the demand at rural markets should also be there. We are seeing that walk ins of consumers are not that which was before. So, maybe the discretionary spent at rural level is not there. We can assume that.
Akhil Parekh: Has that started to improve now given the festival already started? Do we see that improvement now in month of October?
Gaurav Dua: It's too early to comment upon it. We are waiting for this season. This ma y improve or maybe November -December things may improve.

Akhil Parekh: Second is if you could just update on the D MS 2.0 implementation which we have been talking about since last few quarters. Have we seen any , how far we have reached in terms of impleme ntation and are we seeing any positive impact? Because one common feedback we were getting is the wholesaler were undercutting on pricing basically . If you can just highlight something on DM S.
Gaurav Dua: So, DMS 2.0 now 50% of our distributor we have implemented this 2.0 and our plan is in next 3 months we'll make it 100%. Regarding price cut , price cut by distributor we have not seen that. But maybe it's not in the DM S that they can cut the price . DMS is just to get the inventory and how we can do secondary with them and align our schemes accordingly. DM S is not implemented to control the distributor discount to the retailer. It is mainly to drive the secondary and have the control how things are going.
Moderato r: Thank you. The next question is from the line of Onkar Ghugardare from Shree Investments. Please go ahead .
Onkar Ghugardare: I just wanted to know , what are the export percentages of the revenue

currently and what kind of scope do you think you have and the margin profile over there?
Ritesh Dua: This quarter also H1 if you say , around we have around 4% contribution and we expect to have this kind of percentage maintenance in future as well. Maybe a little bit we can have more because the growth is littl e better compared to other channels so we will be able to get little better percentage as a contribution.
Onkar Ghugardare: I just wanted to know what is the margin profile over there as compared to the domestic market?
Ritesh Dua: It is in line of same like what domestic we are earning , in the same lines , earning margins in exports has been .
Onkar Ghugardare: So, they are same , right?
Ritesh Dua: Yes.
Onkar Ghugardare: Maybe given the capacity utilization at 63 %-64%, isn't it poss ible to push exports little bit given the push of the government to the sector as well?
Ritesh Dua: We have been doing that because whenever we have started the export we have been doing in our own brand , so wherever we are putting our products in whichev er markets, and we are getting good traction, and we are able to get sustained growth in consumer pool as well.
Onkar Ghugardare: And what's the percentage of online sales currently?
Gaurav Dua: So, we are doing roughly around 12% , the contribution of on line and new channel.

Onkar Ghugardare: And how it has gone up or gone down since COVID .
Gaurav Dua: So, if you compare with the last year, it is same as what I was talking earlier also , that industry is not doing , they are also feeling the pressure , so the growth rate is same. It's not that we are

able to grow more . So, however , we are adopting a cautious approach also in this e -commerce
because it's a very important channel for us to drive future growth.
Onkar Ghugardare: Okay. Thank you.
Moderator: Thank you. The next question is in the line of Jaspreet Walia from Broadbage Capital . Please go ahead .
Jaspreet Walia: Sir, Thanks for taking question. What has been the growth in Spar x brand in the first half of FY24?
Ramesh Kumar Dua: Sparx brand has not grown. It is just because our competition intensity was there , some of the segments like SFG category has grown. Now, festival season starting got delayed also. Now November onward we are optimistic that this will g row.
Jaspreet W alia: First half sales are broadly flat zero growth YOY .
Ramesh Kumar Dua: Nominal , maybe 3% -4%.
Jaspreet Walia: Ok got it Sir a nd what are the plans to increase the number of E BOS in the second half of FY24?
Ramesh Kumar Dua: We are having a little cautious approach. The things we are doing to improve the planogram , improve the consumer friendliness , training the staff and also trying to find out how to improve the efficiency of our retail outlets. And then we have a plan for e xpanding the network , the retail outlets.
Jaspreet Walia: Okay Sir. Thank you. That’s all from my side.
Moderator: Thank you. The next question is from the line of Archana Gude from IDBI Capital Markets. Please go ahead .
Archana Gude: Hi Sir, just one q uestion from my side. What is the revenue on the geographic basis and what are the efforts you are putting in to increase our market share in south?
Gaurav Dua: So, if you see we are doing 45% coming from north zone , followed by east zone of 22% , then west 20% and 15% is south. Regarding s outh market , there is a challenge of growth because the demand is subdued specifically in south market .
Archana Gude: So, that wo uld be for both the categories open and close ?
Gaurav Dua: Yes correct.

Archana Gude: Sure Sir, Thank You.
Moderator: Thank You. The next question is on the line of Sach ee Trivedi from Trident Ca

pital . Please go
ahead.
Sachee Trivedi: Thank you for taking my question . The question I have is that in a previous earnings call , you had indicated that Spar x revenue will go from Rs. 400 crores to around Rs. 1,000 crores over the next 2-3 years which I think was around FY26. Is that still something in your plan and if yes then how do you plan to execute towards this goal?
Ramesh Kumar Dua: Though this year has been a little challenging. But our focus on pr emiumi zation is particularly in Sparx category and particularly on shoes and this year there are a lot of premium articles in Sparx, and we are getting a good traction . Based on our experience we are focusing on this and likely to grow but not this year. It is a year of stabilization and improvement and learning and accordingly then we'll open retail outlets also, we will utilize e -commerce also , the things will go accordingly.
Sachee Trivedi: Your other expenses have gone up 24% year -on-year. I'm assuming this is sales and marketing and promotion. Is this to help the Sparx brand or is this for everything , all the product categories ?
Ramesh Kumar Dua: All brands are being advertised. Marketing expense spend s are in all brands.
Sachee Trivedi: Okay, Now in terms of your distribution channels you have the MBO , you have the EBO, and you have the online channel. Do you think you should be looking at a differential pricing across these three channels given that the customer that comes to your e -commerce channel is very differ ent from a customer that comes to your MBO channel ?
Gaurav Dua: So, if you see instead of having different pricing, we have different brand offerings. So, Sparx is more relevant for EBOs and online because it's more than Rs. 1000 MRP. And for the mass mark et or MBO outlets which are 1 lakh outlet across India , for them we have Hawai i and we have Flite and Bahamas brand. So , we have segmented brand according to the price rather than giving different discounts.
Sachee Trivedi: And then one question on your MBO market particularly in the rural segment , should we think of it as a consumer discretionary spend or is it actually an important spend because if somebody's chappal is broken then they need to replace it ? And then the question is why are they not buying a Relaxo brand to replace the chappa l and g oing for something else?
Gaurav Dua: What we have seen is that because of inflation their visits have been little reduced. So, that's why what we are seeing is that the payments are not coming from the distributor and from the retailers. So , because of in flation and their discretion ary spend going down , they are little selective in buying. That is the trend from last 6 months. But we are hoping that this will improve because of festive season coming and stabilization of prices are there. Raw material has b een

stabilized , so there should be an upt ake in the demand.

Sachee Trivedi: But that is assuming that this is a consumer discretionary spend and I'm wondering if in the rural market this is actually a consumer staple item.
Gaurav Dua: If you have seen we have grown in volume, so we have definitely gained the market share there also. But that Sparx is the category where we are seeing that the spends have because it's more of discretionary where the buying has been low.
Sachee Trivedi: Sparx is discretiona ry but your Relaxo brand Bahamas and Flite particularly where you are selling to the rural and many times in the call , you have mentioned that is where you are seeing a slowdown, and you are hoping the festival season will see an uptick. And I'm challenging that part and asking if actually a Relaxo chappal is a consumer staple item for that market.
Gaurav Dua: No, we agree with that. But overall market should also have been growi ng. We are growing in that space. But industry a

lso has to grow. There should be huge demand from the consumer side , so all categories will grow. We are not facing any challenge in open footwear .
Sachee Trivedi: How are you tracking the progress of the var ious initiatives that you have put in place right now to get back some of that revenue growth , what metric do you follow very closely?
Ramesh Kumar Dua: Through DM S we are able to know how many retail outlets are being served , so month after month we see c ategory wise region wise. So, that is the parameter we see . The more retailer our distributor is able to serve , so that means our reach is increasing.
Gaurav Dua: We keep on monitoring the reach of our SO s also direct reach we talk about that. They are visiting 60 ,000 outlets , so that has been monitored every month , how productive the calls are , what are the orders they are taking , how they help by secondary , how we are fulfilling the demand. It's a monthly process.
Sachee Trivedi: Okay, Thank you so much and Good Luck to you.
Moderator: Thank you. L adies and gentlemen as there are no further questions from the participants , I now hand the conference back to the management for the closing comments. Thank you and over to you.
Sushil Batra: Thank you all for joining the call. This is all from our side. Looking forward to joining you again. Thank you very much.
Moderator: Thank you very much ladies and gentlemen . On behalf of IDBI Capital Markets and Securities Limited that concludes this conference. Thank you all for joining us and you may now disconnect your lines.

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Call: Nov 2023

(no extractable text — likely a scanned image PDF)

Call: May 2024

May 14, 202 4
Sub: Conference call Transcript
Dear Madam / Sir,
W
ith reference to captioned subject, we hereby enclosed herewith the transcript of
Investors call regarding Q4 & FY 24 results which was hosted by the company on
May 1 0, 2024 at 4:00 P.M (IST).
T
he same is for your information and record please.
T
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F
or Relaxo Footwears Limited,
A
nkit Jain
Company Secretary & Compliance Officer
E
ncl. as above BSE Ltd.
Corporate Relationship Department
Phiroze Jeejeebhoy Towers
Dalal Street
Mumbai – 400 001 National Stock Exchange of India Ltd
Listing Department,
Exchange Plaza, C -1, Block G,
Bandra Kurla Complex,
Bandra (E), Mumbai - 400 051
Scrip Code – 530517 Scrip Code – RELAXO

“Relaxo Footwears Limited
Q4 & FY24 Earnings Conference Call”
May 10, 202 4

MANAGEMENT : MR. RAMESH KUMAR DUA – CHAIRMAN AND
MANAGING DIRECTOR
MR. GAURAV KUMAAR DUA – WHOLE TIME DIRECTOR
MR. RITESH DUA – EXECUTIVE VICE PRESIDENT ,
FINANCE
MR. SUSHIL BATRA – EXECUTIVE DIRECTOR AND
CHIEF FINANCIAL OFFICER
MR. ANKIT JAIN – COMPANY SECRETARY &
COMPLIANCE OFFICER

MODERATOR : MR. RAJIV BHARATI - DAM CAPITAL ADVISORS

Moderator: Ladies and gentlemen, good day, and welcome to Relaxo Footwears Limited Q4 & FY24 Earnings Conference Call, hosted by DAM Capital Advisors Limited. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star th en zero on your touchtone phone . Please note that this conference is being recorded.
I now hand the conference over to Mr. Rajiv Bharati from DAM Capital Advisors. Thank you,

and over to you, sir.
Rajiv Bharati : Thank you so much, Riya . Good evening, everyone. Representing DAM Capital. It is our absolute pleasure to host Relaxo Footwears L imited for its Q4 & FY24 conference call. From the management side, we have Mr. Ramesh Kumar Dua, Chairman and Managing Director; Mr. Gaurav Kuma ar Dua, Whole Time Director; Mr. Ritesh Dua, Executive Vice President, Finance, Mr. Sushil Batra, Executive Dir ector and Chief Financial Officer; and Mr. Ankit Jain, Company Secretary. We'll begin the call with a brief discussion from the management, and then we'll open the floor for Q&A. Thank you, and over to you, Mr. Sushil.
Sushil Batra : Good evening, everyone, and thank you for joining us on our Q4 and full year FY24 Earning s Call to discuss the financial and operational performance of the company. We have already uploaded the earnings press release and the investor presentation on the stock exchanges as well at our website and hope that you have had the opportunity to go through those.
Before we begin the question -answer session, let me quickly go through the Q4 and FY24 performance, starting with Q4. During Q4FY24, we recorded revenue of Rs. 747 crores as compared to Rs. 765 crores in Q4FY23, reporting a marginal decline of 2.3% year -on-year on account of slight decline in volumes. EBITDA for the quarter was at Rs. 120 crores, up by 2% year-on-year from Rs. 118 crores in the corresponding quarter of the previ ous year.
EBITDA margins were up marginally by 69 basis points and stood at 16.1% in Q4FY24 as against 15.4% in Q4FY23. PAT was at Rs. 61 crores as compared to Rs. 63 crores reported in Q4FY23. PAT margin for Q4FY24 remained flat at around 8.2%.
Now coming on the full year FY24. We have achieved a moderate growth of 4.7% year -on-year from Rs. 2,783 crores in FY23 to Rs. 2,914 crores in FY24. This performance was largely driven by a significant uptick in open footwear volume s, a witness to the efficacy of our strategic initiative s to regain market share.
EBITDA for the year was at Rs. 407 crores as against Rs. 336 crores in FY23, registering a growth of 21.1%. EBITDA margin was at 14%, improved by 188 basis points year-on-year as against 12.1% in FY23. Margins majorly benefited from the softening of raw material prices, which was partially offset by the increased fixed costs. PAT was at Rs. 200 crores in FY24 as compared to Rs. 154 crores in FY23, recording a significant growth of 29.8%. PAT mar gin was 6.9% during FY24 against 5.6% in FY23, improving by 133 basis points year -on-year.
In FY24, the company incurred a total CapEx of Rs. 248 crores, including a purchase of 30-acre land parcel i n Bhiwadi, Rajasthan, worth Rs. 127 crores. We remain a net debt -free company

supported by a positive cash from operations. Our key strengths include our in- house manufacturing capability, strong distribution network, product quality and strong brand recognition. We continue to explore new a venues and focus on other new channels and e - commerce platform s for growth. We are confident that our ongoing efforts will lead to favourable result s for us in the future. Thank you. The floor is now open for questions.
Moderator:

Thank you very much. We w ill now begin with the question-and -answer session. First question is from the line of Shirish Pardeshi from Centrum Broking. Please go ahead.
Shirish Pardeshi : Just two questions in the beginning. This 5 crores pieces what we have sold in Q 4 against 5.1 crore s in the Q 1. So can you give some more colour what segment, which segment and which markets is driving this? And something more on the inventory side, is the inventory is now under control in the field ? Or do you think it will take some more time? And the second question is on the pricing bit. What kind of pricing aspiration we will hold or we will continue the similar price over FY ‘25?
Gaurav Kumaar Dua: Yes. This is Gaurav. Just to answer your questi on. Q4, when we started, there was a QC order , BIS was implemented. So if you see that subdued growth or a little minus coming in, that the main reason was that we were implementing BIS. So there was some confusion in the market, how it will be implemented . So we increased price marginally. And then we saw that we were able to implement all this BIS. And what is the second question?
Shirish Pardeshi : I think the growth, what we have seen in a number of pairs . So Q 1 was 5.1 and Q 4 has come back to 5 crores. So any colour on what kind of growth we are seeing in number of pairs , which is now remained at 5 crores on an average?
Gaurav Kumaar Dua: No, our month January was affected because of BIS. That's why we're not able to cover that , we could not cross that 5.1 crore s figures.
Shirish Pardeshi : If the similar trend has continued? And the question was , the parallel question was that whether the inventory is now adjusted or normalized or still there will be some effect, which can be seen in Q1?
Gaurav Kumaar Dua: So inventory is now normalized. There's no problem with inventory . And I think now the things have started picking up in the market.

Shirish Pardeshi : Okay. And the second question is that in terms of pricing aspiration, what should we look in FY '25 is the price increases will happen? Or will remain as where we are?
Ramesh Kumar Dua : The pricing depends upon our cost of the inputs. If the input remains stable, then prices also remain stable. So by and large, we have to make sure we are always competitive in the markets, keeping that thing in view, we have our pricing strategy.
Moderator: Next question is from the line of Devanshu Bansal from Emkay Global.

Devanshu Bansal: Sir, we have invested in acquiring this land parcel during the year for enhancing our manufacturing capacity. I just wanted to check what is the current capacity utilization? And what is the expected increase in the capacity with this new addition?
Ramesh Kumar Dua: Capacity utilization is around 65%. And on the land parcel that we have bought, we have to always stay ahead of the curve where land searching is always time-consuming. So for future growth , we have land in our hand. So whenever we want to increase productio n, then we have to start the process of building the factory because we are always having greenfield projects. And then we take steps accordingly. So that is something keeping future in view that we have acquired this land.
Devanshu Bansal: Understood, sir . And a follow -up to this is, there is a lot of substandard open footwear being imported as of now, which should, in my opinion, at least be restricted after BIS implementation. So is this capacity expansion somewhat factoring in restricted imports from other countries? Which may sort of lead to higher demand from local players like Relaxo?
Ramesh Kumar Dua: Earlier also before implementation of BIS , the product category we were in by and large our Hawaii segment , nothing was imported. It is only where footwear industry was not able to make that kind of products, they were being imported. Now af

ter this kind of restriction, definitely some shoes, some EVA slippers their import will be restricted. Par ticularly low quality the EVA slipper were being import ed. So there will be a restriction on that. Indirectly, we may have some benefit. Let us wait and see.
Devanshu Bansal: Yes, sir. That's what I'm trying to ask. So is this benefit going to be large in quantum? Or is it just a small benefit that can come to a place like Relaxo?
Ramesh Kumar Dua: I don't think it is going to be very large. Overall import was hardly 5% -6% of the Indian consumption. That is going to be restricted.
Devanshu Bansal: Understood, sir. And one last question is our ROE is currently a t 8%-10% over the last 2 years. So how do you see these levels? And any trajectory that you would like to sort of highlight in the initiatives that the company is taking to improve this?
Sushil Batra: ROE definitely because the profits were under pressure in the last 2 -3 years. So that's why it has come down, and we have added more assets in the system. So, from next year or in coming time growth will be there. So it will improve definitely.
Devanshu Bansal: Okay. Last , sorry, final bookkeeping question is, sir, while revenues have grown by about only 4%-5% in this year, the receivable increase is about 30 -odd percent. Is this something a one -off? Or why is this number increased at FY24 end?
Gaurav Kumaar Dua : This has increased because there is a pressure i n the market. The demand is subdued. So because of pressure in the market, there is an increase of the outstanding. So the payments are slow, you can say, the payment is slow in the market.
Moderator: Next question is from the line of Prerna Jhunjhunwala f rom Elara Capital.

Prerna Jhunjhunwala : I would like to understand the demand outlook in both open footwear and closed footwear? How do we see for the next 1 year and beyond? And what are the figures for the same ?
Gaurav Kumaar Dua : See, as you see, the sp orts segment is growing faster than the open footwear category. But last year, what we have seen is that open has grown more than the closed footwear , sport shoes. So the industry, if you talk about 3 to 4 years' time. Sports footwear or closed footwear will definitely exceed in growth compared to the open footwear.
Prerna Jhunjhunwala : Okay. And what are our current capacities if you see the breakup of the two? And wh at is the revenue share of the two segments?
Gaurav Kumaar Dua : See, as company Relaxo as a whole, our closed footwear contributes 20%, and open footwear contributes 80%. But one of the brand, which is Sparx, there, it is 60% closed and 40% open. So we are trying to grow this category - Sparx, which has more contribution of closed footwear.
Prerna Jhunjhunwala : Okay. And why was closed footwear under pressure this year? I did not understand that part?
Gaurav Kumaar Dua : So that is because of the demand. A l ot of new entrants have come in the market and the price

what they are offering. But there's more supply than demand in the last 2 years. A lot of capacity has been put -in by the other players.
Prerna Jhunjhunwala : Okay. So you mean there is an oversupply of product in the market?
Gaurav Kumaar Dua : Local players are there, yes.
Prerna Jhunjhunwala : So you see that oversupply correcting in how much time? Is it fair to ask, I mean, understand that? Or it will be on market forces?
Gaurav Kumaar Dua: It depends on the market . It's dependent on the market. But consolidation will happen definitely.
Prerna Jhunjhunwala : Okay. And will you please help us understand the brand-wise revenue share as well?
Sushil Batra: Already we have shared in our investor presentation, but even then, I can tell you. So Relaxo, it's contributing , Relaxo with Bahamas, 25%. And then Sparx and Flite both are equal, so 25% Relaxo plus Bahamas and rest 50 -

50 Sparx and Flite.
Prerna Jhunjhunwala : Okay. So Relaxo and Bahamas 25%, F lite 25%?
Sushil Batra : Sparx is 37%. So 50% of 75 divided by 2, 37.5% roughly half -half.
Moderator: Next question is from the line of Videesha Sheth from Ambit Capital.
Videesha Sheth : My first question is on the market share. In 2Q, you had mentioned abo ut gaining market share that was lost in FY '23. So any comments on how market share has moved in the second half of the year? That is my first question.

Gaurav Kumaar Dua: Yes, you must have read, we have sold maximum number of pairs. We have touched 19.5 crores pairs , that is all-time high. So this is done by more sales in Open Footwear. So we have gained, our volume growth is more than the value growth.
Videesha Sheth : Okay. So on a value basis, market share would have increased?
Gaurav Kumaar Dua: Yes, Correct.
Videesha Sheth : Got it. And the second question was we've always been talking about increasing our agency and presence in the south of India. So any incremental initiatives that are being undertaken to increase the share from that region?
Gaurav Kumaar Dua: So we have implemented DMS across India. So DMS has been implemented throughout. Now we have launched the app. So this is a retailer app. We are doing engagement with the retailer now. So with the help of the app, we are able to touch 50,000 out lets. So 50,000 outlets have downloaded this app. So there is a direct connect from company to the retailer now. So if you talk about South, last year , there was a little decline in sales. There was pressure in the market. So we are just trying to maintain that market share.
Videesha Sheth : Okay. And essentially, this app that we're talking about, would that largely help from a demand, from a more accurate demand forecasting perspective?
Gaurav Kumaar Dua: Correct. A lot of things . We can even pass on the gifts to the retailer directly. We'll try to , we'll understand what is the market demand and which outlets are demanding what , what is the market share of this outlet? A lot of data will come through that.
Moderator: Next question is from the line Onkar Ghugardare from Shree Investments.
Onkar Ghugardare: My question was mainly regarding the revenue, which has been flattish for the last three years. What kind of revenue projections you can model for this? And you have talked about the industry growing at , I mean, not industry, the footwear market si ze growing by around 15% -17% in next year. So our growth has been 3% -4%. You are projecting the market size to be around , growing at 15%-17% . What kind of projections we can go ahead with ?
Ramesh Kumar Dua : This year, we have taken certain strategic initiatives in which we have launched DMS, which will control our , or keep an eye on secondary sales. Then we have improved our retailers connect. We have also, through BAS - Brand As S eller and e -commerce platform selling direct -to-consumer. So all this information, which we'll gather through all these three apps will be kind of a big source of knowing market what is what. And all these combined effort s will help us penetrate and grow better in the coming time.
Onkar Ghugardare: Yes. But if you can specifically guide us like what low digit growth or like mid -teen growth or low single digit growth or what kind of growth you are expecting at least, not saying one year, say three or four years?
Ramesh Kumar Dua: We are expecting a double digit growth this year.
Onkar Ghugardare: Which you haven't done for the last three years?

Ramesh Kumar Dua : Yes, because a lot of initiatives we have taken. And this , a lot of sales transformation is taking place, whose fruits we'll bear this year onwards.

Onkar Ghugardare: And what kind of margins are sustainable on a medium -term bas

is?
Ramesh Kumar Dua : Around 15% -16% EBITDA you can expect.
Onkar Ghugardare: 15%-16% of EBITDA, correct?
Ramesh Kumar Dua: Yes.
Onkar Ghugardare: Okay. But even the EBITDA percent for last two , three years has been like ranging from 12% , 14%-15%? So, like on sustainable basis , we can 15 %-16% is possible, right?
Ramesh Kumar Dua : No. Next year, it is going to be like that. We had difficult years, because raw material volatility was too much. We achieved in this quarter also. If you see this quarter, we have achieved 16% EBITDA.
Onkar Ghugardare: Just t alk more about the competitive in tensity , what kind of competitive intensity you are seeing currently in the market?
Ramesh Kumar Dua : That is always there. It will always remain. We have to keep ourselves more competitive than others. That is our focus.
Onkar Ghugardare: Yes. But just now you said that there were some new entrants. So because of that, what kind of competition level is currently?
Gaurav Kumaar Dua : So, more people , when they come into industry, they pass on more credit in the market. They pass on more disco unt in the market. So, this happens once in five -six years. But now things will consolidate and we will definitely gain the market share.
Moderator: Next question is from the line of Tanmay Gupta from Motilal Oswal.
Tanmay Gupta : Sir, I just wanted to unde rstand. The revenue declined 2% in this quarter and gross margins improved to 60%. Is that because of the high sales in closed footwear for the quarter? Is my understanding right?
Gaurav Kumaar Dua : So the sales were not high , open footwear was more , if you talk about sales.
Tanmay Gupta : So sir, I just wanted to understand where the gross margin lever is coming from?
Gaurav Kumaar Dua : We have taken a moderate price increase.
Tanmay Gupta : Okay. In the open footwear?
Gaurav Kumaar Dua : That's correct.
Tanmay Gupta : And so because of the raw material price increase we have taken or we will maintain these prices going forward?

Gaurav Kumaar Dua : We'll maintain these prices. It depends upon raw material also, plus because of BIS. W e have improved the quali ty. We have improved the specs of our products also. So it's mixed. So it's both.
Tanmay Gupta : So we can expect like 58% -60% of gross margins going forward, I believe?
Gaurav Kumaar Dua : Yes.
Tanmay Gupta : Understood, sir. And sir, second question is on the sportswear. So like sportswear would be around Rs. 200 crores -Rs. 250 crores in Sparx?
Gaurav Kumaar Dua : In Sparx, we have Rs. 400 crores plus.
Tanmay Gupta : No. In the sportswear . Sportswear could be like how much of the Sparx in total?
Gaurav Kumaar Dua : 50% is that. If you talk about closed footw ear, 55% is closed of total Rs. 1,000 crores what we do in Sparx.
Tanmay Gupta : Right. So sir, I just wanted to understand the strategy in increasing our closed footwear penetration because, as you said, a lot of unorganized peers have also come up. And we have, obviously, the competition from the organized. So looking going forward, are we , how will we penetrate the footwear, the closed footwears footprint in the market? And with the price range or premiumization or what kind of strategy if you can, little bit tell me?
Gaurav Kumaar Dua : A lot of steps. it’s not special this year. Every year, we take a lot of steps like, it depends upon launching of new NPDs we launch every year and then new markets, new distributors, opening new outlets, then e -commerce. The penetration in e-commerce earlier it was through a distributor now it is through BAS. A lot of steps , there are like 15 -20 steps we take. The strategy we can't define right now.
Tanmay Gupta : But the pricing would be around Rs. 400-Rs. 600? Means the mass segment we will be focusing on?
Gaurav Kumaar Dua : You're talking about ASP Rs. 400-Rs. 600? Or what?
Tanm

ay Gupta : Yes, it means ASP and in the trade distribution channel like that.
Gaurav Kumaar Dua : The ASP will be almost similar. We ’ll try to improve that. The Sparx ASP is more than Rs. 450. Overall.
Moderator: Thank you. Next question is from the line of Varun Gajaria from Boring AMC. Please go ahead.
Varun Gajaria: Hi sir, Thanks for taking my question. Just wanted to understand how is the supply chain aligned

in terms of sourcing RM ? Do we import raw materials? So how is it aligned at this point? And
I'll ask my follow -up question after this.
Ramesh Kumar Dua : Presently, supplies are consistent. There's not much of a challenge in sourcing the material. The material , natural rubber , we are sourcing here in India itself and the other polymers like EVA,

they're being imported. And it has been always there. So presently, we don't find any challenge on that.
Varun Gajaria: Okay. Sir, these polymers are imported from China?
Ramesh Kumar Dua : No, not China. There are a lot of other countries.
Varun Gajaria: Got it. So there's no ch allenge there in terms of sourcing?
Ramesh Kumar Dua : I don't think we source any polymers from China.
Varun Gajaria: What is the impact of BIS that we'll be seeing on overall raw materials supply and the relevant demand across industries? Because it seems there has been some commentary in the market that currently some of the factories based out in China have not been approve d. So sourcing of sportswear, especially has been a challenge since the first few months. How do you see that trending in terms of inventory and overall demand?
Ramesh Kumar Dua : As far as we are concerned, we have implemented these BIS standards. And it i s the people who have been importing and depending on them, maybe they will face some problems. But as far as we are concerned, we have been our own manufacturers and selling. So we will have no issue of that.
Moderator: Thank you. Next question is from th e line of Chandra Govindaraju from Ashmore. Please go ahead.
Chandra Govindaraju: Hi, Sir. Thank you for the opportunity. What was the Relaxo mix from last year for FY '23?
Gaurav Kumaar Dua : You want to know channel mix or brand -wise mix? What are you ask ing, which mix?
Chandra Govindaraju: I'm looking for the revenue mix .
Ramesh Kumar Dua : But Revenue brand -wise or what?
Chandra Govindaraju: Brand -wise.
Ramesh Kumar Dua : 25% is from Relaxo and Bahamas and 37% from Flite brand and 38% is from Sparx brand.
Chandra Govindaraju: Okay. That is for this year , right ? I am asking for FY '23.
Sushil Batra : More or less , revenue-wise, it was more or less same, because volume has grown in the open footwear, but value mix is more or less same. Not much changed.
Gaurav Kumaar Dua: Major change is not there.
Sushil Batra : Major change is in the volume, but value -wise, it's more or less the same, 25% , 37% and 37% .
Chandra Govindaraju: Okay. And whatever I'm trying to understand is in terms of pricing, which Sparx al so had corrections. That's what I'm trying to understand.

Ramesh Kumar Dua : In Sparx , there's no correction.
Gaurav Kumaar Dua : There's no correction. We have maintain ed the volumes. And we have grown in volume, our value is low single digit.
Ramesh Kumar Dua : That is open footwear.
Gaurav Kumaar Dua : Major volume growth is in open footwear.
Chandra Govindaraju: If I remember correctly, last year, when we spoke, we were looking for more premiumization of Sparx. Because there was raw material volatility and though you might have not increased the prices, but can we expect price increases in Sparx in this year for FY '25?
Ramesh Kumar Dua : We have been developing our new products as per the requirement of the market. So premium products are also coming. Not that we have re

stricted anything. Now ultimately, it is a need of
the consumer or pickup in the market what happens. But we are offering premium articles also in the market .
Chandra Govindaraju: Okay. Got it sir. Thank you.
Moderator: Thank you. Next question is from the line of Vikas Jain from Equir us Securities . Please go ahead.
Vikas Jain : So the question was with the quality control being implemented now, has that l ed to any increase in the producti on cost per pair for us or any sort of somethi ng? Is there any meaningful uptake that we are seeing in that?
Ramesh Kumar Dua : Well, there have been some moderate increase in costs which we have already accordingly passed down and revise the rates. So not a major issue at all. Our quality is otherwis e also good, we have been always quality -conscious players. So it was not much of a thing. Only certain specs which government wanted to have , so we have aligned these.

Vikas Jain : Correct. So then in that scenario how do you rate the implementation across competition that are operating in the same price points? And how do you think the adherence is being like implementation? Ho w would you rate the implementation actually going on that level? Are the competitors and everyone following that vigorously?
Rame sh Kumar Dua : As per the rule, government has exempted micro and small from this implementation of QCO. It is only on medium and large industry. We are one of the large industries. So as far we are concerned, we have implemented .
Vikas Jain : But, means at the ground level are you seeing that means , because some players are exempted, is there any different ial that has been created, is there any impact coming out of it on the overall demand?
Gaurav Kumaar Dua : No, we do not see that. It's too early to say tha t because there's some extension given by government also. So i t's, we'll wait and watch what the situation is there .

Vikas Jain : Okay. Sir, second question is with respect to closed footwear means in qualitative terms while , how would you rate the demand actually at this point in time? Has it like be taking we are hearing a lot in open footwear also that the rural is picking up? And people are going back to normal. So how do you see the journey in that point of time and do you see that further a goo d amount of pickup happening there ?
Gaurav Kumaar Dua : So in last year inflation was high, and we witnessed a lot of down trading by consumers. And because of that there were delay in purchases of sport shoes which is discretionary i n nature. So going forward we are expecting good monsoon and t he demand should definitely upta ke.
Vikas Jain : Okay. And you believe while as you rightly mentioned there was some market share loss, but we have gained by passing on the raw material price increase. Substantial room for further gaining share lift?
Ramesh Kumar Dua : This year we have taken a lot of sales transformation initiatives. That will help the company to grow at a better rate than competition I think.
Vikas Jain: Understood. Okay sir. Thank you so much. I will join back the question queue for any further questions.
Moderator: Thank you. The next question is from the line of Jasmine from VT Capital. Please go ahead.
Jasmine: Hi, I wanted to understand your trend on the realizations? I see that quarter -on-quarter there has been a slig ht increase on the realization, b ut the volumes have also grown consistently with that. So going ahead, are we looking at more and with rural picking up a lso, do we see any realization cut in open footwear and in closed footwear if you could give separate trends for those, please?
Ramesh Kumar Dua : Realization is not going to come down. It will only improve. Whatever rates we are having they're very competitive and there is no room for a reduction of any prices so that rate goes down. It will only

improve.
Jasmine: For both open and closed footwear?
Ramesh Kumar Dua : Yes.
Jasmine: And my last question is on the international side. I wanted to understand how much the exports are contributi ng and how the different countries are doing where we're exporting?
Ritesh Dua: We are around 4.5% of footwear company turnover in exports. And we are getting traction from all the continents like Africa , then Gulf, then Central America and Oceania. So all markets are responding well. So wherever we have, all these countries we are selling in our own brand and we're getting good traction. And we're doing all the marketing activities also in these markets, in these priority markets. And we are bullish for future as well.
Jasmine: Just one clarification. I wanted to unde rstand how much is the margin difference when we're exporting and with domestic it would just be a range if you could provide?

Ritesh Dua: It is almost similar be cause we get incentive also through government. So it's almost similar when you compare with the company level margins.
Jasmine: Thank you so much. All the best.
Ritesh Dua: Okay. Thank you.
Moderator: Thank you. Next question is from the line of Shayantina Malik Chaudhary from Kredent Infoegde . Please go ahead.
Shayantina Chaudhary: So my first question is on your take on premiumization. So like what are we looking into like , how to grow our premium product and how much quantum of revenue w e are generating from this same ? And going forward, what should be the opportunity from this kind of thing? This is my first question.

Gaurav Kumaar Dua: So premiumization is a journey. So every year, we are trying to increase our ASP. Last year, because of the demand the volume was more than t he value. So this year also, we are expecting in our NPD we'll launc h more of the premium articles a nd try to increase our ASP higher.
Shayantina Chaudhary: Yes. So despite that, our realization trend is going to be in the range of Rs. 145-Rs. 150 or there will be an increase in the same?
Gaurav Kumaar Dua : Definitely, there will be an increase because we, last to last year we were at Rs. 161 which came down to Rs. 148. So we'll definitely try to go above what we did last year.
Shayantina Chaudhary: Okay. And sir, I just wanted to understand how much quantum of revenue comes from this premium portfolio in percentage?
Gaurav Kumaar Dua : So if you talk like , we have a premium brand called Sparx which is contributing 1/3 rd of our total sales. So if you talk about premium definitely we have added more brands like Bahamas and Flite Urban Basics. So our journey is on, we have to improve in premium range.
Shayantina Chaudhary: So this will continue to remain one -third this year or we are looking some increase in that?
Gaurav Kumaar Dua : They will be increased, definitely, there will be an increase.
Shayantina Chaudhary: Okay. And second one is on e -commerce. So like how we are looking to leverage on the e-commerce segment and like what is our take on that?
Gaurav Kumaar Dua : See, last year, you have seen there were a lot of discounting happening on e -commerce. So we have taken some corrective action and now we are focusing more on BAS - Business-as -Seller to control the prices.
Shayantina Chaudhary: Okay. And so any percentage figures that how much e-commerce forms that are part of the total channel?
Gaurav Kumaar Dua : We do roughly around 9% to 10% in e -commerce of our total sales .

Shayantina Chaudhary: Okay. And sir last one is like will our salience in terms of o pen and closed footwear will continue to remain 75% or like it's going to see some changes?
Gaurav Kumaar Dua : No. Right now it is 80% is open and 20% is closed. So we are expecting that 75: 25 it will become.
Shayantina Chaudhary:

Okay. Thank you.
Moderator: Thank you. Next question is from the line of Mr. Rajiv Bharati from D am Capital Advisors. Please go ahead.
Rajiv Bharati : Sir, this is regarding the c apex line item. So you have done Rs. 250 crores th is time. You mentioned that Rs. 127 crores was for this land. And typically you do Rs. 25crores -Rs. 30 crores on the mou lds bit. Can you explain the remaining part of it?
Sushil Batra : Last time it's on plant and machinery also and we have added building s also. So last year, we added one manufacturing plant for back -end support in the PU category. And machines also we buy in the range of Rs. 30 crores -Rs. 40 crores. It's a routine expansion, which is always required. So Rs. 25 crores -Rs. 30 crores is the mo uld. So that is the breakup.
Rajiv Bharati : Sure. And it looks like I mean, is it right that the Sparx utilization currently is close to touching 75%?
Sushil Batra : No, that is not the case, it's around 55% -60%, overall company at 65% . So that's the overall number.
Rajiv Bharati : And are the immediate plans of expanding this Sparx bit in the next fiscal or so?
Ramesh Kumar Dua: Already we have generated enough capacity , we have enough capacity . That's not required immediately in the expansion of capacity.
Rajiv Bharati : Yes. And this online bit, you mentioned that 9% is coming from online. On the Sparx bit, this was close to 25% odd. Have we seen any improvement or directional improvement there after March?
Gaurav Kumaar Dua : You're talking about this April or last full y ear?
Rajiv Bharati : For the , so I was under the impression that the B2B guys have been slightly slow in ordering or placing orders. And that's why , and we were slightly heavily indexed on the Sparx side, on the online bit, right? I think 1/4 of Sparx is online. Have you seen some improvement on this front in the, let's say, second half?
Gaurav Kumaar Dua : Second half of last year, you're talking about, right?
Rajiv Bharati : '24.
Gaurav Kumaar Dua : Yes. So last year, there were a lot of issues coming from so me of the sites. They were undercutting because of they have that big billion day and all whatever. So we have corrected

that, and we have taken control on our own, and now we are focusing on brand-as -seller. So we
are just maintaining the volume at the e-commerce, if you talk about that.
Moderator: Next question is from the line of Resha Mehta from Green Edge Wealth.
Resha Mehta : So the first question is that while our revenue for this financial year has grown by 5%, but if we
look at the employee costs an d other operating costs, they have grown almost by 13% and 16%,
respectively. So anything exceptional here?
Sushil Batra : There is no exception because revenue has not grown as expenses has grown. So in cases
implied, definitely, there is an increment and adding of some people also. So because revenue
has grown by hardly 5%, so that's why percentage has increased. But in absolute terms, there is
a normal inflation cost has increased.
Resha Mehta : All right. And can you also break up your revenue into how much of it comes from Metros, Tier
½, rural?
Gaurav Kumaar Dua: We have distributors district wise. So we do not capture exactly what is the rural. So major
distributors are 5 lacs + towns. So we are not able to capture exact what is the rural sale. Because
rural is villages. We are not able to that capture right now.
Moderator: Next question is from the line of Prerna Jhunjhunwala from Elara Capital.
Prerna Jhunjhunwala : I just wanted to understand your A&P expenditure for the year? And are you planning to
increase, decrease maintain the same for next year ?
Gaurav Kumaar Dua: So if you talk about A &SP, so it is roughly around, for advertisement, we do around 4% -4.5%.
And the rest is the schemes and that , both put together comes to 9%. And we'r

e trying to maintain
that same number.
Prerna Jhunjhunwala : So when you're looking at growing at a higher rate next year, what initiatives will help you to
grow? Just wanted to understand that at a higher rate? When the demand continues to remain a little subdued as p er your
commentary earlier?
Gaurav Kumaar Dua: Yes. So there is not one. But there are multiple actions we are going to take. This is one.
Advertisement is one. Then we are improving on our reach to the retailers. So we have
implemented the app, which was , I was talking earlier. So we have enrolled 50,000 outlets. And
our focus is how we can make it to 1 lakh outlet s within this year. So a lot of activities are
happening at BTL level, at ground level. So definitely, advertisement, if we see the market going
up, that will also increase. And we are focusing on e-commerce, adding more outlets on EBOs.
So there are a lot of things.
Prerna Jhunjhunwala : So EBOs, how many you're going to increase this year? Just help to understand.
Gaurav Kumaar Dua: So 50- 60. We currently have more than 400. We're going to add 50 -60 more outlets.
Prerna Jhunjhunwala : And any market competition -related activity that you've seen, like increased discounts by
competitors, etcetera? So how are you reacting to the same?

Gaurav Kumaar Dua: So definitely, see, a lot of activities. Again, I'm saying that we are we are trying to go in the
unrepresentative areas. We are adding more number of distributors, adding more number of
outlets. So the reach we are trying to increase that and we are co ntrolling the outstanding, and
we are keeping an eye on the market and taking steps accordingly. So this is a monthly program
what we do, and we try to understand what is happening in the market and take corrective
actions.
Prerna Jhunjhunwala : Okay. Okay. And sir, has their competitive intensity increasing in open footwear as well? Or
only closed footwear?
Gaurav Kumaar Dua: Majorly in closed footwear.
Prerna Jhunjhunwala : Okay. Understood. And sir, in closed footwear, what is your capacity utilization? I missed that
part.
Gaurav Kumaar Dua: It is 55% in closed footwear.
Prerna Jhunjhunwala : And our total capacity is 150,000 pairs, if I'm, correct?
Sushil Batra : Yes, yes. You're right. It's a 10.5 lakh pair per day.
Moderator: Next question is from the line of Vikas Jain from Equirus Securities.
Vikas Jain : Sir, brand -wise, volume mix for FY '23? If you could give?
Ramesh Kumar Dua: Brand -wise also , last year also almost it was same share similar . You're talking volume?
Vikas Jain : Volume, you said it was di fferent, right? You said value it was same, but volume was different,
right?
Sushil Batra : Yes, volume -wise definitely different. So let me get some data. Just as we can see it. If we can
get it, just, I think I have to provide? Any anything else except this one?
Vikas Jain : Nothing. That was the only question.
Ramesh Kumar Dua: Value-wise we are the same. But volume, it has increased in open footwear.
Moderator: Next question is from the line of Mr. Onkar Ghugardare from Shree Investments.
Onkar Ghugardare: My question is are the management setting any internal targets for the next three-four years? So

themselves i n terms of revenue, profitability, cash flow, ROE, ROCE, etcetera, to grow the business? Just wanted to know the management 's vision in the business?
Ramesh Kumar Dua: Next year, we have told. We will be having double-digit growth. We aim to grow it at double digit growth for the next two -three years.
Onkar Ghugardare: What about the other parameters? Profitability, ROE, ROCE?

Ramesh Kumar Dua: Other parameters, ultimately, we have to the watch the co mpetition , raw material prices and keep our prices ultimately competitive. So accordingly, I don't see an

y fear that we'll see any challenge in EBITDA or profitability.
Onkar Ghugardare: Why this specific question, is that let's say 5 -6 years back thi s was a different kind of Relaxo we used to see. But now that thing is no more in the company. If you look at the ROE it was at best industry best level. The revenue growth were also seemed very good. But I guess, last three -four years that has not been the case and this question?
Ramesh Kumar Dua : No. Because in the past, there was a lot of volatility in the raw material prices that affected us. Since we have to import the raw materials, we have to maintain a long supply chain, but now things are stable. That is why we are telling things will be a little better.
Onkar Ghugardare: Raw material volatility affects each and every player in the industry, right? I mean why won't it affect only Relax o?
Ramesh Kumar Dua : Because we are one of the largest importer of raw material. We can't depend upon local availability of material. The local players they have smaller consumption. And they buy from a local market. But we have to maintain a long supply chain from all imports.
Onkar Ghugardare: Correct. The raw material vo latility would have been there five, six years back as well, right? Still your growth was quite good. I just wanted to know what is the exact reason for this?
Ritesh Dua :
Actually this raw material volatility what you are talking about, it has been too much if we talk about previous year. Becaus e we talk about EVA from Rs. 120 per kg, it went to Rs. 300. And this is short span, it came down to Rs. 150 -Rs. 120 again. That kind of volatility we've never seen in the past.
Onkar Ghugardare: Okay. So this is like related to particular commodity you ar e talking about , volatility in particular commodity ?
Ramesh Kumar Dua : It was ethyl ene vinyl acetate polymer. It was low density polyethylene also, PVC also. All polymers, they became volatile. Because we have to keep , I mean, a good inventory of all these things. And that was the reason for that. Otherwise, generally, we are beneficial in the rising market. We always have good inventory. This is the first time when it rose to Rs. 300 and then came down Rs. 150. So that affected us.
Onkar Ghugardare: Okay. Can you confidently say that for the next couple of years, your profit will be higher than the revenue growth at least?
Ramesh Kumar Dua : No. Nobody can predict what kind of raw material you will get, what kind of extra uncontrolled circumstances we'll be facing. Only thing is we have to see, we have to keep ourselves competitive. And based on the raw material costs, we have to keep our pricing.
Onkar Ghugardare: In terms of growing the business, what kind of model you a re targeting? Like EBO or like company ? Like What kind of models you are targeting, the online model or like what exactly are you targeting?

Ramesh Kumar Dua : No, we are focusing on all channels. Not that we are neglecting any channel. We have to see how EBOs should grow , how e-commerce business should grow , general trade should grow, exports should grow. We're focusing on all these channels, not any channel at the cost of another channel.
Onkar Ghugardare:
Thank you very much.
Moderator: Thank you. As there are no further questions, I would now like to hand the conference over to Sushil, sir, for closing comments. Over to you.
Sushil Batra : Thank you all for joining the call. This is all from our side. Looking forward to joining you again. Thank you ver y much.
Moderator: Thank you. On behalf of DAM Capital Advisors Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

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This is a transcription and may contain transcription error

s. The Company takes no responsibility of such errors, although an
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Call: Nov 2024

November 14, 2024

Sub: Conference call Transcript

Dear Madam / Sir,

With reference to captioned subject, we hereby enclosed herewit h the transcript
of Investors call regarding Q2 & H1 FY 25 Results, which was ho sted by the
Company on November 11, 2024 at 4:00 P.M (IST).
The same is for your information and record please.
Thanking You,

For Relaxo Footwears Limited,

Ankit Jain
Company Secretary & Compliance Officer Enclosed as stated above
BSE Ltd.
Corporate Relationship Department Phiroze Jeejeebhoy Towers, Dalal Street,
Mumbai – 400 001 National Stock Exchange of India Ltd
Listing Department Exchange Plaza, C-1, Block G, Bandra Kurla Complex,
Bandra (E), Mumbai - 400 051
Scrip Code – 530517 Symbol – RELAXO

"Relaxo Footwears Limited
Q2 & H1 FY25 Earnings Conference Call"
November 11, 2024

MANAGEMENT : M R. RAMESH KUMAR DUA C HAIRMAN AND MANAGING
DIRECTOR
MR. GAURAV KUMAAR DUA WHOLE TIME DIRECTOR
MR. SUSHIL BATRA E XECUTIVE DIRECTOR &
CHIEF FINANCIAL OFFICER
MR. RITESH DUA E XECUTIVE VICE PRESIDENT ,
FINANCE
MR. ANKIT JAIN C OMPANY SECRETARY &
COMPLIANCE OFFICER
MODERATOR : M R. SAMEER GUPTA I I F L SECURITIES LIMITED

Relaxo Footwears Limited
November 11, 2024

Moderator: Ladies and Gentlemen, good day, and welcome to the Q2 FY25 Earn ings Conference Call of Relaxo Footwears Limited, hosted by IIFL Securities Limited. As a reminder, all participant lines will be in the listen-only mode and there will be an oppo rtunity for you to ask questions after the presentation concludes. Should you need assistance du ring the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. Sameer Gupta from IIFL S ecurities Limited. Thank you, and over to you, sir.
Sameer Gupta: Thanks, Muskaan. Good evening, everyone. We have with us the Se nior Management of Relaxo Footwears today, Mr. Ramesh Kumar Dua, Chairman and Mana ging Director; Mr. Gaurav Kumaar Dua, Whole-Time Director; Mr. Sushil Batra, E xecutive Director and Chief Financial Officer; Mr. Ritesh Dua, Executive Vice Preside nt, Finance; and Mr. Ankit Jain, Company Secretary and Compliance Officer. Without further ado, let me pass it on to Mr. Dua and team. Over to you, sir.
Sushil Batra: Thank you, Sameer. Good evening, everyone, and thank you for jo ining us on our Q2 and H1 FY25 earnings call to discuss the financial and operational per formance of the company. We

have already uploaded the earnings press release and the invest or presentation on the stock exchange as well as on our website. And we hope that you have h ad an opportunity to go through them.
Before we begin the question and answer session, let me quickl y go through some of the highlights of Q2 and H1 FY25 performance, beginning with Q2.
Revenue from operations in Q2 FY 25 was at INR 679 crores as com pared to INR 715 crores in Q2 FY24, a decline of 5% year-on-year. This is mainly due to we ak market demand during the quarter.
Our EBITDA for the quarter was at INR 88 crores as compared to INR 92 crores in the corresponding quarter in the previous year. The company maintai ned its EBITDA margin at 12.9% during the quarter as compared to 12.8% in Q2 FY24, despi te the subdued demand. PAT was at INR 37 crores as compared to INR 44 crores reported in Q 2 FY24. PAT margin for Q2 FY25 stood at 5.4% as compared to 6.2% in Q2 FY24. Higher depre ciation in the quarter has impacted the profitability of the company.
Now moving to our H1 FY25 performance. In H1 FY25, we recorded a revenue of INR 1,428 crores, EBITDA was at INR 187 crores compared to INR 199 crores in the same period of last year. EBITDA margin was at 13.1% as compared to 13.7% in H1 FY2 4. PAT for H1 FY25 stood at INR 81 crores against INR 101 crores in H1 FY24. PAT margin was at 5.7% as compared to 6.9% in H1 FY24. The company has incurred a capex of INR 49 cro res till 30th September '24.
Our company continues to be net debt free and supported by posi tive cash flow from operations.
Our company is in process of adding new distributors and focusi ng on to improve retail network through various initiatives. Further in line with our continued focus on cost efficiencies, we are

working on optimizing our back-end operations, which would enab le us to deliver a sustainable performance in the future.
Thank you. The floor is now open for questions. Moderator: Thank you very much. We will now begin the question and answer session. The first question is
from the line of Videesha S heth from Ambit Capital.
Videesha Sheth: My first question was on the commentary that you made in the pr ess release regarding consumers down-trading to lower price on organized competition and your c all to not dilute prices. So how do you see that impacting volumes and market share in the near term?
Gaurav Kumaar Dua: Hi. This is Gaurav. We are seeing a pretty poor footfall happening across the country what we have noticed. And

there is a mushrooming of local players, the unorganized players, new and new unorganized players have also come into the play. So there was a pressure on us to reduce the prices which we have not. And we are in process of adding m ore retailers and distributors to counter that.
Videesha Sheth: So Gaurav, where I'm coming from is that during FY23 also when we faced a lot of pressure from RM inflation. We chose to increase prices, but we also the n lost market share due to that. So do you see this call of not diluting or reducing prices affe cting volumes as well or impacting our market share in that way?
Gaurav Kumaar Dua: Temporarily, we can say, yes. But in long term, I think we will be able to gain back the market share. It's because of 2 factors. There is poor footfalls, dema nd is also subdued and the raw material prices, all these things, because of multiple factors, they were able to enter. But I think now the wedding season, we are hearing like quarter 3, a lot of weddings are happening, there will be a demand uptake in the market and things will improve.
Videesha Sheth: Got it. And the second question was if you can share your obser vations on the channel inventory and some granular sense on consumption trends as well, while th ere is overall weakness, but if you could break it down into how we are seeing the move in rura l versus urban and also the competitive landscape?
Sushil Batra: Channel inventory, we are maintaining, there is an increase in the inventory as compared to March. So it has increased due to subdued demand. And inventory , we are carrying almost in GT and new channel at the same l evel, but retail, it has increa sed a little bit. So overall, there is an increase on inventory front.
Videesha Sheth: Got it. And my last question is what would be your outlook for margins versus the earlier guidance of 15% to 16% for FY25?
Gaurav Kumaar Dua: I think company is taking a lot of steps to improve the margins . On the back-end front, we are working very closely with the manufacturing how to really impro ve our productivity and add on to our margins.
Moderator: The next question is from the li ne of Shirish Pardeshi from Cen trum Broking.

Shirish Pardeshi: On the slide in the beginning, I observed that our average real ization per pair has gone up by about 6% to INR 156 and the number of pair sold is lower. So I do understand there is a demand issue and other things. But is there any regional variation bec ause we have a larger business coming from North. Is the difference between North and South an d West and East is different in terms of this demand situation?
Gaurav Kumaar Dua: See, across India, we are seeing this issue of demand not being optimum. But East, if you talk about, East is most affected. So payments are very slow coming from Eastern markets. So East is the market which has been mostly affected.
Shirish Pardeshi: Okay. So we have been saying that we are trying to, in fact, im prove the mix towards the premium end also. Any color, any mix you would be able to highl ight at this point of time?
Ramesh Kumar Dua: Status quo. Our prices were more because we revised the prices in January. This is the effect of higher ASP.
Shirish Pardeshi: Okay. Okay. And in terms of Sparx contribution, would you speci fy how we should look at in second half? Because you said that you are focusing on the dist ribution angle also.
Gaurav Kumaar Dua: Sparx, I think we are able to maintain the momentum in Sparx co mpared to the other open footwear. So I think Sparx shou ld definitely be better off comp ared to other 2 brands, that is Flite and Bahamas.
Shirish Pardeshi: Okay. So I assume that the first half, the situation demand dow n trading, regional competition, local competition, if the status quo is there, how we should be looking at second half? Because even second half was -- the base is benign at this point of

tim e. But does last 30, 40 days give you some confidence that we will be able to recoup our volume g rowth?
Gaurav Kumaar Dua: Currently, like in October or whatever, you can see the start, we have not seen a great start. So we are hoping that because of this November-December having a h uge number of weddings, so demand should improve.
Moderator: The next question is from the line of Prerna Jhunjhunwala from Elara Capital.
Prerna Jhunjhunwala: Just wanted to check on closed footwear performance now that we 've added capacity in last year. So has the mix change taken place in the first half and second quarter?
Gaurav Kumaar Dua: So it's same like what it was th e last year and last quarter. T here's not much of a change happening there.
Prerna Jhunjhunwala: So what is your strategy to improve our mix towards closed foot wear?
Gaurav Kumaar Dua: Strategy we talked about, again, it is like appointment of dist ributor, adding more channels, for example, e-commerce. We were a little slow this time because of too much of ask from Flipkart and Amazon. So we are very cautious and then we are taking step s to improve our reach in Sparx.

Prerna Jhunjhunwala: So what could be the revenue growth that you are targeting for FY 25-26, given that your conservative demand is also weak and you're expecting improveme nt in demand coming forward in the quarters to come. So how should we see the growth coming in for you?
Gaurav Kumaar Dua: So we are really cautious of the market. And what we see is we have to grow, like we are appointing more distributors across territories. And we are hop ing that we can grow around 8% to 10% in Sparx category.
Prerna Jhunjhunwala: Okay. And overall revenue growth that you're targeting?
Gaurav Kumaar Dua: Difficult to say as of now, but definitely it should be positiv e.
Prerna Jhunjhunwala: Okay. And what would be the distributor and retail reach increa se for you in the next 2 years for both open footwear and closed footwear?
Gaurav Kumaar Dua: See it's a continuous process. We keep on adding distributors. So it is a continuous process. So adding retailers, like if you see 2 years back, we were at 55,0 00. Now we are at 70,000 retailers. So, it's a continuous act ivity, continuous process.
Prerna Jhunjhunwala: We can assume the same run rate to continue?
Gaurav Kumaar Dua: Yes, definitely.
Moderator: The next question is from the li ne of Sameer Gupta from IIFL Se curities.
Sameer Gupta: I noticed that there is an ASP increase of 6%. I mean, I heard that you mentioned that you've taken a revision of price in January, but even from last quarte r onwards, this is an increase of around 3%. So just wanted to understand is there a change in mi x that is impacting this and some more color on this?
Gaurav Kumaar Dua: See, we have introduced premium categories in some of our brand s. And because of that, there is an effect of increase in ASP, plus we have taken a price inc rease in the January in Hawaii category. And last year, the base level was also a little lower .
Sameer Gupta: Okay. But there is no price increase as such taken in this quar ter?
Gaurav Kumaar Dua: No, no, we have not taken price increase.
Sameer Gupta: Got it, sir. Sir, second questio n on this competitive intensity increasing. What is the trigger for

this? Has there been a sharp fall in raw material prices that h as resulted in this intensity going up? And how is the company going to counter it? I mean, let's s ay, it continues for a few more quarters. So do you have a strategy in place to counter it at s ome point? Or do you keep waiting because it's unsustainable and it will go away at some point in time?
Gaurav Kumaar Dua: So you're absolutely right because of lower raw material prices , a lot of new competitors have come in. We are working with our marketing team to devise a new portfolio, a new portfolio strategy, so how to counter them

. So we are working on cost opt imization plus adding new

products and to understand the regional needs. So we are really in touch with the market, what is happening.
Sameer Gupta: And is there a role of the BIS compliance also in this that the smaller players don't have to comply as of now? Is that also impacting?
Ramesh Kumar Dua: Yes, that could be a reason because all small manufacturers, th ey are exempt from Quality Control standards. So whatever quality they want to produce, th ey can downgrade and they can cause unethical competition also o therwise. So that also has so me role.
Sameer Gupta: Got it, sir. Lastly, sir, if I may squeeze in. The other expens es have seen a decline of 3%. Just wanted to understand t he broad constituents, which is resulting in this. And also, let's say, the volume growth comes back, do you see this growth in other expen ses also coming back? Or this INR 220 crores number odd is the ballpark, which is here to sta y?
Sushil Batra: Other expenses, we took a very calculated call. We have just re duced the advertisement expenses in this period as compared to last year. So that is the major i tem, which has come down.
Sameer Gupta: But do you see this going up going forward if demand comes back ?
Sushil Batra: Yes. Next year, definitely. Not this year. Next year, definitel y, we will review, and we may go back to the original percentage spend.
Sameer Gupta: So FY25, what is the number that you're targeting for ad spend, full year?
Sushil Batra: Generally, we used to spend around 4%. So this year, we have ju st thought about 3%, 1% lower than last year.
Moderator: The next question is from the li ne of Gaurav Jogani from JM Fin ancial.
Gaurav Jogani: Apologies for the earlier, sir. And my question is with regards to the impact of BIS. I mean, while in the shorter term because these smaller players are giv en a relaxation of not complying with the norms. But on longer term, how do you see the norms im pacting the industry on an overall basis and Relaxo specifically?
Ramesh Kumar Dua: Government has actually given exemption to the small industry f or the time being. It doesn't mean they're going to go on always. That we have to wait and se e how they see. But as far as we are concerned, we are strictly following quality control sta ndard prescribed by Bureau of the Indian Standards.
Gaurav Jogani: Yes. So because you guys are foll owing the quality standards pr escribed by the agency, then can you be marketing your products as a better quality product and hence, they do ISI or BSI mark. So can there be marketing angle that benefit guys at the value end who are following these norms? Is there a case for that?
Ramesh Kumar Dua: No, no, on the long term, this w ill benefit the company. In the short term because of there's a market down trading, people are not having enough money in thei r hands, so they are going for

cheaper products. But ultimately, cheaper product can never cre ate a future. Future is always for the quality products that we are following.
Moderator: The next question is from the line of Prerna Jhunjhunwala from Elara Capital.
Prerna Jhunjhunwala: I wanted to understand the capex for the year. What will be the full capex for FY '25 and '26?
Sushil Batra: FY25, already we have spent around INR 50 crores. So, it will b e again in the range of INR 50 crores to INR 60 crores in next h alf. So, total will be INR 100 crores plus in this full year.
Prerna Jhunjhunwala: And what is it going to be spent on, INR 100 crores?
Sushil Batra: This majorly we have spent upon the regular items, which we spe nt around INR 25 crores to INR 30 crores. Then we are addin g some machineries and some civ il work also. So it's a mix of all these.
Prerna Jhunjhunwala: Okay. Okay. Can we assume any capacity addition in this?
Sushil Batra: No.
Moderator

: The next question is from the li ne of Ankit Kedia from PhillipC apital.
Ankit Kedia: Sir, when you say October has been a slow month for you and you 're hopeful for November,

already primary sales for November would have been done now, an d you would be generating demand for the next month. So are we seeing pressures in primar y demand from distributors and they're sitting on high stock? And if you could answer separate ly for open footwear and closed footwear?
Gaurav Kumaar Dua: So it is same for both open and closed footwear. Still, we are hoping that next 2 months should be better compared to what has happened last quarter. So becaus e of poor footfalls, these things are happening. So it would be gradual. It cannot be just immedi ate the things will change.
Ankit Kedia And sir, are we facing pressure from organized players as well like Walkaroo and Aqualite who have also become aggressive in the open footwear category? Or i t's not from the unorganized only what you called out?
Gaurav Kumaar Dua: They are also facing challenges from unorganized. I think, they are also facing a lot of issues compared to BIS of unorganized players, lower footfalls. For fu ll industry, it is the same.
Ankit Kedia And sir, 3 quarters back, last year when we had lost market sha re, you alluded that you go for market share gains and not for m argins. And now again, as a str ategy, you're going for margins and not for market share gains. So what is the long-term though t process of the company on top line growth versus margins?
Gaurav Kumaar Dua: No, we're taking a balanced approach. It cannot be one way. It cannot be only margin or only sales. We have to take a long-term view and take a balanced app roach.

Ankit Kedia: Sure. But with a steady decline in volumes, consumer is downgra ding and that is impacting the brand as well.
Ramesh Kumar Dua: No. On the long term, we have to see the thing. Our strategy ha s to be not based on what currently we are going through. We have to make quality product, and we h ave to sustain the things. We are adding distributors. We are adding retailers. We have intro duced a retail app, our connect with the retailer is improving. And this base is improving of o ur retailers. Our reach improves, definitely, the sale will also improve.
Ankit Kedia: Sir, can you separately call out the growth in the North market versus the West and South, if possible?
Gaurav Kumaar Dua: Can you repeat it please?
Ankit Kedia Can you just let call out the revenue growth or the volume decl ine in North versus ex. North region?
Gaurav Kumaar Dua: There has been just a marginal 1% drop in some areas sustained in the West and South. So basically East, we have seen a little more dip compared to othe r regions.
Moderator: The next question is from the line of Aditya Khetan from SMIFS Institutional Equities.
Aditya Khetan: Yes. Sir, my first question is on to the volumes part. Sir, in H1, we had seen that the volumes have declined by almost around 5% as compared to the last year of H1. And sir, you have also stated that the muted demand and all, and you are hopeful for a good wedding season. Sir, so any guidance on to the full year volume side, if you can share, so whether we can see a positive growth or it would be flattish?
Gaurav Kumaar Dua: It would be flattish because it will take time to cover up the 6-month sales and volume loss.
Aditya Khetan: Okay. Okay. And sir, despite facing this muted demand, sir, so when we look at the operational metrics, like your gross profit per pair and EBITDA per pair. S o that has gone up on a sequential basis by around so 3% to 4%. I wanted to know, is there any com ponent of the better product mix which we have seen in this quarter?.
Ramesh Kumar Dua: EBITDA is by and large same in the first quarter, second quarte r if you compare to last year's first quarter and second quarter , total H1, H2, just a 0

.5% dif ference of EBITDA.
Aditya Khetan: Got it. On the gross profit, sir, we have seen a good improveme nt. Any comments over there?
Sushil Batra: Growth, definitely, there are 3 reasons for this. We took a pri ce increase in January, so that is the advantage has come in the system. Raw materials has also, I think, eased out. And third is, if you see the percentage, there is an increase of inventory, s o that percentage is, I think, 1% looks better than the last year. So these are the 3 reasons. So one is the price increase; second, raw material advantage; third, t hat is the accounting part. You can see there is an increase of inventory of around INR 47 crores in this, that includes a conv ersion cost also. That's why that margin looks better.

Moderator: The next question is from the li ne of Jasmine from VT Capital.
Jasmine: I wanted to understand your comment on reduction of the A&P cos t. My understanding is that the demand is muted, the local players are kicking in. So what is the rationale of reducing our A&P spend when this time, I believe there should be more spend to garner more market share

and hence increase the volume and sales?
Gaurav Kumaar Dua: So what we have done is we have reduced in advertisement but in creased on schemes in sales and promotion. So because of trade, push is required for an imm ediate scenario, so we have increased our schemes expenditure.
Moderator: The next question is from the li ne of Sachee Trivedi from Tride nt Capital.
Sachee Trivedi: Okay. Great. This is Sachee Trivedi from Trident Capital Invest ments. My question is slightly more longer-term oriented. Now in the last 2, 3 years, we have seen 2 things happening: one is the shift of demand from open to closed footwear. And the secon d is a shift of demand from probably the physical channels to online channels. How did you not see this coming?
Gaurav Kumaar Dua: There were multiple factors. Like, for example, no body saw that there will be such poor footfalls, leading to poor payments from the retailers. So it's very diffi cult to really gauge how the monsoon will come up, how election will what will be the result of that. And plus a lot of unorganized players coming up because of BIS issue. Like we nev er thought that government will give them a leeway you can enrol after a year. So many thi ngs you cannot predict how the things will operate, how government will come with the new poli cies.
Sachee Trivedi: Those are like monsoon and election and BIS, I think these are very I mean, I don't think that is frankly, the crux of this. We are talking about a very structur al, a very secular shift in demand from open to closed footwear. You look around yourself, there's I mean people are wearing shoes, those athleis ure sports shoes.
And there is a very structural shift on to online. In fact, onl ine players are having disruption from being from e-commerce to quick commerce and whatnot. So there i s a massive disruption happening in channel. Given how widespread you are, given how m any contact points, retail points you had, I am surprised that you did not catch on to the changes, the tectonic shift, the structural changes that are happening in the industry?
Ramesh Kumar Dua: No. As for that, there's a conflict of channel, general trade v ersus online channel. There is also too much of discounting pressure on online channel. So strategi cally, we are there, but we have to be very cautious of our general trade.
Our multi-brand outlet, they get s uffered when they see too muc h of discount. This year, we had to actually say no to Flipkart and Amazon because they generall y give too much discount and that affects us. So we have to be very cautious in the changing scenario. Things are conflicting. They're very complex also.

So we are now creating separate portfolio for e-commerce.

That is the thing, that in total, I mean, kind of conflicting and not complementary but sometimes totally opposite. Whatever we think about the general trade, that affects our e-commerce. And when we look for only for e-commerce, then heavy discounting, the sale may go up, but on th e long term, our general trade gets affected. So we are grappling with this issue and trying t o create a separate range for e-commerce, so that this conflict should get minimized.
Gaurav Kumaar Dua: And plus, consolidation will happen. Now this year, maybe last 2 years, you can see in online, there are multiple new brands have come up in footwear. Like ea rlier it was 20 brands, now they are more than 200 brands in footwear. So consolidation will hap pen. Now discount war will be controlled, like a lot of things are happening in online, yes.
Ramesh Kumar Dua: And our two-third business is open footwear, which will never g o on e-commerce. Price is low price, masses article. It is not profitable to work on e-commer ce on all these masses articles.
Sachee Trivedi: So this disruption because of the online is something to be not taken likely because we are seeing industry after industry being disrupted and completely changed and transformed because of this.
Do you feel that this could have a struck, I mean, given your v ery, very rich experience over decades, do you think this is probably the biggest challenge th at you are facing now simply because a shift in nature of demand.
And the channel of demand is causing and has allowed a lot many competitors, whether it is people who are coming today and selling maybe for 1 season and going away. But all of a sudden, they have the shelf space that they could never get in physical retail industry. And we are seeing in cosmetics, we are seeing in beauty products, new age players are coming up. They have gained enough critical mass and the old legacy player s are really suffering in volumes.
Do you think this is the kind of challenge that you are facing? And I'm curious to hear how you place this challenge, the size of this challenge to everything you have seen in the decades of experience that you have?
Ramesh Kumar Dua: So no doubt, things are challenging. We are also mindful of the situation what is unfolding. But we have to see, we have to balan ce between general trade and e- commerce. In e-commerce, we can't, at the cost of general trad e, promote e-commerce. E-comm erce, we are mindful. We have started selling as brand as a se ller where we can control our p ricing also.
Earlier, we were selling directly to Flipkart and other distri butors, there was no price control,

which was affecting our general trade. So we are building our o wn brand as a seller and trying to sell direct to the consumer and watchful of the situation so that we can co-exist in the general trade also and e-commerce also.
And also two-third of the articles that we manufacture, they a re meant for the masses. And these masses articles, they are not vi able to sell on e-commerce. We have to do that business through general trade only.

Sachee Trivedi: So then 1 final question from me. Some articles, two-third of a rticles that you have for the masses. Now these people are probably not going online also. Wh y has there been no growth in this masses category over the last almost 3 years now?
Ramesh Kumar Dua: No, no. After all, market in ope n footwear, closed footwear is there. But in the general trade, in the 2 years, the demand has been low. And now in this year, you find a lot of unorganized, low-price articles have entered the market. There is a problem of m oney in the hand of the masses segment at the moment, what we are witnessing.
That is why they are trying to go for cheaper alternatives. But on the long-term, quality articles will also be the aim of the company and that will only help the company. We can't go for reduc

ing the quality o r do anything just for the time being.
Sachee Trivedi: Okay. And actually, if you don't mind, I saw that you have tied up with Disney and Marvel. Does it mean you are going to ha ve some focus on the children's segment?
Ramesh Kumar Dua: Yes. That will help in the premiumization of our articles which are meant for children and others also. So we have done a slow beginning. But in the coming times , this will help us improve the ASP of the company.
Moderator: The next question is from the line of Devanshu Bansal from Emka y Global.
Devanshu Bansal: Sorry, I've joined the call late, so please pardon me if I'm re peating anything that has been answered before. Sir, I just wanted to check on your remarks th at the industry has sort of witnessed an increase in lower priced unorganized competition. So firstly, I wanted to check what exactly is this unorganized competition. So earlier during this entire calendar year, the imports from China, etcet era, were on a decline.
But now over the last couple of months, I guess, the imports of such articles have seen an increase. Are you referring to this? Or are you referring to al l those smaller-scale MSMEs that are operating from India and they have suddenly increased the c ompetitive intensity in that space?
Gaurav Kumaar Dua: Yes, it's actually both. Plus 2 years back, there was a change of GST from 5% to 12%. Since then, like a lot of new players or unorganized competitors have come up. There are multiple reasons for that. One is the lower-priced raw material. When th e raw material price goes down, definitely new players come in. And the price goes up, they rea lly vanish. Plus, definitely, we can talk about these ar e regional players, which have been havi ng no brand, not paying GST. They don't have BIS compliance. So they are taking some market share. And there are a lot of imports happening, like what you were saying about China import s, it has not reduced, but it has increased because government ha ve allowed them until September to import product. After that, they cannot because then the BIS will be applicable. So multipl e factors, not one or two.
Devanshu Bansal: Understood, sir. And secondly, I just wanted to understand from your balance sheet perspective, the inventory levels are sort of up by about 10% odd. So any sp ecific reason for that?

Sushil Batra: Due to subdued demand, and we have to run the factories and bec ause there is pressure on the demand, that's why inventory has increased.
Devanshu Bansal: Okay. I just wanted to check because this time around, this fes tive season has been early. Despite that, the inventory levels are up and receivables are down. So I just wanted to check. I mean, is it like some demand levels in fe stive also sort of remaining lo w?
Ramesh Kumar Dua: So far demand has been subdued, even in the month of September and October. We are hopeful that November onwards things will improve.
Moderator: The next question is from the li ne of Lavita from Mirae Asset.
Lavita: I have 2 questions. So with respect to how we are positioned in the market, are we seeing any portfolio gaps in the open or closed footwear category since we have seen Crocs being successful last 2, 3 years? The way customers preferences have changed tow ards more comfort wear and fashion wear. So are we looking at newer categories in any of t hese open and footwear space?
And second question.
Gaurav Kumaar Dua: Continue, please continue.
Lavita: Okay. So my second question is towards marketing strategies. Ar e we looking at any

differentiated marketing strategy because we see the high-end b rands have a different appeal towards the young millennials and customers? So what's your tak e on that?

Gaurav Kumaar Dua: So we are in touch with the market constantly. And we are alway s aligning our portfolio with the market. For example, like from basic slipper, pe

ople are mo ving to colored and printed slippers. So we are going to launch, whatever the gaps in the p ortfolio, we are at constant touch with the market and giving product accordingly.

Secondly, about our marketing strategy, definitely, the way wor ld is moving, we are also moving from offline to online advertising. So we are doing a lot of br anding in the digital space now.

Lavita: So I wanted to understand more on the specific categories. Is t here a trend that is where we have not looked at? Is there something, any space in any particular category that we have not looked at and we are approaching towards it? And in terms of marketing , more towards different message that we can, a unique way of marketing strategy apart f rom being there online, which everybody else is? That's all.

Gaurav Kumaar Dua: So when you talk about the product gaps or portfolio gaps, like definitely, marketing is shifting from sportswear to athleisure. So we are in touch with the mark et, be it people are going for chunky soles or different color, different design. So we keep o n doing this analysis and introduce products accordingly.

Ramesh Kumar Dua: Now sneakers at the moment.

Gaurav Kumaar Dua: Yes, the sneakers, like you know the sneaker trend is there. Th e street fashion is there. So we are in line with the market trend and launching products accord ingly.

Moderator: The next question is from the line of Devanshu Bansal from Emka y Global.

Devanshu Bansal: My question is, sir, in India, there is a lot of footwear parks that are being created in Tamil Nadu, right, where all large Taiwan-bas ed players are entering the sp ace. Haryana is a state also has similar advantage from a cost of labor perspective, the footwea r industry is quite well established in the state. Any thoughts around this incremental Make In Indi a opportunity that is emerging? So your comments on that please.

Ramesh Kumar Dua: So in Tamil Nadu, whatever manufacturers, they are coming there from Taiwan. They are making for multinationals. And mostly they are making and then exporting. So that is not going to affect our domestic market in that manner so far.

Devanshu Bansal: I wanted to check if we can als o sort of explore as in utilizin g our facilities in the lean period for such demand that may be there? Any thoughts around that?

Ramesh Kumar Dua: No, we have to see what is required by Indian market, Indian co nsumer and what kind of the masses consumer that we have. How we have to address their need s. So we are developing our article as per the needs of our customers, and we are aligning that, value for money or quality, whatever affordable quality we can provide. That's what we are focusing on.

Devanshu Bansal: Understood. And sir, there were some news reports, thought it w as not wide, but there were some news reports on this GST being reduced from 12% to 5%, rig ht, for footwear. So any thoughts around that? Any representations being a leader that y ou have made to the government because there has been a lot of disruptions, right, because of this unorganized lower price competition that is there, any thoughts on this thing?

Ramesh Kumar Dua: Yes, representation by the industry is being made regularly at regular intervals. Currently also, industry has taken up this matter with the government authoriti es.

Devanshu Bansal: Any expectation, sir, from that perspective...

Ramesh Kumar Dua: Government would never commit. These things, you can only make representation. And then we have to wait.

Moderator: The next question is from the li ne of Sameer Gupta from IIFL Se curities.

Sameer Gupta: Sir, just a follow-up. The separate portfolio for e-commerce th at you have mentioned, any timeline that you can share by when do you expect to launch thi s? And is it going to be margin dilutive because this is being done primarily to bypass the e-c ommerce channels, discounting nat

ure and its effect on GT?

Gaurav Kumaar Dua: So we have already bifurcated the online portfolio, e-commerce portfolio. Now second question is about the margin dilution. So we are not going to dilute our margins in that category.

Sameer Gupta: Then sir, how does it address the issue, which is basically the online players discounting and that affecting the channel? How does it affect that issue? I me an if we are not going to participate, then how is the separate portfolio going to help?

Gaurav Kumaar Dua: No, no. See participation was fo r the Big Billion Day and the A mazon Festival, where they were offering huge discounts. Other small activities or any other da ys, we will be there. Our only thing is to protect the interest of both channels. We have to s ee about the brand also, at what level we can give discount. And it should be in concurrence wit h us, how they decide the discounting policy.
It cannot be wherever they want, they can give what kind of dis count they can offer like. So we are focusing on more of BAS, branded as a seller, compared to g iving outright sale to them.
Sameer Gupta: Agreed. But when this separate p ortfolio, you will still be bra nd as a seller. You're not going to outright sell to the Flipkarts and Amazons.
Gaurav Kumaar Dua: In that scenario, it depends upon what will be the discounting philosophy of that brand. For example, Flipkart, we will not participate when the higher disc ounting are happening.
Sameer Gupta: And how does it work? So the discount is borne by the Flipkart and Amazon? Or it's kind of shared between you and...
Gaurav Kumaar Dua: See, on the special days like Big Billion Day or Amazon Festiva l, they give from their side without taking any approval from us or sitting together and dec iding the price. So they just, whatever they feel like, they give discounts. So we do not appr eciate like this kind of discounting practice.
Ramesh Kumar Dua: We have to protect our general trade also.
Sameer Gupta: But, sir, if the portfolio is bifurcated, it will protect, righ t? I mean I'm not able to understand this. So I understand the b rand image part.
Ramesh Kumar Dua: So we have to be mindful of both the things. General trade, onc e you make the articles separate, okay, that thing is there. But still, we have to be mindful of how we have to manage both the channels and about the brand image, what kind of discounting we want to allow. We have to balance out all these things and take a very cautious move.
Sameer Gupta: Got it, sir. Second question, and I heard this during the cours e of the call that BIS for smaller players, you mentioned that a leeway of 1 year has been given, but my understanding was that right now, there is no such deadline to comply for small and mi cro enterprises. Just wanted your clarification on this, sir.
Ramesh Kumar Dua: This is what only the minister declared. But how they will do i t, there is no writing on it.
Sameer Gupta: Got it. So officially, there is no such deadline. The Minister has said is what you're referring to.
Ramesh Kumar Dua: That was, he said our intention is that everybody has to comply , but for the time being, these small players are being exempted.
Moderator: As there are no further questions from the participants, I now hand the conference over to the management for closing comments. Over to you, sir.

Sushil Batra: So this is all from our side and thank you all for joining the call. Looking forward to joining you again. Thank you very much. Thank you, everyone.
Moderator: Thank you. On behalf of IIFL Securities Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines. Thank you.

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Call: May 2025

Classification: Public

May 16, 202 5

Sub: Conference C all Transcript
Dear Madam / Sir,

With reference to captioned subject, we hereby enclose herewith the transcript of Investors call regarding Q4 & FY 2 5 results which was hosted by the company on May 12, 2025 at 4:00 P.M (IST).

The same is for your information and record s please .

Thanking You,

Yours Sincerely,

For Relaxo Footwears Limited,

Ankit Jain
Company Secretary and Compliance Officer

Encl. as stated above
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Scrip Code – 530517 Symbol – RELAXO

“Relaxo Footwears Limited
Q4 & FY '25 Earnings Conference Call ”
May 12, 202 5

MANAGEMENT : MR. RAMESH
KUMAR DUA CHAIRMAN AND MANAGING
DIRECTOR
MR. GAURAV
KUMAAR DUA WHOLE TIME DIRECTOR
MR. SUSHIL BATRA EXECUTIVE DIRECTOR AND
CHIEF FINANCIAL OFFICER
MR. RITESH DUA EXECUTIVE VICE
PRESIDENT , FINANCE
MR. ANKIT JAIN COMPANY SECRETARY AND
COMPLIANCE OFFICER
MODERATOR : Ms. PRERNA
JHUNJHUNWALA ELARA SECURITIES INDIA
PRIVATE LIMITED

Moderator: Ladies and gentlemen, good day, and welcome to Relaxo Footwear s Q4 & FY '25 Results and Business Update Conference Call hosted by Elara Securities India Private Limited. As a reminder, all participant lines will be in the lesson -only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star, then zero on your touchtone phone. Please note that this conference is being recorded.
I now hand the conference over to Ms. Prerna Jhunjhunwala from Elara Securities India Private Limited. Thank you, and over to you, ma'am.
Prerna Jhunjhunwala: Thank you, Yousuf. Good afternoon, everyone. On behalf of Elara Securities, we welcome you all to Q4 and full year FY '25 Post Results Conference Call of Relaxo Footwears Limited. Today, we have with us the senior management of the company, including Mr. Ramesh Kumar Dua, Chairman and Man aging Director; Mr. Gaurav Kum aar Dua, Whole -Time Director; Mr. Sushil Batra, Executive Director and Chief Financial Officer; Mr. Ritesh Dua, Executive Vice President, Finance; and Mr. Ankit Jain, Compa ny Secretary and Compliance Officer.
I would now like to hand over the call to Mr. Sushil Batra for opening remarks. Thank you, and over to you, sir.
Sushil Batra: Thank you, Prerna. Good evening, everyone, and thank you for joining us on our Q4 and FY '25 earnings call. We appreciate your continued interest in our company and are pleased to walk you through our financial and operational performance. The earnings rel ease and investor presentation are already available on the stock exchanges and on our website for your reference.
Before we move into the question -and-answer session, I'd like to highlight some key performance metrics for Q4 and FY '25.
Revenue from operations stood at INR 695 crore s in Q4 FY '25 as compared to INR 747 crores in Q4 FY '24. The decline was primarily due to softer volume amid a challenging demand environment, particularly in the mid -range footwear segment. EBITDA for the quarter was at INR 112 crore s as compared to INR 120 crores in the corresponding quarter of the previous year. PAT was at INR 56 crores with a margin of 8.1% in Q4 FY '25.
Now moving to our FY '25 performance. In FY '25, we recorded a revenue of INR 2,790 crores, EBITDA was at INR 382 crores with margin at 13.7%. PAT for FY '25 stood at INR 170 crores with margin at 6.1% as compared to 6.9% in FY '24. The company has incurred a capex of INR 62 crores net of capital subsidy amounting INR 17 crores till 31st March '25. Our company continues to be net debt free and due to working capital efficiency, reported investment s of INR 357 crores as of 31st March '25.
We have implemented key initiatives including the Relaxo Parivaar app, Brand As Seller model and broadening our e -commerce product offering. We are confident that these initiatives will establish a solid foundation for the future. Although some uncertainty persists, we are confident

to see an improvement in our performance on top line with EBITDA margin enhancement led by operational efficiency.
Thank you. The floor is now open for questions.
Moderator: Thank you very much. We will now begin the question and answer session. First question is from the line of Videesha Sheth from Ambit Capital.
Videesha Sheth: Thank you for the opportunity. My first question was on the top line front. I wanted to understand the volume behavior a bit in depth. While the consumption environment is not favorable at the moment, but beyond these external factors, could you elaborate on if there are any structural challeng es that could be impacting volumes, either on the competition side or you even spoke about restructuring of the

distribution model. But can you elaborate that? That's the first question from my side.
Ramesh Kumar Dua: Regarding volume, our Hawa i segment was under pressure, because rural segment & middle income segment there has been, what we experienced, pressure on demand, maybe these rural people are really struggling more. So as volume gets affected for Hawai because there are more pairs but less ASP. We covered the sales from other segment, but volume of pressure , only because of the Hawa i segment last year versus this year 2% sale of the share was less in our Hawai segment, which is meant for rural segment of society.
Videesha Sheth: Just a follow -up to this, this is a segment where we've also taken similar price hikes, I mean, to the tune of 7 -8%, right? Just want you to comment on this.

Ramesh Kumar Dua: No, last year, there were no hikes at all. And it is a competitive environment also. So we have to be cautious. For profitability, we are working on our back -end operations. So you will notice that our margin structure remains intact throughout the year. Margin structure has been quite good. We have created good cash flow this year.
Our efficiency and our utilizing working capital has also improved. So , all these things, our cash generation has been quite satisfactory, and our back -end operations are getting more efficient. This year also, we are working on it, and our profitability will improve this year also further.
Videesha Sheth: And can you talk a bit about the restructuring of the distribution model, which you touched upon in the press release?
Ramesh Kumar Dua: Yes, the work is going on, and we are facing good resistance from a lot of distributors because they don't want to become really fully transparent. The DMS , what we are implementing we are facing resistance from a lot of people . And then from primary mode of selling, we are focusing on secondary mode. And all this kind of effort company is doing, things happening, happening slowly, but we are in the right direction. Our foot is down. We are not giving too much credit to bad distributors. Some distributors are closed also.
So we are improving the quality of our distributor, quality of credit also given to the distributor. So sale for the year is somewhat affected. But in the years to come, things will be on much better footing because our focus is on improving sale at the di stribution, not at retailer level. And that

is what is going to really change our complexion of the company itself. It has been a wholesale - driven company, but now it has to be a distribution -led company.
We are facing resistance but we'll overcome. Things are happening and it will happen. By H2, you will see the difference in it. We are setting right our e -commerce model also other things also. But because 75% is our distribution. So our focus remains there much more.
Moderator: Next question is from the line of Shraddha Kapadia from SMIFS.
Shraddha Kapadia: Yes. So sir, I just wanted to understand that our gross margin has been impacted, if you could mention the specific reason for the same? But our EBITDA margin has remained flat for the quarter. So what exact initiatives which we have taken so as to achieve this? And also, if you could provide a bit of guidance for the future. That would be very helpful.
Sushil Batra: Gross margin, if you see last year versus this year, gross means, I t hink definition of this should be aligned. It's revenue minus cost of goods manufactured. So it has improved 0.7% roughly. It's majorly due to some material advantage and a little bit price increase, which we took long back in January '24, not in this financial year. So there is a little improvement due to product mix and material advantage.
Ramesh Kumar Dua: EBITDA remains constant, same last year versus this year. There is not hardly any change. The margin we have been able to protect actually despite loss in sale.
Shraddha Kapadia: Sir, just to confirm, so the gross profit margin for your Q4 for this quarter is 54.9% previously it was 60.3% so there is a reduction of approximately 500 basis points.
Sushil Batra: You're talking about Q4 . So Q4, it has come down reason, there is a decrease in inventory. When there is a decrease in inventory, the conversion cost is also there in the inventory part. So due to that, it looks much higher tha n cost of goods, but that is not the real case because once inventory decreases, it adversely impacts our margins. It's an accounting entry not much more than that.
Shraddha Kapadia: Okay, sir. But if take a look at the other expenses, then that has reduced very significantly. So do we see that we have reduced advertising spend or if you could help with the mix of the other expenses that would be very great?
Sushil Batra: Other expenses, yes, definitely, there is a reduction in advertisement as compared to last year, because production levels were also low , due to low sales that is also there because less production and less overhead, other expenses. These are the two major reasons.
Shraddha Kapadia: Can I ask one more question?
Sushil Batra : Yes, yes, yes, you can ask.
Shraddha Kapadia: Okay. So if you could just give a percentage, if you have it handy for the ad spend for the full FY?
Ramesh Kumar Dua: Ad spend?

Shraddha Kapadia: Yes, sir.
Ramesh Kumar Dua: 3 % of the revenue.
Shraddha Kapadia: The Disney and Marvel collection contribution to the overall sales and how it is perceived by the consumer and what is the response on the consumers? If you could highlight that?

Gaurav Kuma ar Dua: We just started with Disney and Marvel and , the figure is quite low. So it's too early to comment anything upon it. Also, it is only available at our retail outlets.
Moderator: Next question is from the line of Prerna Jhunjhunwala from Elara Securities.
Prerna Jhunjhunwala: Just wanted to understand how has been the sales of closed footwear for the company? And how has it grown against last year?
Ramesh Kumar Dua: Closed is also 20% and 80% is our open footwear. Last year also it was same.
Prerna Jhunjhunwala: Okay. So , we had increased our capacities also in terms of closed footwear. So how do we see that segment moving going ahead?
Ramesh Kumar Dua: Still, we are setting our e -commerce model because closed footwear is now moving a lot of share to e-commerce model. So, this year, we are focused on it. But still, there remains some challenge in that e -commerce because BAS is not proven to be at the moment profitable and efficient. Now we have created a special line for e -commerce, which will have some good influence this year but number of player s overall, if you see , the ratio remains same.
Prerna Jhunjhunwala: Okay. And what will be the e -commerce share for us today as compared to in the past?
Gaurav Kumaar Dua: See, we are continuing the same percentage. Last year it was 10%, and this year also, 10% of our revenue comes from ecommerce.
Prerna Jhunjhunwala: Okay. And what will be our capacity utilization today?
Gaurav Kumaar Dua : 55% is our capacity utilization.
Prerna Jhunjhunwala: Understood. So, sir, we had also started with DMS and we were reaching approximately 1 lakh retailers in that initiative. Where are we now? And how do we take the learnings from there going forward?
Gaurav Kumaar Dua: Yes, yes. You're quite right. We have implemented DMS across India to all our distributors. One more thing what we have done is we have launched RPA program, which is called Relaxo Parivaar App , so in that, we have tied up 70,000 outlets. So ,75,000 have downloaded the app and 60,000 are buying regularly. So, it's more advanced than the DMS. So, we are getting the data, how the consumptions

are happening across India. So, this is a new thing which we have started last year. And in future, we'll have our data to understand what is the consumer requirement at different part s of the country.

Prerna Jhunjhunwala: So how are we using this Relaxo Parivaar app to improve our product mix or availability quotient of the stores? I mean I'm just trying to understand how are we using the data that we are collecting now?
Gaurav Kumaar Dua: See, it is just the first year. First year is to collect the data. Second year onwards, then we'll do up-selling. The scheme, it is first for the retailers to download and start using it. Once they're into the habit, we'll understand which are the outlets who a re giving more sales. So, we can target them well. We can take more shelf space, and we can focus there more.
Prerna Jhunjhunwala: Okay. And is there any incentive?
Gaurav Kumaar Dua: Yes. It has an incentive program. We have given starting from 2% to 7%. So depend s upon the buying of the retailers.
Prerna Jhunjhunwala: Okay. Sir, I'll come back to the question queue. I have a few more questions, and we'll have more on this.
Moderator: Next question is from the line of Devanshu Bansal from Emkay Global.
Devanshu Bansal: Sir, we sort of interacted with the channel, and there were two feedback that we picked in our interactions. One is that during the course of FY '25, there were multiple changes in terms of channel commissions and that too in a very short period of time. So that sort of brought a lot of uncertainty in terms of distrib utors as and when to sort of purchase the stock and when not. Second feedback, was that, obviously, it's a very good initiative in terms of the retail app. But there is difficulty in scanning of each and every product to get the sales target commission. And there is feedback that retailers do not scan and the burden sort of only increases with distributors. So I just wanted to check, as you also m entioned that there is some resistance in terms of adoption of these good policies, but regular change of commissions obviously typically do not gel well with the trade. How are we trying to stabilize such commission rates going ahead.
Gaurav Kumaar Dua: So, talking about commission, we have a fixed commission for our distributors. It is only the scheme, which is the add -on, which keeps on changing seeing the season. For example, if shoe season is there, the more scheme is given on the shoe. In the summer, mo re scheme is given on the Hawai category or the open category. So this is nothing new what happened this year. This is every year phenomenon. So schemes go up and down slightly, but commission is fixed.
The second thing you're talking about is RPA. It's again, I'm telling it's the first year. It's th e implementation year. So like 75,000 retailers who have downloaded, 60,000 are regularly scanning the products. Yes, there is some technical issue which we are working upon it. But sooner or later, the habit will be there with the retailer, and they will get the benefit of this.

Devanshu Bansal: Got it. Sir, on feedback, obviously, I may not be understanding it properly, but the feedback that we were sort of getting is that MRP minus 35 is there, sometimes it is minus 37, sometimes it is 39. So is this largely because of the incentives or there were some change in the commissions? I wanted to just pick up. So these were the things that we were getting in our feedback.

Gaurav Kumaar Dua: So we have just launched RPA. So , we have started giving directly to the retailer. So yes, there was some resistance from the trade that you are reducing our margin a little bit and giving directly to the retailer. So that was a little, you can say, not taken well with the distributor in some months, which we have corrected

later on.
Devanshu Bansal: So now is it like giving directly to the retailer? Or is it via distributors?
Gaurav Kumaar Dua: We are doing both, distributor as well as retailer. So RPA is only for retailer and distributor commission is separate with schemes.
Devanshu Bansal: Okay. But the tensions and the resistance is more or less largely done with?
Gaurav Kumaar Dua: It's already done. Yes, we have done in quarter 4, yes.
Devanshu Bansal: Okay. And sir, now secondly, on the demand front. So obviously, there is some benefits expected out of the tax relief announced by the government, right? So obviously, April was the first month, but any initial signs that you are picking up in terms of how your trade exhibitions went for the upcoming season. So anything that you can sort of indicate, which is giving you some confidence on the growth recovery front?
Ramesh Kumar Dua: Presently, actually, things are settling down because our retail app got accepted. Our trade has been now more secondary, we are going secondary focus a little bit. This Indo -Pak situation has made the thing little jittery. We have to wait and see how the things settle down. Otherwise, we are going on our fundamental strong distribution network settling down, because of this retail, recently what we have experienced in the last fortnight.
Retailers are there on all north side because there were a lot of blackout which they're going to see in the market. That must have affected some sentiments on demand, but once it stabilize s, things will be all right.
Moderator: Next question is from the line of Rakhshit Desai from IIFL.
Rakhshit Desai: Yes. My first question was on the U.K. trade deal. It has opened by export opportunities across many sectors, including footwear. So with an extensive manufacturing footprint, are you exploring this as a revenue stream?
Ritesh Dua: Ritesh Dua this side. We're already in touch with a few leads in the U.K. but we need to see how we can explore this opportunity seeing own branded footwear sales or the private table. So we are open with both the ideas, and we'll see how the opportunity come s, and we'll surely tap them and capitalize that.
Rakhshit Desai: Understand. And my second question was on the outlook on EBITDA margin. With crude prices correcting, do you see margins inching up even as sales growth remains tepid? Or do you see competitive intensity heating up something that happened last time around?
Ramesh Kumar Dua: No, I think it will be better because we are working on back -end operation, bringing efficiency, things should be better than what we saw last year , in spite of competition intensity.

Moderator: Next question is from the line of Nipun Sharma from VLS Finance.
Nipun Sharma: For your financial year '25, your revenues were dropped by 4%. So I just wanted to know the reason behind this and your future guidance on the revenues as well as the volume growth?
Ramesh Kumar Dua: One thing , the consumer sentiments were muted last whole year. It has been actually happening for the last 1 or 2 years. And second thing, we are focusing on our general trade transformation, which will generally from primary -led focus, we are putting focus to secondary led and focusing on retail growth. To some extent, our distributor partners, they have been resisting all this transparency, implementation of DMS and our retailer's app, all these things. So that resistance is there that has affected our sale also.
And then quality of the distributor, a lot of distributors where there were a lot of credit against them. We didn't want to give more credit. We wanted discipline all with our distributors. So all these things, our quality of distributor has gone up, quality of debtors have gone up, and we have been able to bring down our inventory levels. All this efficiency has bought goo d. So whenever

you bring change of anything, there is always a pain, but it is only for the short term. But for the

long term, it is going to be a real good gain for the company. That's it.
Nipun Sharma: Okay. And what is our future guidance for the company? Can you please share your future guidance?
Ramesh Kumar Dua: The way market is, I don't think the sale will be too high or jump because of general conditions are not good. But as far as , we are focusing on improving the bottom line of the company. We are working on it. But our top line also in H2 what I think keeping in view all transformation, which we are bringing. These things are settling down. Our top line will also grow, and our bottom line will also grow.
Moderator: Next follow -up question is from the line of Shraddha Kapadia from SMIFS .
Shraddha Kapadia: So, sir, if you could just give the guidance for the capex for the next year?
Ramesh Kumar Dua: Around INR 100 crores.
Shraddha Kapadia: Okay. And not in terms of only revenue, but if we take a look that our ASP has been increasing continuously. So do we have any for the next 2 or 3 years?
Ramesh Kum ar Dua: There are 2 things. The share of premium article and share of shoe business that is going up and our lower price segment like Hawai that has gone down. So our average sale price has gone up.
And in future also with the launch of more premium article s, this will also improve further.
Shraddha Kapadia: Sure sir. Just one last question from my side. So , if you could highlight something on the BIS and how is this currently having an impact especially for small players and how it will benefit to us?
Ramesh Kumar Dua: No, now as far as we are concerned, we have implemented this QC or quality control orders. And things are settled down in our organization. As for others whom government has exempted that is government's outlook. I don't know , up to now, micro and small they are exempted. They

are going to be remain or they are going to implement government has to decide. As far as we are concerned, our job is over. We are complying with it, and we have nothing to now fear or anything.
Moderator: Next follow -up question is from the line of Prerna Jhunjhunwala from Elara Securities.
Prerna Jhunjhunwala: I just wanted to understand, has there been any impact of the ongoing situation in the country on the sales? Like how should we take it for this quarter? I mean, what kind of impact should we assess?
Gaurav Kumaar Dua: So recently, like what we are hearing from the market is some of the markets in North, they were keeping the retail outlets off. But now the things have improved. Now the things have , from I think, today onwards, we are seeing that all the outlets are getting open. So , I think it is a matter of some time, things will come back to normal, and we will have a normal quarter.
Prerna Jhunjhunwala: Okay. And do we look forward to reduce any prices given that raw material prices are coming down?
Gaurav Kumaar Dua: As of now, we have not seen any major shift in raw material prices. So as soon as there is any change, we'll...
Ramesh Kumar Dua: No, no, there is no change.
Gaurav Kumaar Dua: There's no change as of now in raw material prices.
Prerna Jhunjhunwala: Okay. Because crude oil prices were coming down. So we thought that there would be a r ub-off effect on our key raw materials.
Gaurav Kumaar Dua : Till now, there's no change in raw material for us.
Prerna Jhunjhunwala: Okay. And sir, in e -commerce, now we understand that there is a lot of competition in the mid - segment , mid-price segment and all. So how are we thinking about product launches, like how many SKUs do we think are we increasing? And how are we connecting with the younger generation going forward? Any thoughts on the same?
Gaurav Kumaar Dua: So first of all, we have segregated our portfolio. So

we had our general trade portfolio. Now we have a specific e -com portfolio. So there was a price war between these 2 channels, but now we have addressed that. Secondly, we have now started selling throu gh BAS, Business As Seller. Earlier, we were given directly to the Flipkart and the Amazon. Now we are not going through them because they were also under cutting the prices. Regarding portfolio, we have really designed our portfolio according to consumer need for e-commerce.
Prerna Jhunjhunwala: Any example that you could help us understand how consumers are liking or accepting whatever you are selling now. I mean any initial feedback, anything that you can share?
Gaurav Kumaar Dua: It's just like we have to really understand the consumer and design product accordingly. So now the fashion is moving towards more sneakers. So , we have really developed our portfolio line to address that category. So , we're getting good response.

Prerna Jhunjhunwala: Okay. Okay. And what about the opening price point because there is a lot of competition, as you mentioned earlier. So , our opening price points were around INR 700 to INR 800. Do we face any major competition that side? Or are we gaining some market share over there? How are we growing our market share in the closed footwear category? And how are we improving there in the opening price point segment?
Gaurav Kumaar Dua: So major sales is from INR 1,000 to INR 2,000 in e -commerce platform. And yes, you are right, there are a lot of local players who have entered in this price point. But we are following our own ways of selling. So we have designed our portfolio accordingly. Gaining the market share , it is very difficult to get the data of what is the total size of the market, and which consumer is buying from what competitors. So it's very difficult to share the data .
Prerna Jhunjhunwala: Okay. And are we confident of maintaining our margins or improving our margins in FY '26?
Gaurav Kumaar Dua : Yes, yes. We are very optimistic that we will improve our margin here.
Prerna Jhunjhunwala: So around 100 bps is something that should we look forward to?
Sushil Batra : Yes, yes, it's workable, definitely, it will be a little high , but that is surely workable, 1% plus.
Prerna Jhunjhunwala: And this will come from improved mix? Or what will be the reason for margin improvement in your opinion?
Sushil Batra: We are working on both sides. Definitely, one on the high -value item product mix. And majorly, we are working on the cost side. So , we are driving a lot of efficiencies in the system, back end and at plant level, we are working on that. So that all will bring at least good margin improvement in the coming times.
Prerna Jhunjhunwala: And any further improvement possible in the working capital from your end? Anything possible over there in terms of inventory reduction or debtor reduction, something?
Sushil Batra: Yes. That opportunity is there, definitely, but not in a big way because the volume will increase. That's what we are expecting. So overall, from the inventory holding or working capital overall days, it will come down. It will come down.
Prerna Jhunjhunwala: And anything on the retail strategy, how many EBOs you would like to open this year? And where do we see you in various brands, if at all, this Sparx store or anything that you do planning on the retail side? We would like to get some clarity over there?
Ramesh Kumar Dua: This year, we are adding 50 more retail outlets, and we are also modernizing retail outlets and a few Sparx exclusive outlets also.
Prerna Jhunjhunwala: Okay. And, sir, you also started with the quick commerce deliveries, right. So any color on that, where the revenue share will be for that segment? And how is it doing?
Gaurav Kumaar Dua: We are really tied up with all the quick commerce platforms. So it's too early to comment upon that, but we are seeing good sales contribution from that channel. But it's too early to say anything on this.

Prerna Jhunjhunwala: Okay. Maybe we can check with this 6 months later.
Gaurav Kumaar Dua: Yes, yes .
Moderator: Next follow -up question is from the line of Devanshu Bansal from Emkay Global.
Devanshu Bansal: Sir, we sort of indicated that we may sort of explore the export side of the business, right? So I just wanted to check one, U.K., obviously, maybe the product is more on a premium side, while in India, currently, we are at the entry level. So one, I wante d to understand that bit. And second, how big can this opportunity become, right? So if any initial outlook that you can provide us from that perspective?
Ritesh Dua: In the export side, we have been exporting largely to African continent and the Far East, Southeast Asia. These have been our major markets, and some part of Central America as well. So, seeing the product profile we are having, we have been putting the same product line towards these markets, seeing the market potential, and the price points that we are working in. So seeing the latest development of the deals that are happening, yes, we are open to this. Just a few questions back, I replied that. We are open for both the options like our own branded or the private label.
Devanshu Bansal: But do you think there is a market for other products or we have to change the product strategy for U.K.?
Ritesh Dua: We have market for all kind of products in U.K. We have seen that the traction is for EVA footwear, we have a good opportunity. And then we have even in flip flops, we have a good opportunity. Besides that, we are exploring opportunity for Sparx, like sport s shoe , but whatever opportunity we will have, we will surely grab it.
Devanshu Bansal: Understood. And is there a component of capex towards this opportunity within that INR 100 crores that we have sort of talked about. So are we specifically dedicating some of that towards

this opportunity? Or how should we see that?
Ritesh Dua: See, we already have good capacities, as you know, that we have a surplus capacity with us. So we'll be able to utilize that capacity well. And in fact, we will get advantage of utilizing that capacity in a better way and we'll get a benefit on fixed cost.
Devanshu Bansal: So any indications that you can provide, sir, what is the thought process behind investing another INR 100 crores where in one segment that is specifically going since our utilizations are relatively lower as of now?
Ramesh Kumaar Dua: One thing is certain, new article s have to be introduced. So cost of new moulds . That is around INR 30 crores every year, it has to go there. And then opening of new 50 retail outlets, their capital will go. Then we are also making various capital investment in energy saving devices, like putting solar energy and then fuel -efficient boilers where we have saved the costs which will help us in the long run. So these are the investments. And then some of the expenditure is in project department, some office expenditure.

Devanshu Bansal: And last question, sir. From a distribution perspective, what is our target in terms of addition of distributors and retail outlets for the current year?
Gaurav Kumaar Dua: See our target, last time, we mentioned that we have reached 70,000 outlets. So we are going to really increase it by 5% to 10 % in that front, because around 50,000 to 60,000 outlets are buying regularly from us. So we have to first take it to 70 and then increase our base.
Devanshu Bansal: Okay. So it's more mining of existing outlets? Can we term that way rather than addition of...
Gaurav Kumaar Dua: Correct.
Ramesh Kumar Dua : Also , no addition of new distributors, around

100, we are targeting, adding new distributors in the distribution networks.
Devanshu Bansal: So, if you're not adding outlet, so it will be like a division of these 50,000, 60,000 into more distributors for better servicing of those outlets. Is this the way to look at it?
Gaurav Kum aar Dua: Yes, yes, because we have 4 brands with us. Some brands are weak and some are strong. So we have equal representation of all our brands.
Devanshu Bansal: Okay. Last follow -up on this. So , are we also targeting brand -specific distributor or that's not the case as of now?
Gaurav Kumaar Dua: No, not yet , we will see how things will go.
Moderator: Next question is from the line of Siddhant Gupta from RV Investments.
Siddhant Gupta: Just a small question. When can we expect some improvements in our sales volume? And what could be drivers behind it?
Ramesh Kumar Dua: So we are setting our distribution model and we are focusing on that. That improvement will help when we are focusing on secondary sales and then opening of new retail shops around 50, we are doing level, focus on our modern trade. All these things will he lp. You can see uptick H2 onwards because still distribution is 75% of our contribution in sales. Here, it's taking time to revamp all this distribution setup, which is from primary to secondary.
So H2 onwards, you will see the uptick although we may get earlier also, but H2 onwards, a lot of things will settle do wn , I think, will improve.
Moderator: Next follow -up question is from the line of Prerna Jhunjhunwala from Elara Securities.
Prerna Jhunjhunwala: Sir, just one last question. I'm just trying to understand that because you're connect to Relaxo Parivaar app, can we distinguish how would be secondary sales through this app initiative and how much can be primary sales through distributor -led model. Just trying to understand the effectiveness of this initiative taken.
Gaurav Kumaar Dua: So, it's been just 1 year we have implemented this app. And we are very happy to see that 50% of our sales are being captured there. So we can see the retailers whoever are scanning and they

are selling the product. So at least 50% is captured. So whatever we're selling to distributor, so 50% of that is being captured in this retail RPA app, Relaxo Parivaar App . This will improve month -on-month.
Prerna Jhunjhunwala: Okay. Okay. And what changes you are trying to do in the distributors system? Because I'm just trying to understand that how things can improve radically in terms of distributor acceptance or product acceptance? Or how are we trying to change the distribution system to improve our sales?
Gaurav Kumaar Dua: So first thing is we have identified the distributor who are not g rowing, or the distributors who are giving a lot of discounts or doing the value -addition . So we are closing them down. Secondly,

we are going to appoint those number of distributors, like our MD has said that 100 more distributors will be added. Secondly, RPA plus DMS implementation. So , a lot of things are going to happen here.
The mindset shift from primary sales to secondary sales is going to happen, which is taking a little time. So , a lot of from wholesale to retail mindset takes time. So a lot of small actions we are taking to improve our distributor sales growth.
Prerna Jhunjhunwala: Just trying to understand how are you monitoring the growth from them largely because sales growth will be a function of the volume and the mix improvement price hike is in your hand, but volume and mix improvement, anything that you are targeting towards mix improvement because we are at closed footwear at 20% for a long time now. So how do we really think...
Ramesh Kumar Dua: The company taking control of sales by deploying sale officers, the sale officer is going to retailer. That is going to help us, what we want t

o sell, where we want to sell, how much we want to sell. Our control will be more because our people are in the market selling to the retailer. That is the way forward . We have to take the responsibility by relying on sales team and less on the distributor.
Gaurav Kumaar Dua: And plus, we are going to increase our ASP as well, what launches we are doing, our NPDs is focused upon that to improve our product mix as well. So multiple things are happening to.
Prerna Jhunjhunwala: Okay. Okay. And what is the price range of sneakers that we have launched?
Gaurav Kumaar Dua: These are all above INR1, 200 to INR 2,000 -plus
Prerna Jhunjhunwala: INR1,200 -plus. Okay, okay. And it ends at INR 2,000 or it goes above INR3,000 to INR4,000.
Gaurav Kumaar Dua : INR 2,500 only.
Prerna Jhunjhunwala: INR2,500. Okay. understood.
Moderator: Next question is from the line of Rajiv B from Nuvama.
Rajiv B : Sir, with regards to this compliant distributors, which you mentioned, so what is your revenue per distributor of this lot currently on an average?

Gaurav Kumaar Dua: We can say we have more than 500 distributors. On average, we are doing more than INR 4 crores per distributor.
Rajiv B : Of the compliant lot, who have already transitioned to your...
Gaurav Kumaar Dua: Contributing to sales. Total number of distributors with the average sale of INR 4 crores.
Rajiv B : 650 was the number which is there in the presentation, if I'm not wrong.
Gaurav Kumaar Dua: Yes. which I'm talking about is the active month -on-month.
Rajiv B : Okay. No, I was asking there is pushback which is coming from a certain lot of distributors, right? And there are distributors who have already embarked on your journey and okay with their RPA app as well. The contribution of those distributors is larger i n the sense per distributor revenue than average?
Gaurav Kumaar Dua: The exact number, we have to see, what we have noticed is around 10% of our distributors, we are facing more challenges in terms of changing their mindset or who were not growing or cutting a lot of discount in the market. So these are the corrections we have identified and we are goi ng to replace them with the new distributors.
Rajiv B : Sure. Is it safe to assume that the average new distributor would be smaller in quantum in terms of revenue per distributor? Is the same the incremental which you're adding in future?
Gaurav Kumaar Dua: It depends upon the market, Newer market, they will be slower. But in the existing market, there will be a bigger distributor.
Rajiv B : Sure. And in Sparx, what is the, let's say, sandals versus shoes mix currently?
Ramesh Kumar Dua: 50% is shoes, 50% is sandals.
Rajiv B : Yes. So because if I remember a few years back, I think '22. '21, your shoes used to be 40%. But the ASP has not moved up despite, let's say, the contribution of shoes portion has gone higher. Any reason why?
Ramesh Kumar Dua: In this brand, there are 3 things. One sandal, second is shoe. And third is our fabricated slippers . So that is also a share because that has also grown this year, which is in the price range of INR 400 or something . So that is why you are noticing this thing average out when it happens.
Rajiv B : Sure. And what is the reach of Sparx currently in terms of touch points?
Gaurav Kumaar Dua: So we have more than 25,000 outlets Sparx is present.
Rajiv B : Okay. And there was a question on gross margin. So , I could not understand it clearly. So there is a drop in gross margin. And when I see the inventory has decreased for the second half close to, I think, INR 100-odd crores in the second half. So the channel inventory in general is healthy or you have pushed something to the channel by rolling out higher discounts and that will basically affect, let's say, future sales in the next couple of quarters at least?

Ramesh Kumar Dua: No, no, we are watching our secondary sales, which is more important. We can push primary, but rather we are more concerned. We just don't want to push primary sale. You have to watch the quality of the sales that is through secondary.
Sushil Batra: But in March, there was a pull definitely because people have to achieve their targets. So that's why this inventory has come down in the month of March. So due to that, margin seems lower side, but that is not the actual case. Overall, margins are intact and a little better at full level. But in March because the inventory was reduced in a big way, so that's why, it's looking different in this quarter 4.
Moderator: Next question is from the line of Ashish Shah from Business Match.
Ashish Shah: I have two questions, most likely long term in nature. So if one was to take a 3 - to 4-year outlook ahead. Do you see meaningful volume growth ahead, if one was to look at it slightly long term rather than the next few quarters?
Ramesh Kumar Dua: We are doing premiumi zation . In that case, volume may not be there. But overall growth will happen. You have to see quality of sales, whether we focus more on premium or more on mass article. Since mass articles are under pressure because of the lower segment of the society are going through more pressure and premium articles are getting more accepted, and we'll be focusing there. So value sale maybe more proportion to the volume sale as you will see.
Ashish Shah: Okay. Sure. And sir, the second question is on ROCE. Even if growth was to meaningfully improve over the next 2, 3 years, do you see ROCE also moving meaningfully higher? And if yes, then what are some of the levers that you have for you to improve ROCE, y our ROCE will remain in this band even if earnings was to improve?
Sushil Batra: So, ROCE will definitely improve when we are working on the cost side. So overall, EBIT will improve because EBITDA will improve and everything is going to be improved. So we are expecting that it will improve by at least 2% to 3% in coming time.
Moderator: As there are no further questions from the participants, I would now like to hand the conference over to the management for the closing comments.
Sushil Batra : So, this is all from our side, and we thank you all for joining the call. Looking forward to joining you again. Thank you very much.
Moderator: Thank you, sir. On behalf of Elara Securities India Private Limited, that concludes this conference. Thank you all for joining us, and you may now disconnect your lines.

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Call: Nov 2025

November 19, 2025
Subject: Transcript of Investors' Conference Call of Relaxo Footwears Limited
- Unaudited Financial Results for the quarter and half year ended September 30, 2025
D
ear Madam/ Sir,
I
n furtherance to our intimation dated November 6, 2025 and pursuant to Regulation 30 of the
SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, we hereby enclose
the transcript of Investors ' Conference Call regarding Q2 & H1 FY 26 Results, which was hosted
by the Company on November 14, 2025 at 4:00 P.M (IST).
T
he same is for your information and record please.
T
hanking You,
For
Relaxo Footwears Limited,
An
kit Jain
Company Secretary & Compliance Officer
E
ncl. as above BSE Limited
Corporate Relationship Department
Phiroze Jeejeebhoy Towers,
Dalal Street,
Mumbai – 400 001 National Stock Exchange of India Limited,
Listing Department,
Exchange Plaza, C –1, Block G,
Bandra Kurla Complex,
Bandra (E), Mumbai – 400 051
Scrip Code – 530517 Symbol – RELAXO
"Relaxo Footwears Limited
Q2 & H1 FY '26 Earnings Conference Call "
November 14, 202 5
MANAGEMENT : MR. RAMESH KUMAR DUA CHAIRMAN AND MANAGING
DIRECTOR
MR. GAURAV KUMAAR DUA WHOLE TIME DIRECTOR
MR. PRINCE JAIN CHIEF FINANCIAL OFFICER
MR. RITESH DUA EXECUTIVE VICE PRESIDENT ,
FINANCE
MR. ANKIT JAIN COMPANY SECRETARY AND
COMPLIANCE OFFICER
MODERATOR : MR. SAMEER GUPTA IIFL SECURITIES LIMITED

Moderator: Ladies and gentlemen, good day, and welcome to the Relaxo Footwears Limited Q2 FY '26 Earnings Conference Call , hosted by IIFL Capital. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touch-tone phone.
I now hand the conference over to Mr. Sameer Gupta from IIFL Capital. Thank you, and over to you, sir.
Sameer Gupta: Thanks, Sudha. Good evening , everyone. At IIFL Capital, it is our pleasure to host the management of Relaxo Footwears. From the management, we have Mr. Ramesh Kumar Dua, Chairman and MD; Mr. Gaurav Kumaa r Dua, Whole -Time Director; Mr. Prince Jain, CFO; Mr. Ritesh Dua, Executive VP, Finance; and Mr. Ankit Jain, Company Secretary and Compliance Officer.
Without taking more time, let me hand it over to Mr. Prince Jain for their opening remarks.
Prince Jain: Thank you, Sameer. Good evening, everyone, and thank you for joining us on our Q2 and H1 FY '26 earnings call. We appreciate your continued interest in our company and are pleased to walk you through our operational and financial performance for the quarter and half year ended 30th September 2025. The earnings release and investor presentations are already available on the stock exchange and on our website for your reference.
Before we move into Q&A session, I would like to highlight some key performance metrics for Q2 and H1 FY '26. Revenue from operations stood at INR 629 crores in Q2 FY '26 as against

INR679 crores in Q2 FY '25. The moderation was primarily due to demand softness in the mass market segment and delayed purchases ahead of implementation of GST 2.0.

However, we are now witnessing a gradual revival in demand following the rollout of new GST framework. EBITDA for the quarter stood at INR 81 crores. EBITDA margin remained stable at 12.9%, supported by continued operational efficiencies and prudent cost ma nagement.

Profit after tax for Q2 FY '26 stood at INR 36 crores as compared to INR37 crores in Q2 FY '25. PAT margins improved by 34 basis points year -on-year to 5.8%, reflecting disciplined cost control and stable pricing despite muted top line growth.

During the quarter, we witnessed recovery across channels with general trade continuing to contribute higher share to overall sales. The rollout of GST 2.0, which reduced tax rate on footwear priced below INR2,500 to 5% has strengthened our competitiveness versus the unorganized sector and improved affordability in the mass and mid- market segments.

Our continued focus on cost control, operational efficiency and back -end optimization, helped maintain healthy profitability levels despite a challenging demand environment.

For the first half of FY '26, revenue from operations stood at INR 1,283 crores as compared to INR1,428 crores in H1 FY '25.

EBITDA for H1 FY '26 stood at INR 181 crores versus INR 187 crores in H1 FY '25. However, EBITDA margin expanded by 101 basis points to 14.1%, reflecting the success of our cost rationalization measures and efficiency initiatives. Profit after tax for H1 FY '26 stood at INR 85 crores compared to INR 81 crores in H1 FY '25, an increase of 4.9% year -on-year with PAT margin improving by 95 basis points to 6.6%.

Looking ahead, we remain optimistic about the recovery trajectory and expect momentum to strengthen in the coming quarters, supported by festival demand, GST benefits and our ongoing sales transformation initiatives.

Our strategic focus remains on driving volume -led growth, expanding market share and ensuring sustainable profitable performance supported by our portfolio of affordable and high- quality products. Tha

nk you. The floor is now open for questions.

Moderator: The first question is from the line of Devanshu Bansal from Emkay Global.

Devanshu Bansal: Sir, you stressed on tailwinds from GST reduction. So just a few things I wanted to understand. One is currently, what is the anticipation for growth pickup because this is a very big step and the industry was sort of vouching the government for reduction. So that is one.

And secondly, currently, the high-price inventory is in the channel. So what time period do you foresee it will take to sort of flush out the entir e high -price inventory, so that we see a round of primary bookings? Thirdly, sir, the industry checks also suggest that for certain categories, the industry has entered into an inverted duty structure. So do you foresee any sort of margin issues because of that? So these are the 3 questions that I wanted to understand?

Gaurav Kumaar Dua: So I'll answer your first 2 questions and third will be answered by our CFO. So your first question was regarding the GST. It is well appreciated by the footwear industry that GST has a reduction of price from 12% to 5%. This will definitely help us to grow as we will be more competitive in the market, and we will be able to face the unorganized competition.

Secondly, regarding the stocks, we ourselves carry roughly around 30 to 35 days inventory. And the channel, which is distributor s, also carry around 45 days inventory. So the real effect we'll start seeing from December end and January onwards. So right now, distributors are more focusing on liquidating the old MRP, whic h is a little higher and bring a little correction in their inventory.

Prince Jain: Inverted duty structure, yes, with the GST 2.0 implementation, our outward duty is now 5% and most of our imports remain at 18%. So yes, it'll fall into inverted duty structure. We have done broad level estimation, which suggests that while the refund formula from which GST allows will take care of bulk part of our inverted duty structure, but some part of the duty, which will not be refunded would

still remain. So we are w aiting and watching another 2 to 3 months how this pans out and then planning to take actions. As of now, we don't expect GST 2.0 implementation to have impact on our margins.

Devanshu Bansal: Just small follow -ups, Gaurav and Prince. So obviously, Q3 may be impacted because of this.

But starting Q4 and maybe for FY '27, what is a reasonable growth expectation from your business, right? So we have seen very muted trends over the last few quarters, years. So what is a reasonable expectation of growth from Re laxo?

And to Prince, have you sort of taken this impact, the impact that is remaining after the refund formula through lower price cuts. So have you sort of baked in this impact through lower transfer of pricing cuts so that our margins remain intact. So if you could just confirm on that?

Prince Jain: Sure, sure. Let me take the second question first, and then I will let MD answer the first one.

Regarding the price corrections, we have taken full price corrections to the extent of GST cut. We
have not retained anything right now. So that's why there is no impact, neither positive or negative as of now on our margins.
But as I mentioned, how inverted duty structure pans out, we'll have to
wait for next 2 to 3 months, very early to say, but we feel it is mana geable.
Devanshu Bansal: And on the growth expectations?
Ramesh Kumar Dua: First of all, in the first quarter, we were minus 12%. Second quarter, we are minus 8%. And in the third quarter, we are expecting this either will be at the same level or minus 3- 4% that I'm expecting.
And in the fourth quarter, that is January to March, I think we will have some growth, but that we cannot say we have to wait and watch the condition. But still consumer sentiment still are muted.
Because that is

why government is doing so many things to push the economy. So we have to wait
and see. But one thing is sure that now since we have become very competitive, the way industry
performs, we will also perform in a similar way or maybe better w ay. So let us see how the things
shape up. Next year is definitely going to be a much better growth.
Moderator: The next question is from the line of Shraddha from SMIFS.
Shraddha: Yes. So I just wanted to understand that the other income for this quarter has gone up considerably.
So is there any one -off item in that?
Prince Jain: No, actually, there are no one-off items. Our treasury base versus last year has been higher, and that
has led to our other income being higher. And minor impact is because of the hedging gain that we
have got because of the dollar rupee depreciation.
Shraddha: So this would be a similar number, which we can expect for the future, right?

Prince Jain: Similar number, yes, we can expect. , In future, we are also expecting given the in flation numbers are
coming down, government may reduce the interest rates, which can boost our other income in the
subsequent quarters.
Shraddha: Sure. Okay. That was helpful. Also, sir, if you could help me with the closed footwear contribution in terms o f volume and sales. Also, do we have any plans for increasing the capacity in the closed
footwear?
Gaurav Kumaar Dua: So Shraddha, our closed footwear contribution is roughly around 20% and 80% is open footwear.
And regarding capacity enhancement, we already have a good capacity. So it's not there right now.
Ramesh Kumar Dua: Not required.
Gaurav Kumaar Dua: Not required, yes.
Shraddha: Okay, sir. Okay, sir. And just one last question from my side. If you could help with the advertisement
spends for the coming quarter.
Prince Jain: Advertisement spend for the coming quarter and for the full year is expected to be around 4% of the
revenue.
Moderator: The next question is from the line of Sameer Gupta from IIFL Capital.
Sameer Gupta: First question, sir, is that this quarter has multiple moving parts. There is early festive. There has been a rationalization of distributors exercise that we have been doing since past few quarters.
General trade would have destocked following announcement of GST rate cuts, probably some
restocking towards the last week of September. So if you can tell us normalized for these events in
your assess ment, what would be the actual volume and sales growth or decline this quarter?
Gaurav Kumaar Dua: So it's very difficult to right now assume because just October has ended. So definitely, in some parts of India, the distributor carrying a lot of stocks wi th them. So how long will it take to clear the stocks
and new MRP hitting the market , it's very difficult to give exact numbers.
Sameer Gupta: I was actually asking the September quarter normalized growth rate in your assessment, the end level, consumer level growth or decline in your assessment.
Prince Jain: So the number that we have reported for quarter 2 is (7.5%). As Gaurav mentioned, it is very difficult
to estimate because we don't have full visibility on the distributor level of stock and how much they have down stocked. So very difficult to estimate and say without the impact of downstocking, how
much would have been the quarter 2 growth. I think it would have been better at least 200, 300 basis
points but that's a ballpark estimate.

Sameer Gupta: Okay. So and for my understanding, sir, just trying to understand this, why would the distributor not
start purchas ing now? Because typically, footwear is not on an MRP regime. You can just lower the
price and sell it and the tax rate is adjusted already. So why should this impact overall primary sales?
Gaurav Kumaar Dua: So basically, distributors

are a little worried about input. So they are worried that will they get, how
they have to adjust this input, GST input. They have bought stock at 12%, now they buy at 5%. Whatever the remaining stock they have, how they will be able to adjust it. So that's why they are
preferring to clear the older stock first and then buy the new inventory and sell in the market.

Prince Jain: Just to build on that, when GST 2.0 was implemented, while rationalization was on the cards, we had also anticipated government would provide some relief to the retailer and distributor and to the companies where inverted duty structure is coming into play. That would have sorted some sort of the problem for the distributor and retail.
As of now, government has not provided relief to footwear industry or not to any other industry. So as of now, every business and our distributors have to deal with the closing stock or the stock they purchased prior to 22nd September in their own way. As of now, our distributors, the way they are managing, they are trying to reduce purchases. Same is what our retailers are also doing. They're trying to liquidate their pre -GST, old GST stock. And then once their inventory comes to a reasonable level, the purchases will start coming up , is the broad level answer .
Gaurav Kumaar Dua: Yes, what we are seeing is at secondary level, their stocks are moving. So that is more important that the consumer offtake is happening. So I think they will be easily clearing their stock what they have.
So consumers are excited to listen that the new prices are happening in the market and it's lower than before. The footfall has increased.
Sameer Gupta: Got it, sir. Just another one on the same point. So the announcement happened on 3rd September. So I would assume the distributors and retailers would have stopped buying at that point, and you mentioned 45 days channel inventory. So it has been a reasonable time now that the old price inventory would have got cleared. Your thoughts.
Gaurav Kumaar Dua: Yes. But we are supplying across India. So there are some distributor who keeps a lot of stock with them. And in some places like North India where they keep less stock, there, we are seeing the results, they are buying the newer stock and selling in the market. So for whole India to be covered completely, we are seeing in December or mid of December, we'll start seeing the impact.
Sameer Gupta: And you still expect a primary decline in third quarter?
Ramesh Kumar Dua: No. It could be better than what it is in this quarter, very insignificant loss, if at all, it will be there. Maybe we'll be at same level as last year, we may achieve that turnover. We have to wait and see.
Sameer Gupta: Okay. Because in the first question, you mentioned like minus 4% or something. Did I hear it correctly?

Ramesh Kum ar Dua: Yes. No, no. It was (8%) this quarter. Next quarter could be (4%), maybe even better results may be there.
Sameer Gupta: Okay. Okay. Fair, sir. Second question, sir, percentage of portfolio, which is below INR 1,000 and between INR1,000 and INR 2,500, if you can help me with that.
Gaurav Kumaar Dua: Yes. So its majority is below INR 1,000. So you can say more than 90%, it is less than INR 1,000 and even more also, we have to check.
Prince Jain: Yes. And now with the revised limit of INR 2,500, more than 98% of our portfolio is priced below INR2,500.
Moderator: The next question is from the line of Prerna from Elara Securities.
Prerna: Just wanted to understand your product strategy in terms of open footwear versus closed footwear. In these challengin g times, how are you thinking of increasing the share of closed footwear when this open footwear is facing challenges to sell or whatever challenges we are having at the macro level. Could you help us understand whether how this strategy is moving because yo

u are planning to increase the share of closed footwear and that is not happening since a few years now.
Ramesh Kumar Dua: Our focus remains, we have to handle all the categories of footwear, what we are having, not that only one category because all cat egories are important. If you see the share of our closed footwear is 20%, 80% still is open footwear. So we can't neglect open footwear also. And if you go brand-wise, Sparx is 40% and our Bahamas & Relaxo combined is 25%, Flite is around 38% or something . So all channels require and all categories do require focus, and we can't afford to neglect any. We have to focus on all.
Prerna: I completely agree, sir. But the whole point is that closed footwear share improvement could also bring in improvement of margins, and that is what we were assuming that this should happen. And the share is not improving. So hence, if you could help us understand what is the growth rate in open footwear versus closed footwear, that would really help us to understand the company better.
Ramesh Kumar Dua: Even last year, full year, it was 80 -20% only. And now also it is 80- 20%.
Gaurav Kumaar Dua: Yes, yes decline is uniform.
Prerna: Okay. And sir, also please help us understand how are the new launches in the company? And which segments are you focusing? Are you focusing on sneakers and other categories as well, which are higher value and now that GST is at 5% up to INR2,500, will you be launching in a higher price inventory, etc etera? So some thoughts on premiumization would help.
Gaurav Kumaar Dua: Definitely, as we have told you before also that we are focusing on athleisure and sneakers. So that has continued. The effort is there on that. We are launching product s accordingly. Secondly, we are going to launch premium PU, which comes under Flite. So our objective is to how we can increase

the ASP and provide the relevant product to the consumer. So efforts are being put in. Like in Flite last year, we launched Urban Basic. Again, it was a premium range. So every year, we try to , if we

get the opportunity to launch a new category, we definitely do.
Prerna: Okay. And third question is on competition. Is the competition still fierce after GST implementation? Or is it the subdued demand? Or is it both?
Gaurav Kumaar Dua: Competition is always active, but like when the GST was 5% and raised to 12%, there was influx of a lot of unbranded and smaller players. And the prices of raw material also came down that time. But now after GST being again rationalized from 12% to 5%, now we are more competitive in the market, and we will gain market share.
Prerna: Okay. And prices continue to remain stable from that period?
Gaurav Kumaar Dua: Yes. Yes.
Moderator: The next question is from the line of Akhil Parekh from B&K Securities.
Akhil Parekh: Sir, my first question is on the BIS front. Has the implementation been done? And where do we stand? And has the Chinese imports now dramatically reduced since the imposition of BIS?
Ramesh Kumar Dua: No, we have already implemented QCO long back, and we're continuing with that. It is a government's policy and that we have done alread y.
Akhil Parekh: No. But has the Chinese imports reduced because of the BIS implementation?
Ramesh Kumar Dua: It is very insignificant. The category we are playing in like our Bahamas, Flite brand, it was insignificant. And the category that we are making in our Sparx brand also, that kind of a thing, I don't think we had any impact on it.
It was government decision to do that, although we had registered for that also, I was in favor of some import must happen. That keeps the industry on the edge and competition is only which makes the industry strong. By avoiding competition, nobody becomes strong. But if the government is to do that, then that's okay.
Akhil Parekh: Okay. So when you

sa y that we will become more competitive against the unorganized players, so does that mean they are just manufacturing it domestically and not the imported players?
Ramesh Kumar Dua: No. When we say getting competitive because of GST coming 12% to 5% and also 18% to 5%, that makes us more competitive.
Akhil Parekh: And sir, second question on the current capacity what we have, is it enough for us to grow for, say, next 2 - 3 years?

Ramesh Kumar Dua: Yes, presently, we have enough capacity.
Akhil Parekh: Third and last question, in terms of the general trade transformation, which we had highlighted last quarter on the last con call that will focus more from primary to secondary, how has the feedback been on that front?
Gaurav Kumaar Dua: So last call, we have d iscussed a few points like I would like to repeat, like we are working on addition of distributors. Second point was last mile connectivity, that is logistics. Third was the focus will be more on secondary sales. So we have introduced RPA, which is Relaxo Parivaar app, and we are seeing there is a 20% growth happening at secondary level. So the contribution of app in terms of sales is around 50% last year, which has come to 60% this year. Regarding product innovation, we are definitely in lookout for the gaps in the market and launching product accordingly.
Moderator: The next question is from the line of Sameer Gupta from IIFL Capital.
Sameer Gupta: Sir, just wanted a more strategic kind of a question. Last 4 years, including this one, we have seen persistent weakness in top line. I understand the GST rates had increased. But if you analyze data over these years, just wanted to net pick which are the areas where there are bigger pain points? Is it metro towns? Is it younger consumers, lower price points, higher price points? Any kind of colour you can give regarding any analysis that you would have done on where the weakness was?
Ramesh Kumar Dua: So it is all categories. T axation has only played a role. Since January '22, when the government implemented this new taxes of 5% to 12%, that became actually one of the main causes, 90% cause is that only.
Sameer Gupta: So now with that reversed, I mean, we should logically go back to the old growth trajectory of 10% plus. I mean, I understand disturbances in between, but as things stabilize, it's logical to assume a 10% plus kind of growth is what we should expect.
Ramesh Kumar Dua: Yes, it is just a matter of tim e. The company will be back on track the way it was before January '22.
Sameer Gupta: Got it, sir. And you had indicated a rationalization exercise of distributors 2 quarters back. Are we done with it? Is it still ongoing? Anything you can share on the res ults of the exercise?
Gaurav Kumaar Dua: So it's an ongoing process, like we keep on adding distributor and rationalizing the distributor who are not performing. So it is every month activity. It is not a yearly activity. So we are working on it, and we're getting good response.
Sameer Gupta: But we had indicated an exercise at that time. Of course, adding and deleting will continue, but that pronounced deletion is over or is it still ongoing?
Gaurav Kumaar Dua: No, it is an ongoing process. Like that time, we have taken a charge of appointing many distributors, which we have done it. And this is a continuous exercise. Every year, we keep on adding distributors and rationalizing the nonperforming distributor.

Sameer Gupta: Okay. But the decline that we have seen in the past 4, 5 quarters is not because of this rationalization exercise. It was more of a performance of the company that has got impacted then?
Gaurav Kumaar Dua: Yes, yes. You're right.
Moderator: The next question is from the line of Devanshu Bansal from Emkay Global.
Devanshu Bansal: Yes. Sir,

there is a lot of fake products being manufactured under branded logos in the North market.
So while BIS restricts imports, but does that part of industry also get impacted with this GST reduction? I'm talking about all these branded logos, fake copies of branded logos that are being manufactured in huge quantities.
Ramesh Kumar Dua: So it is alway s happening, and we are always taking actions, it is ongoing . It has been, it will continue, and we'll keep on acting accordingly.
Devanshu Bansal: But does this GST reduction also increase your competitiveness versus that market or that will still continue to flourish?
Ramesh Kumar Dua: We are taking our action around that. Anybody who we came to know and using our brand name , copying the things, we will continue. I don't think this menace has increased in the past few quarters or so. It's under control, and we keep on acting the way we get news. That's it.
Devanshu Bansal: Sir, you have been acting, but there are copies of other MNC brands also being manufactured, right? So I was checking from that perspective?
Ramesh Kumar Dua: No. From that point, why we are bothered about those brands.
Devanshu Bansal: They are available at your price point. They are acting as a competition, right? So my concern was from that perspective.
Gaurav Kumaar Dua: The customer is different. The buying b ehaviour , the customer expectation is different. People who buy Nike fake and people who buy Sparx is completely different.
Devanshu Bansal: So you're saying that consumer profile is different.
Gaurav Kumaar Dua: Yes.
Devanshu Bansal: Okay. And sir, you me ntioned that liquidation will take time. And so this price reduction, has that started to reflect at retail level or still the old prices only the retailers are selling to consumers as of now?
Gaurav Kumaar Dua: So it depends upon market to market, like Northern market, new prices are already in the counter and consumers are buying it. But in Eastern market, South, Southern or Western market, still distributor,

whoever is carrying more stock, they are trying to push the old inventory first. But we are hopef ul by December end, I think it will be cleared. All stocks will be cleared.
Devanshu Bansal: But why sir, was this in the North market, I'm checking. So this liquidation happened at the old price or it was enabled by the company that we will provide you some incentives, you liquidate the old stock. How does this typically work this exercise?
Gaurav Kumaar Dua: So we have not provided any extra discount to clear the old inventory. Only thing was when the price was reduced, automatically, the margin increased for them to buy the high MRP stock. So first, they have taken that stock where the margin was higher because there was a difference of 12% to 5%. So they are focusing there and then clearing that stock. Then after that, they started buying the new MRP stock. And whoever has less inventory with them, they will definitely buy the new MRP stock and selling them up.
Devanshu Bansal: Understood. Understood. Last question. Sir, this MRP has reduced with GST reduction. I wanted to check on the channel partner commission. So typically, in the industry, these commissions are percentage of MRP terms. So how are you sort of planning there? So does that still remain in percentage of MRP terms or people are asking for a slight increase in incentives?
Gaurav Kumaar Dua: No. Our margins are similar to what it was before. There's no change in the margin.
Ramesh Kumar Dua: No, sam e trade discount, whatever it is. It is not based on price, whether it is price INR 2,500 or it is INR200, our trade discount is same. And it will remain same. No change after GST.
Devanshu Bansal: Okay. So don't you think that these trade partners are at a disadvantage because MRPs would have reduced and now they will get lower absolute rupee

amount if they sell the same product. So how do you deal with that kind of a situation?
Ramesh Kumar Dua: No, no. Ultimately, they s ee how much business they are doing. If the business grows, they have no issue at all.
Prince Jain: It will have a positive impact on the volume growth.
Devanshu Bansal: Understood. Sir, typically, your retail value is MRP minus 40% and your distributors would be like, say, 10% of MRP, the ballpark, these are the commission rates, if you can confirm that?
Ramesh Kumar Dua: It is 30% retailer margin. And to distributor, we gave 9% trade discount.
Devanshu Bansal: 9% of MRP, right?
Ramesh Kumar Dua: Not MRP , of our wholesale price at the rate at which we will sell to retailers.
Devanshu Bansal: On that 9% is his commission.

Moderator: The next question is from the line of Prerna from Elara Securities.
Prerna: Sir just wanted to understand, is the industry als o going through this pain of decline in sales? Or is it with few players like us.
Ramesh Kumar Dua: Organized industry is very limited. The people who are our competitors or local players, we don't have data of it. We can only compare ourselves with oursel ves. We know that our sale has gone down and we are working on that because we have noticed that unorganized players are getting some share, but the data is not visible.
Prerna: Okay. Okay. So I mean, we cannot be sure that the industry is also going through the similar thing as of now.
Ramesh Kumar Dua: The organized player s must be suffering, the way we are, even you will see Bata results also got affected this quarter. So all these players are definitely going through. And particularly the companies who are serving middle segment or low segments, they are more affected.
Prerna: So this could be because of the D2C competition also, which is increasing in the open footwear a s well as closed footwear, both the categories, new brand launches, etcetera, are happening. Do you think that is also one of the reasons apart from unorganized smaller players, which is impacting growth for organized players?
Ramesh Kumar Dua: No, no. Sma ller players, there has been a tax difference and that they had been manipulating. And that is why they were able to get entry . After all, whether retailer or distributor, they all want to make more margin while they get this tax also advantage. So they generally try to push that. That was the reason that our sales were getting a little bit affected.
Prerna: Sir, now that GST rates have come down, and you mentioned that we are now more competitive. Have you also reduced some prices to compete with the organized players? Any price cuts taken? And going forward, do you plan to take any further price cuts to regain market share?
Ramesh Kumar Dua: No, we already have done this exercise. After all when the tax has gone down, we have now done and now we have priced our all articles accordingly, and we have become quite competitive.
Prerna: Okay. Okay. So then, sir, then as you mentioned earlier that there should be a 10% growth, you should return back to 10% growth. Do you see that coming in the next year?
Ram esh Kumar Dua: I hope so. The next year, but we will see some growth also in the fourth quarter of this year. And then next year is definitely going to the better than this year.
Prerna: Okay. Understood, sir. And sir, any capex guidance for this year and next year?
Prince Jain: Capex will be in the range of INR 120 crores plus, which is similar to last year. And since we have enough capacity, this is more to do with operational efficiencies, warehouse modernization and

building our HO, but broadly in this r ange, about INR 100 crores to INR 150 crores is the range that we are looking at for this year and next year.
Prerna: Okay. And this wi

ll be largely maintenance and mo uld-related capex ?
Prince Jain: Yes. As I said, operational , moulds, modernization of our warehouses, some plant renovations and building our HO. But yes, broadly on these lines. We are not looking to expand capacities and capex at least in the next 18 months.
Prerna: Understood, sir. And sir, last question on this competition only again, do you think that with GST reductions and everything that is coming in, consumption as a whole should grow and new launches should help you gaining some market share from next year? Because what we are trying to understand actually is not able to understand this degrowth over the last 2 quarters. This quarter is still okay, but there were disruptions, but last again, Q1 and Q2 and even Q3, there is degrowth.
So what will really drive growth for the company and market share improvement, whether it is some strategy at the distributor level or some strategy at product innovation, which would turn around consumer minds towards our brand and seek the products? I mean I'm just trying to understand what could go right for us.
Ramesh Kumar Dua: First quarter, second quarter, the GST was the main culprit. Now GST has been brought down. Now we will be very competitive, and that will make things happen. As far as the product is concerned, that actually is always there, how to develop good products, market relevant product, but pricing when becomes a limiting factor, then that was the main reason, retailer always wants to maximize the margin. So wherever we get margin, we will start pushing that. But now we have a level playing field with all the other players also, whether they are local or others. So that is why now things will happen better.
Prerna: But you can still give higher margins and still push retailers to pus h their products. I mean if the distributor margin is the problem.
Ramesh Kumar Dua: No, margin is not an issue, ma'am. Issue was our price versus local players. Those who were not paying any tax, so that was the advantage they had.
Moderator: As there are no further questions from the participants, I now hand over the conference to the management for closing comments.
Prince Jain: Thank you, everyone. This is all from our side. We thank you all for joining the call. Looking forward

to joining you again. Thank you.
Moderator: On behalf of IIFL Capital, that concludes this conference. Thank you for joining us, and you may now disconnect your lines. Thank you.

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Call: Jun 2026

Classification: Public
June 03, 2026
Sub: Disclosure under Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 – transcript of investors ’ conference call – financial results for the quarter and financial year ended March 31, 2026
Dear Madam / Sir,
W
ith reference to the captioned subject, we hereby enclose the transcript of i nvestors ’ conference call regarding the Company’s business strategy and outlook, post the declaration of results for the quarter and financial year ended on March 31, 2026, which was hosted by the C ompany on Friday, May 29, 2026 at 16:00 hrs (IST).
T
he transcript has also been uploaded on the website of the Company i.e.
https://relaxofootwear.com/pages/transcription- of-analyst -meet
T
he same is for your information and records please.
Thanki ng You,
For
Relaxo Footwears Limited,
A
nkit Jain
Company Secretary & Compliance Officer
E
ncl. as above BSE Ltd.
Corporate Relationship Department
Phiroze Jeejeebhoy Towers
Dalal Street
Mumbai – 400 001 National Stock Exchange of India Ltd
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Scrip Code – 530517 Symbol – RELAXO

“Relaxo Footwears Limited
Q4 & FY26 Earnings Conference Call ”
May 29 , 202 6

MANAGEMENT : MR. RAMESH KUMAR DUA CHAIRMAN AND MANAGING DIRECTOR
MR. GAURAV KUMAAR DUA CO-CEO AND WHOLE TIME DIRECTOR
MR. RITESH DUA CO-CEO
MR. SUSHIL BATRA EXECUTIVE DIRECTOR
MR. ANKIT JAIN COMPANY SECRETARY AND COMPLIANCE OFFICER
MODERATOR : MR. SAMEER GUPTA IIFL SECURITIES LIMITED

Moderator: Ladies and gentlemen, good day, and welcome to the Relaxo Footwears Limited Q4 FY 26 Financial Results , hosted by IIFL Capital Services Limited. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touch -tone phone. Please note that this conference is being recorded.
I now hand the confe rence over to Mr. Sameer Gupta from IIFL Services Limited. Thank you, and over to you, sir.
Sameer Gupta: Thanks, Gitesh. Good evening, everyone. At IIFL Capital, it is our pleasure to host the management of Relaxo Footwears. From the management, we have M r. Ramesh Kumar Dua, Chairman and MD; Mr. Gaurav Kumaar Dua, Co -CEO and Whole Time Director; Mr. Ritesh Dua, Co -CEO; and Mr. Sushil Batra, Executive Director. We also have Mr. Ankit Jain, Company Secretary and Compliance Officer.
Without taking more time, let me hand it over to Mr. Ankit Jain for the opening remarks. Over to you, Mr. Ankit.
Ankit Jain: Thank you, Sameer, for the introduction. So, myself, Ankit Jain, Company Secretary and Compliance Officer of the company. Good evening, everyone, and thank you for joining us on Q4 and FY 26 earnings call. We appreciate your continued interest in our company, and we are pleased to walk you through our operational and financial performance for the quarter and financial year ended 31st March 2026. The earnings r elease and investor presentation are already available on the stock exchange website and our website for your reference.
Before we move into Q&A session, I would like to highlight some of the key performance metrics for Q4 and FY26. Revenue from operations stood at INR 751 crores in Q4 FY 26 as
against INR695 crores in Q4 FY25, an 8.1% year -on-year growth. The revenue growth was driven by a strong volume growth amidst a recovery in general trade channel alongside continued growth in retail, e -commerce and large -format retail channels .
EBITDA for the quarter stood at INR 124 crores, registering a growth of 10.6% year -on-year.
EBITDA margin was at 16.5% in Q4 FY 26 as compared to 16.1% in Q4 FY 25. The growth was supported by continued focus on operational efficiencies, back -end optimization initiatives and prudent cost management measures undertaken by the company despite the dynamic industry environment.
Profit after tax for Q4 FY 26 stood at INR 68 crores compared to INR 56 crores in Q4 FY25, registering a growth of 20.4% year -on- year. PAT margin expanded by 92 basis points year -on-year to 9 .0%, reflecting the company's sustained focus on profitable growth.
For FY26, revenue from operations stood at INR 2,702 crores as compared to INR 2,790 crores in FY25. E BITDA for FY 26 stood at INR 374 crores, while EBITDA margin stood at 13.8% in FY26. Profit after tax for FY 26 stood at INR 179 crores as compared to INR 170 crores in FY 25

with an increase of 5.3% year -on-year growth. PAT margin in FY26 stood at 6.6% as compa red to 6.1% in FY 25.
Now going forward, while the momentum exiting FY 26 is encouraging, we must tread with caution due to the uncertain external environment amidst the ongoing geopolitical situation causing inflationary pressure, which could affect consum er sentiment.
While the company has recently taken some calibrated price increases to offset input cost inflation, a full impact on demand and consumption pattern is still evolving and requires close monitoring.
To conclude, while we are cautious about t he near -term environment, we remain constructively optimistic about financial year 2027 performance, and we are committed to delivering a sustainable performance.
Thank y

ou. You may please open the floor for questions now. Over to you, Sameer.
Moderator: Thank you very much. We will now begin the question-and -answer session. The first question is from the line of Sameer Gupta.
Sameer Gupta : Firstly, sir, how should one read this result? So there has been a GST rate r eduction wherein there was down -stocking in the previous quarter, there would have been some upstocking this quarter. Also, distributor count, if I see your presentation, has gone up from 550 last quarter to 630 this quarter. So if you adjust for these impacts or let me put it this way, if you c an give any indication on growth at the retail level, it would be helpful for us to understand the exact quantum of growth, which is going on.
Gaurav Kumaar Dua: Sameer, this is Gaurav Dua. And you have correctly said that there was optimism in the market in quarter 4. As you have mentioned, GST from 12% became 5% and distributors were carrying the stocks. Now more or less stock s have been liquidated through the pipeline, and we are seeing a good recovery in quarter 4.
Sameer Gupta: So let's say, you have r eported an 8% growth, but this would also include distributor taking

stock, filling their inventory. Last quarter was zero. So suffice to say that the actual normal
growth rate is somewhere in between like 4%?
Gaurav Kumaar Dua: Actually, the full impact w e started seeing after December onwards. So you can definitely say that 5% to 6%, we were able to grow in 2 quarters.
Sameer Gupta: Got it, sir. That explains. Second, sir, and I think Ankit mentioned this in his opening remarks. So West Asia impacts , first of all, input cost inflation . If you could quantify what kind of input cost inflation you are facing in your cost basket?
Sushil Batra : Input cost is on both sides. One is, I think, material, which is impacting everyone and then in few states, labor cost has also been increased by the government. So, we are working on that.
Raw material prices are again settling down. So, we are working with the overall impact, how much it will impact, we will have to see, but definitely it's a substantial impact which we are

foreseeing. But we have passed this on with the price increase majorly. So, things should be, I think, more or less at par with the cost increase, and let's see how it works.
Sameer Gupta: Sir, one, if you could quantify the inflation. So let's say, if your cost was 100 in the previous quarter in 3Q or 4Q, where is it trending today? Is it 110? Is it 105? Labor cost, I can understand. And second is that, what kind of quantum of price hikes have you passed on?
Gaurav Kumaar Dua: Sameer, we have taken 2 to 3 price increase in the market, and it was a gradual increase. Some were because of raw material, and one was because of the labor cost, which increased in Haryana. So roughly around 15% to 18% is the increase . In some categories , it is lesser and some categories , it is more. So, we have calibrated what can be passed on in the market and took the call.
Sameer Gupta: So on a blended level, you have taken a 15% to 18% price increase at a consumer level?
Gaurav Kumaar Dua: Correct, correct. You're right.
Sameer Gupta: And would your cost increase be roughly similar?
Sushil Batra : Around 12% to 15%, I think, will be the price increase, including, I think, all states and all material on the cost of goods manufactured. That's what we are expecting plus labor cost.
Sameer Gupta: So you have taken a higher price increase versus the cost inflation?
Sushil Batra : No, no. It's a price increase on the FG at a blended rate. Cost of goods which we are manufacturing, there is a price in crease on both sides. One is the labor side, which is almost around 25% to 30% price increase on the labor in one state. In other states, it's around 10% to 15%. So it's a mix of all these things. That is the one -part increase in the cost, then material co st, which went up like anything. So, 120 went up to 240, 250 like that.
Now things are settling and coming down. So overall, we have to review everything. But price increase as on date because we had inventory, so that material impact was not much in firs t month, at least in April and labor had definitely it has increased. So it's a mix of so many things.
So we can say around 15% to 20% increase will be there overall on the cost side as on date.
Sameer Gupta: Okay. Got it. So 15% to 20% is the increase in cost side and you have passed it on to the consumer entirely. So your margin is protected in a way?
Sushil Batra : Yes, that is the intent, we are trying t o do that .
Moderator: The next question is from the line of Archana Gude from IDBI Capital.
Archana Gude: Sir, I've got 3 questions. Firstly, sir, can you give us some understanding on what has really changed post this GST 2.0 in terms of competitive intensity and demand front?
Gaurav Kumaar Dua: So Archana, we have mentioned before that the GST came fro m 12% to 5%. So branded and layers, we became more competitive in the market so that the taxes came down. So, it helped the

organized players. And secondly, there was a good demand recovery in quarter 4 at consumer level. So because of these 2 factors, we could see the growth level coming back.
Archana Gude: And sir, has the demand continued for the first 2 months for Q1? Or you see some subdued patches here and there?
Gaurav Kumaar Dua: It's too early to say, but April and May were better. May is still going on. And let us see how June goes.
Archana Gude: Okay. Okay. Sir, earlier, we spoke about product premiumization by getting into sneakers and maybe high -value flight portfolio. So how is that going on, sir? How has been the response? And any new products which can aid to margin expansion on the card?
Gaurav Kumaar Dua: Definitely, we are widening our premium playbook through sneakers and offering lifestyle -led products. So our main objective is that we do not have to lose the relevance in mass category.

And plus, we have to premiumi ze. So, we are making our product mix accordingly.
Archana Gude: But like anything planned for FY 27 or it's still in the progress?
Gaurav Kumaar Dua: See, this is a continuous process, premiumization. So like we have discussed before also that we are coming up with the athleisure range, and we are coming with more price point s. For example, in Sparx, it was shoes in INR 999 to INR1,700. Now we are thinking about how we can offer more product s at INR2,500 also. So the price and the premium we are increasing.
Archana Gude: Right, right. And sir, lastly, any guidance on capex for this year and next year?
Sushil Batra : Last year, we incurred around INR 130 crores. Next year, we have planned around INR 180 crores to INR200 crores. So that's for next year.
Archana Gude: Okay. And that will be used for basically the existing capacity and not for any new capacity addition, right?
Sushil Batra : It will be a mix of both, because it's a big amount we spend on the molds . It's not increase of capacity . And then we are making one administrative office also, some money will go there. And some wear & tear and some changes in the machines . So, there is no big capacity expansion, but a good amount will be spent on the molds .
Moderator: The next question is from the line of Avinash Karumanchi from M otilal Oswal.
Avinash Karumanchi: Congrats on good set of numbers. So if you look at it, like the improvement, this is the first quarter after the 8 quarters where you have seen an increase in volumes. So is it only regarding the GST cuts that you have seen? Or how is it?
Gaurav Kumaar Dua: So, it was both things. Like we a re still an open footwear dominant player. So, because of the season, Q

4 and Q1 are bigger for us. Second thing was definitely GST. And thirdly, there was good demand in the market.

Avinash Karumanchi: Okay. Okay. And second thing, if I heard it right, you have taken price hikes in the range of 18%, 20%. Is this right?
Gaurav Kumaar Dua: Correct, correct. 15% to 18%, correct.
Avinash Karumanchi: Yes. So we have seen a similar situation in FY 22, where we had to take 20% plus price hikes, and that has impacted our volume significantly. Last time also, we argued that we have some maintenance of 6 months of inventory of raw materials, while other unorganized players have maintained lesser quantum.
Gaurav Kumaar Dua: So this time, we are cautious in buying raw material. We have not bought like what we did 2 years back. So, we are very cautious in buying and passing the price to the consumer. So we are watching the trends, what is happening in the market, and it is across industry, foot wear industry. All the players have taken the increase of prices. It's not only Relaxo.
Sushil Batra : Last time, raw material prices hike was very steep. So it went from INR 100 to INR 300. Now this time, it is there, but it’s not that high. Now things are settling also. So it is, I think, almost coming down every day, major raw material. But even today, I think things are settling globally also, but it will take time. Let's hope things will be much better, but we don't see a repetition of what happened last time.
Avinash Karumanchi : Okay. Okay. And if things normalize, then you would be rolling back the price hikes, right?
Ramesh Kumar Dua: No. I don't think there is any possibility that raw material will settle down soon. So this price increase will remain.
Avinash Karumanchi: Okay. I'm not asking from the next quarter's perspective or something in that sense. But if you look at next 2 years or 3 years, how should we look at the gross margins?
Sushil Batra : Gross margin , we will try to improve overall, but we must be very cautious about the passing the cost to the consumer. We must be competitive. We have to see the competition also. The gross margin intent is to improve, and overall operating margin should also improve. That' s what we are trying. So it will be just a journey on the betterment side.
Avinash Karumanchi: I mean what would be the levers of that improvement? That's what I'm asking.
Gaurav Kumaar Dua: So like we have discussed before, we are going to open 100 new outlets this year. And we are going to change our product mix, plus there will be some more addition in terms of distributors and retailers. So we are going to take a lot of steps to at least grow the market and margin.
Moderator: The next question is from the line of Shraddha Kapadia from SMIFS.
Shraddha Kapadia: Congratulations on good set of numbers. So recently, and right now also you mentioned that there is an increase in focus on the women and the kids category. So if you could let us know the current contribution and the medium -term target, which the management has for the same?
Gaurav Kumaar Dua: So, for us, men's contribution is 70%, 25% is women and 5% is kids. So more of our focus will be on women and kids to improve. Right now, it is quite low, but definitely it's going to improve.

Shraddha Kapadia: Sure, sure. Sir, similarly, for the premium products also, if you could help with the current contribution?
Gaurav Kumaar Dua: So we were playing at INR 999 in sports shoe till INR1,800. Now this time, w e have rearranged our portfolio, and we're going to launch more products starting from INR 999 without leaving that base till INR 2,800 MRP. So I can't say exactly what contribution we'll get from the premium portfolio.
Moderator: The next question is from t he line of Sameer Gupta from IIFL.
Sameer Gupta: Just

a follow -up. So 15% price hike, just wanted to understand the thought process. Now when I look at our inventory, we have 75 days on sales, so that will translate to around 150 days on COGS. And aren't w e a little early in taking sharp price hikes? Because if I look at the competitors, let's say, Bata and RedTape, and Metro, we haven't seen any major price hikes announced over there so far. So one, do you foresee a volume impact in the near term, let's say, volume growth momentum will moderate substantially, might even decline in the coming quarters? Do you foresee that? And two, I just wanted to understand the urgency in taking price hikes, si r.
Gaurav Kumaar Dua: There were 2 reasons what we have mentioned before. One was the raw material, which shot up like anything in the month of April itself. And secondly was the wages, the increase in Haryana, the wages were more than 30% increase in the wages. So there were 2 reasons that we had to take the price increase.
So regarding the raw material, definitely, we are seeing that raw material is now softening, but the wage increase, we don't think it will come down. So the cost pressure will be there . The price hike cannot be taken back. And secondly, it depends upon the other place, which state they are operating from. So we cannot comment upon that, what impact on wages they have. But raw material is across the industry .
Sameer Gupta: Got it. And le t's say, when you're saying RM will soften, you are like the wage cost is still much higher. And do you foresee taking like price cuts or increasing trade discounts if the raw material were to come down significantly, else you will see a margin expansion, right?
Gaurav Kumaar Dua: So we are closely monitoring the market, how the uptake will be in the market. So it's too early to give any guidance on this.
Moderator: The next question is from the line of Shraddha Kapadia: from SMIFS.
Shraddha Kapadia: So if you could help us with any future guidance for modelling purpose , revenue as well as the margins, considering this is the quarter in many times that the company has reported such a good number of growth.
Sushil Batra : Outlook, we are confident. Definitely we'll sustain what we performed in Q4, but, geopolitical situations are so uncertain. It's tough to give a very solid statement. But still, we are very confident. We will maintain and definitely intent is to improve our margins.

Growth will come, and ther e is a price increase, volume, we have to maintain that also. So we are watching all th is, I think, competit ion, geopolitical situation, etc. and we are confident definitely last 2 quarters, if you see Q4 is much better.
So things have started coming up a nd consumer sentiments are also not that down, GST is helping us. And overall, our treasury and overall balance sheet and so many factors are favoring us. So we are very confident with future, at least near future is good.
Shraddha Kapadia: Sir, any number s if you could help us to quantify?
Sushil Batra : Quantifying the last year, we maintained the operating margin of around 13.8%. That is the full year, Q4 was much better. So we don't expect Q4 will be repeated definitely. But we intend to do better than l ast year overall operating margin, which is 13.8%. So it should be better, maybe 1% plus. That is the intent definitely, we are trying to.
Shraddha Kapadia: Sure, and anything if you could highlight majorly on the G T since you have mentioned that the GT has helped grow. So any changes or anything which you have witnessed?
Gaurav Kumaar Dua: In GT, what we have seen is that there is recovery of demand in quarter 4, and it is going to continue what we are seeing. But we are closely monitoring after the price increase, how the consumer reacts. So we are keeping a close watch and let's see. We have changed the product mix also , we launched so

me products in different categories, not to leave the earlier price point also.
Shraddha Kapadia: Okay. So the newer would be the higher price points like you already mentioned?
Sushil Batra : Correct, correct. Moreover, we have planned for expansion in our own EBO model. We intend to open 100 stores. That is, I think, plan, and we are doing some new redesigning of the shops

with better experience. So we have done one trial, so getting good response. So after that, we are very confident good footfall and good return , profitable return should come from that segment. And on the e -commerce side also, we are working. A lot of things we have done. So a lot of growth we expect that will come from that channel. So these are, I think, new initiatives which will add a lot of growth. So we are confident things should be better.

Shraddha Kapadia: Also, since you mentioned the EBO, so is there any target like Tier 1 cities, Tier 2 and 3 cities, if you have any plans or if you could help us understand more about the same?

Gaurav Kumaar Dua: So now we are going to open outlet across India. Like earlier, it was basically North and East based. Now we have identified some gaps in West. And going forward, definitely, we will enter Southern market also, seeing and understanding the consumer preferences.

Moderator: The next question is from the line of Yogesh Bathia from Sequent Investments .

Yogesh Bathia : Sir, congratulations on good set of numbers. I have a couple of questions. So I joined the call late. Can you explain the reason why margins were higher in this quarter? Is it some specific inventory gain or we've taken price hike, and that's w hy we don't expect this to sustain? What is the reason?

Gaurav Kumaar Dua : There are 2, 3 reasons for that. One was that a lot of back -end work is done in the plant to reduce the cost. Secondly, our volume has grown a lot. So the fixed cost remains same. T he contribution has increased because of the volume and value and plus, we have reduced the discount given in the market also.

Yogesh Bathia : So there is no inventory gain or anything of that sort?

Gaurav Kumaar Dua : We have taken a small increase in quart er 4. That is also one of the reason of improvement in margins.

Yogesh Bathia : Okay. And sir, my second question was, we mentioned somewhere in the call that we plan to set up 100 new EBOs. So can you explain us that what is the time line to do this network expansion? And as of now, how many EBOs do we operate?

Sushil Batra : As of now, we have around 400+ EBOs, but with new designs and new format s, we have started, we did one trial. So we are very aggressive. In first half, we will be able to open at least 30%, 40% of the 100. So, by December, most of the m should be ready. That is the intent.

Yogesh Bathia : Okay. So in this 400, we will add 100 or this 400 maybe we will redesign and the number will remain still 400.

Sushil Batra : We will add new 100, we will add new 100 and 400 will continue with the same format, and we will change some, but all 100 will be new one.

Yogesh Bathia : So sir, last year to this year, our volumes have more or less remained flat. But this quarter, we have seen a significant jump in the volumes. So I wanted to know what do you feel about the volumes for the next two years? How do you see that happening? Not guidance, but qualitatively, what do you feel about volumes? And secondly, do you think that the mix will change significantly for Relaxo or the price range will remain at INR 155, INR160 per pair going ahead?

Gaurav Kumaar Dua : So Yogesh, it's a journey like -- for increasing ASP is going to take time. But definitely, we ar e focused towards premiumization. We are changing our product mix, but it's going to take time to see the impact in ASP. So it's not a short term, it's a long -term phenomenon. Every year, we are going to

increase our ASP.

Sushil Batra : But with the EBO exp ansion and e -commerce growth, which we are foreseeing, so ASP will improve definitely because I think GT, there will be pressure. But on these 2 channels, to premiumization is going to happen, and it will increase overall ASP at company level.

Yogesh Bathi a: Right, right. And sir, what do you feel about volumes for the next 2 years?

Sushil Batra : Next 2 years, I think we have to be cautious. Intent is there, again, around, I think, 4% to 5% definitely, we want to grow our volume. Price increase, we have already taken. So let's see how it impacts. But overall, we want to grow at least 4% to 5% in volume with product.

Yogesh Bathia : Our EBO expansion is 25% right now, then I don't think volume expansion can only be 4%, 5% because our network is only expanding 20% -25%.

Gaurav Kumaar Dua: Agree, but EBO business is not that great. In our overall kitty, it's around 10%. So if we increase it to 25%, it's a high -value item. So volume will increase definitely, but not with that degree with that degree. So overall, at company level, when you are talking , 18 crore s pair we sold last time. So that's not going to be that easy , but definitely, we intend to.

Yogesh Bathia : If I may ask one last question.

Gaurav Kumaar Du a: Yes, please.

Yogesh Bathia : Sir, can you please give me the breakup of our network, like how many EBOs, how many MBOs touch points we have? What is the breakup for that?
Gaurav Kumaar Dua : So we have mentioned in our investor report also that we are cur rently supplying to 70,000 retailers/ MBO outlets. And EBOs are 420 outlets. These are our own. Plus, we are available on e-commerce platform s. We started with quick commerce also being present in Blinkit and Zepto, where we are getting a good response. Plus we are exporting to 37 countries. Okay.
Moderator: The next question is from the line of Archana Gude from IDBI Capital.
Archana Gude: I have 2 bookkeeping questions. Can you help me with the revenue contribution from Sparx Bahamas, Relaxo and Flite i n FY26?
Sushil Batra : So we have 3 major brands. So our contribution from Sparx is around 40%; Hawaii is around 25% and Flite is 35%. This is the ratio among all the 3 major brands.
Archana Gude: Sir, how has been the Sparx journey in last 4, 5 years? Like any major category which you feel is really supporting the margin expansion more than the top line can be looked at? Any thoughts on which has been really helping us at margin level?
Gaurav Kumaar Dua : So there is a good demand coming from sneakers and sports shoe category, which we think has a great future ahead. Plus , we are going to focus more on women and kids category, which currently is contributing less, but has a good future.
Archana Gude: Correct.
Gaurav Kumaar Dua : We are focused more on those.
Archana Gude: Correct. Sir, just in terms of ad expenses, what was the amount in FY 26? And how do we see for coming year?
Gaurav Kumaar Dua : So our expenditure is roughly around 4% to 5%, and it varies between brand to brand, whatever the requirement is. And secondly, a big expenditure is also on performance marketing on platform s like Amazon and Flipkart. So that depends upon again brand to brand.
Archana Gude: And we'll continue to see the same kind of ratio of 4% to 5% of net sales for '27?
Gaurav Kumaar Dua : Yes, correct. We try to maintain what we are going to spend on advertisement.

Sushil Batra : Spend will be like this, but we are changing, I think, overall digital strategy and so many things.
Gaurav Kumaar Dua : Yes, that is there that the focus will be now more on digital front. And as you have seen, the customers moving from television to digital. So the spend is also accordingly going to shift towards those medium where consum

er is present.
Archana Gude: We look forward to seeing good numbers like what we delivered in Q4 going forward.
Moderator: The next question is from the line of Sameer Gupta from IIFL.
Sameer Gupta: Sir, just one follow -up. So this 100 EBOs that you plan to do, our INR 180 crores to INR 200 crores capex guidance, does it include the capex for these EBOs?
Sushil Batra : In our case, spend is not that much . That amount is inclusive, by large, inclusive. So each store, we are going to spend around INR 30 lakhs to INR 35 lakhs per store, not more than that. So if you go for 100, it will be INR 30 crores, INR35 crores. That's all, not a big spend. So that's part of INR200 crores .
Sameer Gupta: Got it. And given there will be retailing costs in the first few years, there will be a margin dilutive impact also. So given that you have also guided for 100 basis points expansion, this is despite the retail expansion, right?
Sushil Batra : Yes, definitely, because we have done trial also, there is a good footfall, good response, high-value product we are able to sell, and we have gone with exclusive article for EBO in addition to our GT. So margins, we have already expanded our margin in these stores. So, we don't see much pressure to come on the overall margin, and we are expecting 1%, which I referred, will be maintained at company level.
Moderator: As there are no further questions from the participants, I now hand the conference over to the management for closing comments.
Gaurav Kumaar Dua: Thank you, Sameer. This is all from our side, and we thank you all of you for joining the call. Looking forward to speaking with all of you again in the next call. Thank you.
Moderator: Thank you very much, members. On behalf of IIFL Capital Services Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

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